Regenerative Agriculture and Farmer Profitability: Modeling Adoption of Scalable Climate Mitigation*

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Abstract

The climate-mitigation potential of agricultural conservation practices depends in part on whether farmers find them privately profitable. This paper studies the profit motivation for adoption of cover cropping and conservation tillage in Midwestern corn, soybean, and wheat production. I combine farm financial records for 2000–2025 with a machine-learned county-year panel of predicted soil organic carbon (SOC). Using a doubly robust staggered difference-in-differences design, I estimate practice- and crop-specific effects on net returns, revenues, expenses, yields, insurance outcomes, and predicted SOC. The results reveal a heterogeneous profit premium: estimated net returns increase by $79.40 per acre for corn cover crops and $22.50 for soybean reduced tillage, while most other comparisons are inconclusive. Positive predicted-SOC effects occur in selected crop-practice comparisons, but neither financial nor soil responses are uniform. To understand long-run soil capital dynamics, I develop a dynamic structural model linking management, production costs, and insurance to soil-stock accumulation and future returns. Together, the empirical analysis and model distinguish observed private returns from agronomic potential and clarify the intertemporal incentives relevant to conservation policy.

Keywords: Regenerative Agriculture; Climate Mitigation; Farmer Profit.
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1 Introduction

Agriculture faces a dual challenge. It contributes materially to greenhouse gas emissions, while intensive production has also degraded soil health (Vermeulen et al., 2012; Crippa et al., 2021; Lal, 2015; Louwagie et al., 2009; Montogmery, 2007; Jie et al., 2002). This combination has motivated interest in management practices that could sustain agricultural production while improving soil condition and reducing the environmental footprint of food production. Yet an agronomic opportunity is not by itself a scalable climate policy. Large-scale change requires farmers to adopt and maintain practices whose costs, returns, and risks are experienced privately, even when some of the resulting environmental benefits accrue to society as public externality.

Policy has consequently pursued both demand-side and supply-side approaches. Demand-side initiatives seek to create markets for products or environmental attributes associated with improved production practices (i.e., certification programs). Supply-side policies, including technical assistance and cost-sharing, seek to reduce the costs and risks of changing farm management. The effectiveness of either approach depends on the private incentives it creates and on whether support addresses the specific barriers farmers face. In particular, conservation practices may require near-term investments or changes in production before soil benefits accumulate. The relevant policy question is therefore not only whether a practice can improve soil, but whether its expected stream of farm returns is sufficient to induce adoption and persistence.

This paper studies that question in U.S. Midwestern row-crop agriculture, focusing on corn, soybean, and wheat production. It examines a suite of regenerative agricultural practices, including cover cropping and a gradient of conservation tillage such as reduced tillage and no-till. Cover crops add living vegetation between cash-crop periods or alongside production, while conservation tillage practices aim to minimize soil disturbance. These practices can alter input requirements and current yields, as well as the rate at which soil stocks accumulate or are depleted. Their private returns may therefore differ across crops, farms, and time since adoption.

I ask two principal questions to address agriculture's dual challenge. First, how does adopting regenerative practices change farm profitability and its components, including revenues, yields, expenses, and crop-insurance outcomes? Second, are adoption and management changes associated with detectable improvements in soil organic carbon (SOC) at scale, an important dimension of soil health? Farm financial records provide detailed economic outcomes at the farmer-year-crop level, whereas the soil outcome available for this study is a machine learning predicted county-year measure. Moreover, soil

capital accumulates gradually, so a short-run response in yields or expenses need not reveal its longer-run contribution to profits. The analysis therefore requires a long-run assessment of the impacts of regenerative practices on both economic and environmental outcomes.

I address these questions by combining two data resources. The first is the FinBin data set provided by the Center for Farm Financial Management (CFFM) at the Univeristy of Minnesota, a farm financial-management database based on producers' farm records and tax-preparation applications. I use its annual records for corn, soybean, and wheat producers in the Upper Midwest over 2000–2025 to construct a panel of management choices and farm-level economic outcomes. The second is a county-year panel of predicted SOC developed from remotely sensed and other spatial features using machine-learning methods. The prediction model is trained on Wisconsin soil-test data and applied to construct county-level estimates over the study period. The two sources provide complementary evidence: FinBin measures private economic outcomes, while the predicted SOC panel supplies a spatially and temporally aligned environmental outcome.

Estimating the effect of adoption is challenging because farmers choose their management practices. Producers who adopt may differ from nonadopters in management ability, expectations, resources, soil conditions, or conservation preferences. These same differences can influence profits and soil outcomes. Consequently, a simple comparison of adopters and nonadopters can confound practice effects with selection bias. I address this concern using the Callaway and Sant'Anna (2021) staggered difference-in-differences doubly robust estimator that compare outcome changes for farmers adopting at different times with changes for not-yet-treated or never-treated farmers, under the identifying assumption that, absent adoption, their outcomes would have followed comparable trends conditional on the design. This approach makes treatment timing explicit and permits effects to vary across adoption cohorts and time since adoption.

The reduced-form results show substantial heterogeneity rather than a uniform profit premium. Some crop-practice comparisons have positive estimated net returns, but the pattern differs across outcomes and is not consistently accompanied by higher yields: revenues and expenses can both change, and insurance outcomes are generally less responsive. Several comparisons also show evidence of differential pre-adoption trends, which limits the strength of causal conclusions for those estimates. The SOC analysis likewise finds positive estimates for selected crop-practice comparisons, including reduced tillage for corn and several tillage practices for soybean. These estimates are not uniform across practices or crops, and pre-trend concerns and the county-level predicted outcome require cautious interpretation. I therefore do not convert the estimated changes in SOC

concentration into cumulative carbon sequestration or emissions reductions.

The gradual adjustment of soil capital motivates a dynamic structural model of farm decision-making. I develop a novel dynamic structural model to describe this dynamic. In the model, management affects current production and costs and changes the evolution of soil stocks. soil stocks, in turn, affect future production and the value of insurance. This intertemporal framework clarifies why a practice with short-run transition costs may nevertheless be privately attractive over a longer horizon, and why the answer depends on the persistence of soil improvements, production risk, and farm-specific conditions. I use the model to organize the estimated profitability and soil relationships and to study how soil capitalization shapes adoption incentives. The model complements the reduced-form analysis: the latter estimates outcome changes around adoption, while the former represents the dynamic channels through which those changes can affect choices over time.

This paper makes three contributions. First, it brings farm-level evidence on private returns to the agricultural climate-mitigation debate. Research documents agriculture's emissions and the potential role of soil management in mitigation (Crippa et al., 2021; Smith and Swanson, 2025), but the climate potential of a practice does not establish that farmers have an incentive to adopt it. I combine farmer-year-crop financial records with a county-year panel of predicted SOC and use the group-time doubly robust estimator of Callaway and Sant'Anna (2021) to estimate effects separately by practice and crop under staggered adoption. This design lets me examine a broader set of private outcomes—net returns, revenues, expenses, yields, and crop-insurance outcomes—alongside an environmental proxy. The contribution is to measure this bundle of outcomes across crops and practices, rather than infer profitability from agronomic potential or from a single production outcome; the county-level SOC estimates remain distinct from direct measurements of field-level carbon stocks.

Second, I connect the economics of soil capital to observed farm decisions and outcomes. Existing dynamic studies provide important proof of concept: Berazneva et al. (2019) link maize production to soil-carbon dynamics in western Kenya and show how time preferences and market frictions can separate observed soil stocks from the model's optimal stocks; Brown et al. (2026) use long-run cotton-experiment data to model joint cover-crop and nitrogen choices, finding that the incentive to adopt depends on the soil stock already accumulated; and Malik (2026) studies no-till and reduced-tillage choices when payments depend on uncertain, heterogeneous SOC gains. Building on this literature, I formulate a dynamic model in which management choices affect current production, input and switching costs, and insurance, while also governing soil-stock transitions

that shape future yields and returns. The paper's specific contribution is to place the soil-capital mechanism alongside farmer-level profitability and insurance outcomes for Midwestern row crops, and to use predicted county-year SOC as an additional, explicitly limited measure of soil change.

Third, I contribute to the study of conservation adoption by documenting how private returns vary across crop-practice comparisons and by treating transition costs and production risk as central to persistence. This focus complements evidence that practice use can be heterogeneous, partial, or reversed over time (Newton et al., 2020; Bowman and Pratt, 2025), and the policy analyses of **?**, who shows that behavioral responses can offset intended conservation gains through slippage, and **?**, who demonstrates that spatial heterogeneity and contract design matter for the efficiency of agricultural carbon-sequestration policies. My analysis does not estimate policy additionality or social cost-effectiveness. Instead, it supplies evidence on the farm-level profitability and risk margins that policy design must account for if conservation adoption is to continue beyond initial participation.

2 Regenerative Agriculture

2.1 Principles of Regenerative Agriculture

Regenerative agriculture has no universally accepted definition and can refer to a range of practices intended to improve soil health, biodiversity, and ecosystem services. Commonly cited principles include minimizing soil disturbance, maintaining soil cover, diversifying crops, and integrating livestock. I focus on row-crop production, particularly corn, soybean, and wheat, and considers conservation tillage and cover cropping as management practices associated with these principles.

Conventional field-crop systems in the United States are typically organized around high-input management designed to maximize yield in each production season. In this system, farmers rely on intensive applications of synthetic fertilizer, herbicides, pesticides, tillage passes, and fuel-intensive field operations to sustain high output per acre. The production logic is clear: higher yields increase gross revenue and can help preserve cash flow in the presence of volatile commodity prices and weather risk.

High input use may also reflect the condition of the soil capital. Where soil fertility and organic matter are depleted, producers may rely more heavily on external inputs to sustain production. This can create a reinforcing (vicious) cycle in which low soil quality increases dependence on inputs, while some intensive management practices can further

impair soil structure and biological function.

These modern production systems can also generate environmental costs that are not fully reflected in private production decisions. Intensive soil disturbance and input use are associated with soil carbon depletion and greenhouse-gas emissions, including carbon dioxide (CO_2), methane (CH_4), and nitrous oxide (N_2O) (Vermeulen et al., 2012; Crippa et al., 2021). When these social costs are not internalized, private decisions may favor more emissions-intensive management than is socially optimal.

Regenerative agricultural practices are increasingly framed as a climate-smart alternative to this high-input pathway. The proposed mechanisms include reducing soil disturbance, rebuilding soil structure, and improving biological nutrient cycling. In principle, these changes can support carbon sequestration and long-run productivity by improving nutrient availability and retention, including for phosphorus and nitrogen, while building soil organic carbon (Paustian et al., 2016; Lal, 2015; Newton et al., 2020). Regenerative management is therefore relevant both as an environmental intervention and as an economic production decision.

Conservation tillage minimizes or eliminates mechanical soil disturbance before planting. Compared with conventional systems that use multiple tillage passes to prepare seedbeds and suppress weeds, conservation-tillage systems retain higher crop residue on the soil surface and rely on other weed-control methods. The shift is from managing fields primarily through mechanical disturbance toward management that retains surface cover and supports soil biological processes.

The primary agronomic benefits are improved soil structure and water management (Nunes et al., 2018; Ogle et al., 2019). Less disturbance can reduce erosion, increase aggregate stability, and improve infiltration and moisture retention. Conservation tillage may also support gradual recovery of soil organic carbon by reducing losses associated with repeated disturbance. These soil-health gains may be especially valuable during periods of stress, when moisture retention and rooting conditions constrain yields.

Production effects vary across time and place. During transition, producers may face yield penalties associated with learning costs, changes in pest pressure, compaction concerns, or a mismatch with local soil and climate conditions (Nunes et al., 2018; Newton et al., 2020). Over longer horizons, these losses may narrow or reverse as soil conditions improve and management is adapted. Cost effects also vary: fewer tillage passes can reduce fuel use, labor, and machinery wear, whereas transition may require equipment changes, more intensive management, or higher herbicide expenditures in some systems.

Conservation tillage has expanded in many row-crop regions, but adoption remains heterogeneous across soil types, climate risks, equipment access, and farmer experience

(Newton et al., 2020; Bowman and Pratt, 2025). Partial adoption, intermittent use, and practice reversal are also common (Bowman and Pratt, 2025), suggesting that adoption responds to both short-run profitability and risk-management constraints.

Cover cropping introduces non-cash crops between primary cash-crop seasons. Compared with conventional fallow periods, cover crops maintain living roots in the soil for a larger share of the year and provide additional surface protection. Common row-crop applications include planting winter cover crops after corn or soybean harvest and terminating them before spring planting (Wood and Bowman, 2021; Newton et al., 2020).

The soil benefits are broad: reduced erosion, greater surface protection, improved nutrient retention, and potentially higher soil organic matter through additional biomass inputs (Wood and Bowman, 2021). Cover crops can also reduce nutrient losses by scavenging residual nitrogen and improving nutrient cycling (Pandey et al., 2025; Wood and Bowman, 2021). Over time, these mechanisms may strengthen soil resilience and reduce the sensitivity of production to rainfall and temperature shocks (Wood and Bowman, 2021; Pandey et al., 2025).

As with conservation tillage, production and cost effects involve tradeoffs. Potential benefits include improved long-run soil fertility, better moisture management, and reduced need for some inputs (Wood and Bowman, 2021; LaCanne and Lundgren, 2018). Costs may include seed, termination, and additional field operations, as well as short-run yield penalties when timing, species choice, or termination management is suboptimal (Newton et al., 2020; Pandey et al., 2025). Net profitability therefore depends on local agronomic conditions, management quality, and the evaluation horizon.

Adoption of cover cropping has risen in recent years but remains limited in many row-crop systems relative to its technical potential. This gap may reflect transition risk, short-run cash-flow constraints, and uncertainty about private returns under heterogeneous local conditions.

2.2 Soil Health as Productive Capital

Soil health describes the capacity of soil to sustain biological productivity and perform important ecosystem functions. Soil organic carbon (SOC) is a central indicator in this context because it reflects organic matter in the soil and is linked to soil structure, nutrient cycling, and water management. Soil health is nevertheless broader than SOC alone: properties such as structure and nutrient retention also contribute to the soil's productive capacity. An economic representation can therefore treat soil health as a capital stock that enters the production process alongside annual inputs. Management may build or de-

plete this stock, with consequences for subsequent productivity and input requirements. Unlike purchased inputs whose effects are concentrated in the current season, changes in soil capital accumulate and depreciate gradually. Producers thus face an intertemporal decision: whether the current cost of a soil-building practice is justified by uncertain future returns.

Bioeconomic models make this dynamic relationship explicit by linking agricultural production to a changing soil stock and optimizing management over time. For example, Berazneva et al. (2019) combine an estimated maize production function with soil-carbon dynamics and calibrate the model using agronomic and household data from western Kenya. Their optimal soil-carbon stocks and maize yields exceed observed levels in the study region; the authors associate this gap in part with heterogeneous farmer time preferences, information barriers, and market imperfections. The study also estimates a positive shadow value for soil carbon, illustrating how soil condition can represent both a productive asset and an opportunity cost when it is mismanaged. Its numerical results are specific to the Kenyan production system, but its framework demonstrates why the returns to management should be evaluated across time rather than within a single season.

Brown et al. (2026) extend this soil-capital perspective to the joint choice of cover crops and nitrogen fertilizer. Using a 35-year cotton experiment in West Tennessee, they estimate a yield relationship with accumulated soil capital and fertilizer, then embed the estimates in a dynamic model under biophysical and market uncertainty. In their model, higher soil capital reduces the marginal productivity of fertilizer, while cover-crop adoption becomes optimal only above a threshold level of soil capital. These findings illustrate that adoption incentives can depend on the condition of the soil stock already in place, not only on the practice's average costs and benefits. Because their analysis uses a specific crop, location, and experimental setting, its estimated relationships should not be assumed to transfer directly to all row-crop systems. Together, these studies motivate treating soil condition as a persistent state variable when examining practice adoption and farm profitability.

2.3 Potential of Climate Mitigation via Soil Capture

Agriculture contributes to climate change through several distinct pathways. Production and land-use change emit carbon dioxide (CO_2), fertilizer use can generate nitrous oxide (N_2O), and livestock contribute methane (CH_4). At the same time, soils can remove CO_2 from the atmosphere and store some of that carbon as soil organic carbon (SOC). This

potential has motivated interest in soil-building practices as a climate-mitigation strategy, alongside their possible effects on productivity and resilience (Crippa et al., 2021; Smith and Swanson, 2025).

Table 1 places crop and livestock production in a common descriptive frame by reporting estimated land use, land intensity, and emissions per unit of output. These comparisons help illustrate the variation in emissions and land requirements across commodities, but do not estimate how much carbon any specific regenerative practice will sequester. Soil-carbon mitigation depends on changes in SOC relative to a baseline, not simply on the emissions intensity of the commodity produced.

The mitigation case for increasing SOC is plausible but conditional. Practices that increase carbon inputs to soil or reduce soil disturbance can raise SOC under suitable conditions; however, the magnitude and persistence of gains vary with soil, climate, management, and initial carbon stocks. Accumulation also slows as soils approach a new equilibrium, and stored carbon can be lost if management changes. As a result, soil carbon is a finite, reversible sink, not a permanent substitute for reducing fossil-fuel emissions (Ogle et al., 2019; Smith and Swanson, 2025). Credible estimates of climate benefits therefore require a baseline and attention to additionality, measurement, uncertainty, and permanence. The agronomic potential of soil-carbon practices is consequently best understood as a geographically heterogeneous contribution to mitigation, rather than as a uniform benefit of adopting a practice.

Table 1: Commodity Land Intensity and Carbon Emissions

Commodity	Acres Used (Mill.)	Land Intensity (Acres/lb)	MMT CO_2e	Avg. lb CO_2e/lb
Panel A: Primary Crops				
Corn	91.07	0.0001	134.52	0.461
Cotton	10.90	0.0013	3.64	0.941
Rice	2.75	0.0001	17.33	1.794
Soybeans	75.82	0.0004	40.62	0.466
Wheat	47.27	0.0004	36.04	0.686
Panel B: Secondary Crops				
Barley	3.59	0.0003	4.32	0.909
Hay & Haylage	58.46	0.0002	19.90	0.155
Sorghum	0.90	0.0004	1.22	1.004
Sugarbeet	1.27	0.0000	2.13	0.073
Sugarcane	0.91	0.0000	1.84	0.059
Panel C: Primary Livestock				
Beef Cattle	268.05	0.0169	313.07	43.519
Cattle on Feed	12.48	0.0016	149.19	43.519
Dairy Cows	22.06	0.0048	82.03	39.022
Panel D: Secondary Livestock				
Bison	1.05	0.0036	7.26	55.115
Horses & Ponies	173.46	0.0540	4.89	3.307
Mules, Burros, & Donkeys	29.07	0.1374	0.31	3.307
Goats	36.20	0.1094	5.82	39.022
Mohair & Angora	0.97	0.0321	0.78	39.022
Sheep & Lambs	26.62	0.0308	4.91	12.000
Panel E: Barn Animals				
Chicken	74.26	0.0070	36.76	7.683
Duck	8.59	0.2486	0.18	11.363
Turkey	6.06	0.0020	31.10	22.590
Hogs	23.79	0.0024	102.88	22.590
Panel F: Vegetables, Nuts, and Fruits				
Vegetables	2.48	0.0000	0.85	0.023
Tree Nuts	2.07	0.0004	8.46	2.667
Citrus Fruit	0.88	0.0000	0.92	0.122
Strawberries	0.06	0.0000	0.11	0.084
Blueberries	0.13	0.0000	0.13	0.568

Economic analyses make these biophysical limits central to program design. Malik (2026) models farmers' long-run choices of no-till and reduced tillage under payments linked to SOC gains, allowing sequestration outcomes and farmer returns to vary across soil types and with risk. In the model, the annual payment required to induce adoption ranges from $8 to $32 per ton of carbon across the soil types studied. Greater uncertainty in sequestration outcomes also raises the compensation required. These are model-based thresholds rather than universal market prices, and illustrate why a uniform payment per acre or per unit of carbon may not provide the same incentive across farms. Program evaluation must account for both the expected amount and the risk of additional carbon storage.

2.4 Adoption of Regenerative Agriculture

National adoption statistics show both growth and room for further participation. USDA Census of Agriculture data report that cover-crop acreage increased from 10.3 million acres in 2012 to 15.4 million in 2017 and 18.0 million in 2022. The share of cropland under no-till also rose, from 24.8 percent in 2012 to 26.3 percent in 2017 and 27.5 percent in 2022 (USDA National Agricultural Statistics Service, 2022). These national totals describe the extensive margin of practice use, but do not show whether farms maintain a practice consistently or how intensively it is implemented. Indeed, an ERS analysis tracking the same operations across the 2012, 2017, and 2022 censuses finds that only 3.4 percent reported cover-crop use in all three years, even though 25 percent used cover crops in at least one of them (Bowman and Pratt, 2025). Adoption is therefore not simply a one-time transition; persistence and intermittent use are also important margins.

The costs and benefits described above help explain why adoption varies across producers and over time. Seed, equipment, labor, and additional management can raise near-term costs, while soil benefits may accumulate gradually and depend on local conditions. Producers must also manage uncertainty about yield responses, weather, termination timing, and the future returns to improved soil. These considerations can make adoption less attractive when capital or liquidity is constrained, or when the farm's planning horizon is short. Evidence of partial, intermittent, and discontinued use is consistent with adoption decisions that respond to profitability and risk rather than to agronomic potential alone (Newton et al., 2020; Bowman and Pratt, 2025; Brown et al., 2026).

Public conservation programs and private incentives can help address some of these constraints, although they operate through different mechanisms. The USDA's Environmental Quality Incentives Program (EQIP) provides technical assistance and may provide

financial assistance for eligible conservation practices. The Conservation Stewardship Program (CSP) uses multiyear contracts to compensate producers for maintaining and improving conservation on working lands (USDA Natural Resources Conservation Service, 2026c,a). State programs and private supply-chain or carbon-market initiatives provide additional possible channels for reducing transition costs or rewarding environmental outcomes. Carbon payments can link compensation more directly to climate benefits, but require credible measurement and rules for additionality and permanence; practice-based cost-share programs instead subsidize eligible management without necessarily paying in proportion to realized carbon gains. These programs are therefore useful policy counterfactuals for studying whether support changes adoption and whether any resulting profitability effects persist after incentives end.

3 FinBin Data: A Panel of Farmer Finances

3.1 The Data Generating Process

The analysis uses crop- and farm-level records compiled from farm business management programs and made available through FINBIN, a farm financial benchmarking resource maintained by the University of Minnesota's Center for Farm Financial Management (CFFM). Participating producers work with farm business management educators and advisers using FinPack and related record-keeping and analysis tools to organize whole-farm financial and enterprise information. These records support farm management, financial analysis, and credit assessment; their detailed accounting structure makes it possible to study crop-level revenues, expenses, and management in a way that is uncommon in general-purpose agricultural surveys (University of Minnesota Center for Farm Financial Management, 2026a,b). Because the records originate in a voluntary farm business management setting, however, the participating operations should not be assumed to represent all farms, and the data were not collected as a representative random sample.

Access to the research data was approved through five data collaborators: the Minnesota State Farm Business Management Program; the University of Minnesota Extension Southwest Minnesota Farm Business Management Association; Nebraska Farm Business, Inc.; the Ohio Farm Business Analysis and Benchmarking Program; and the Utah Center for Farm and Ranch Management. The data contains annual records from 2000 through 2025 for corn, soybean, and wheat production. The number of crop observations per year are an unbalanced panel ranging from 9,601 in 2025 to 11,569 in 2007.

The analytic sample contains 275,085 farm $\times$ crop $\times$ year observations from 9,506

unique FinBin farm identifiers. Of these crop records, 142,746 are corn, 109,555 soybean, and 18,124 wheat observations. These farmers are sourced from 12 states with records concentrated in Minnesota (241,409 obs.) and Nebraska (27,210 obs.). The remaining ten states together account for a small share of the analytic sample. Accordingly, the data provide a long farm-level panel with substantial depth in these two states rather than uniform national coverage.

The unit of analysis is a farm $\times$ crop $\times$ year as opposed to an ideal field-level analysis. A farm may therefore contribute multiple crop observations in a year. Many conservation decisions are made at the field level, but the available records do not identify which fields within a crop enterprise receive a practice. The crop-level indicators consequently represent reported management for that farm's crop enterprise and cannot capture within-crop differences across fields. Interpreting them as field-level treatment would require assuming uniform practice use across the relevant fields, an approximation that may introduce exposure misclassification and attenuate estimated effects. The panel's state and year coverage, and its unbalanced structure, are accounted for in the descriptive and empirical analyses that follow.

3.2 Farmer Adoption of Regenerative Agriculture

FinBin records tillage system and cover-crop use at the crop level for each farm-year. The tillage variable distinguishes moldboard, reduced till, minimum till, no-till, ridge till, and strip till; records coded as "no answer" are grouped with conventional, moldboard-equivalent tillage in the constructed measure.[1] Cover-crop use is coded as one if the crop record indicates either that the crop was grown with a cover crop (inter-cropping) or that it followed a cover crop (over-wintering). Because all records reporting overwintering also report intercropping, it is difficult empircially to distinguish the difference of these two practices seperately. As such, I combine them into a single cover cropping indicator.

I define adoption through the use of binary practice indicators. The binary indicators identify use of a reported practice in a given crop-year and support a direct comparison of adopters and non-adopters.

[1] This classification was confirmed through consultation with CFFM data managers.

Table 2: Farmers Practice Adoption and Adoption Paths (N, % of Farmers)

Adoption Paths	Corn	Soybean	Wheat
# of Farmers (N)	8,967	7,960	2,199
Conventional Till	3,879 (43.3%)	3,267 (41.0%)	1,143 (52.0%)
Cover Crop	152 (1.7%)	150 (1.9%)	10 (0.5%)
Compliers	95 (1.1%)	91 (1.1%)	7 (0.3%)
Switchers	57 (0.6%)	59 (0.7%)	3 (0.1%)
Conservation Till	827 (9.2%)	1,072 (13.5%)	95 (4.3%)
Compliers	455 (5.1%)	537 (6.7%)	48 (2.2%)
Switchers	372 (4.1%)	535 (6.7%)	47 (2.1%)
No-Till	366 (4.1%)	700 (8.8%)	66 (3.0%)
Compliers	128 (1.4%)	271 (3.4%)	27 (1.2%)
Switchers	238 (2.7%)	429 (5.4%)	39 (1.8%)
Reduced Till	4,719 (52.6%)	4,220 (53.0%)	1,011 (46.0%)
Compliers	2,753 (30.7%)	2,380 (29.9%)	567 (25.8%)
Switchers	1,966 (21.9%)	1,840 (23.1%)	444 (20.2%)

The table summarizes observed practice use among the unique FinBin farms represented in each crop sample: 8,967 corn farms, 7,960 soybean farms, and 2,199 wheat farms. Cover-crop use is uncommon in these samples (1.7 percent of corn farms, 1.9 percent of soybean farms, and 0.5 percent of wheat farms), while reduced-tillage reports are far more common (approximately 46–53 percent). No-till is reported by 4.1 percent of corn, 8.8 percent of soybean, and 3.0 percent of wheat farms. These figures summarize whether a farm ever reported a practice during its observed panel, not its share of crop acres under that practice or the probability of adoption in a typical year.

The adoption-path rows distinguish farms that continue reporting a practice after its first observed use from those with a less persistent pattern. In the table, Compliers is a descriptive label for farms that keep reporting the practice in all subsequent observed years. Missing practice observations are treated as non-use when classifying paths, so persistence may be understated. Switchers includes the remaining farms that ever report the practice but do not continue reporting it in all subsequent observed years. Persistence varies by practice: among cover-crop adopters, 62.5 percent of corn farms, 60.7 percent of soybean farms, and 70.0 percent of wheat farms continue reporting use after the first observed adoption. The crop-specific farm counts are unbalanced, and farms enter and leave the panel at different times, so these observed paths should not be interpreted as full histories of management.

Practice rows are not mutually exclusive. Cover crops can be used alongside any

tillage system, and the conservation-tillage indicator includes no-till, minimum till, and strip till practices. Consequently, the row percentages should not be added to obtain a total adoption rate. At a finer spatial scale, I also summarize practice use by county, crop, and year. Because FinBin identifies farm locations only at the county level, the comparison with county-level soil-carbon measures cannot match practices to individual fields. Aggregating the crop-level management reports to county-year shares therefore introduces measurement error and ecological aggregation. The county-level summaries are used to describe spatial and temporal coverage and are assessed separately from the farm-level treatment measures.

Finally, crop-specific logit models reported in Appendix section C examine how observed farm, crop, and operator characteristics are associated with practice reports. These estimates are reported as descriptive, conditional associations rather than causal determinants of adoption: adoption is selected by producers, practice indicators are sparse for some crop-practice combinations, and the models do not remove all unobserved differences between farms or fields. They therefore provide context for sample composition and adoption patterns, not a substitute for the causal design developed below.

3.3 Profit Ledgers

To better understand the financial implications of different management practices, we examine crop-level profit ledgers for corn, soybeans, and wheat. These ledgers provide a detailed breakdown of revenue, expenses, and profitability across management types. The three profit ledgers report crop-level means, with standard deviations in parentheses, for revenue, expense, and profit components by crop and management indicator.

Gross return combines main-product value with miscellaneous crop income, including crop-insurance income; total expenses combine direct and overhead expenses. Net return is gross return less total expenses, and net profit margin is net return divided by gross return; margins below -100% are set to -100% in the analysis data. Monetary figures are pooled across years and are not adjusted for inflation, so the dollar means should be read as nominal amounts rather than as real purchasing-power comparisons.

The ledgers show substantial descriptive variation across management groups. For corn, mean net returns range from \$77.67 per acre for conventional tillage to \$130.73 for the cover-crop group; the corresponding mean net profit margins are 4.64% and 9.81%. The higher gross returns in the cover-crop group (\$1,000.22 per acre, compared with \$590.95 for conventional tillage) are accompanied by higher total expenses (\$869.49 versus \$513.28), leaving a more modest difference in net return. For soybeans, reduced-

till observations have the highest mean net return ($100.94 per acre), while the cover-crop group averages $84.61 and has a 9.69% mean margin, below conventional tillage's 11.62%. Wheat has lower and more variable mean profitability: conventional tillage averages $33.77 per acre, reduced tillage $42.15, and cover crops −$38.40; mean margins are negative for the no-till, cover-crop, and conservation-tillage groups.

Table 3: Profit Ledger: Corn (Mean, SD in parentheses)

Statistic	Conventional Till	No-Till	Cover Crop	Reduced-Till	Conservation Till
Revenues					
Yield (Bu/Acre)	249.20 (214.07)	201.24 (160.18)	301.27 (256.14)	239.32 (187.32)	215.32 (158.95)
Price ($/Bu)	3.24 (1.77)	3.97 (1.54)	4.21 (1.72)	3.54 (1.54)	3.96 (1.52)
Crop Revenue ($/Acre)	560.01 (393.87)	659.84 (315.89)	924.06 (288.32)	680.79 (283.02)	723.93 (320.85)
Crop Insurance Income ($/Acre)	21.10 (74.31)	25.02 (71.34)	58.12 (170.04)	22.56 (67.51)	27.03 (76.66)
Gross Return ($/Acre)	590.95 (404.47)	697.84 (316.50)	1000.22 (293.76)	714.55 (285.17)	764.77 (324.59)
Expenses					
Direct Expenses ($/Acre)	395.71 (240.91)	469.15 (211.84)	699.18 (188.06)	479.97 (200.18)	510.75 (223.28)
Seed & Plants ($/Acre)	78.01 (37.47)	84.06 (36.79)	122.15 (30.76)	91.37 (35.89)	93.36 (37.11)
Fertilizer ($/Acre)	103.20 (69.44)	126.68 (73.68)	176.25 (71.46)	119.16 (68.04)	131.07 (72.45)
Crop Chemicals ($/Acre)	35.42 (23.08)	37.13 (22.36)	54.41 (24.83)	32.92 (18.04)	37.14 (21.19)
Hired Labor ($/Acre)	4.19 (13.75)	5.81 (14.48)	19.00 (19.04)	4.36 (12.76)	7.21 (15.57)
Overhead Expenses ($/Acre)	117.58 (93.81)	117.12 (77.68)	170.32 (108.38)	132.10 (90.38)	132.81 (91.39)
Crop Insurance ($/Acre)	19.26 (16.12)	19.67 (13.66)	29.40 (14.16)	19.69 (13.12)	21.22 (14.04)
Total Expenses ($/Acre)	513.28 (290.41)	586.27 (239.02)	869.49 (190.52)	612.07 (231.13)	643.56 (255.77)
Profit					
Net Return ($/Acre)	77.67 (275.33)	111.57 (230.18)	130.73 (297.28)	102.49 (210.90)	121.21 (226.40)
Net Profit Margin (%)	4.64 (32.61)	9.84 (29.89)	9.81 (23.94)	10.04 (26.06)	11.09 (26.68)
Observations					
# of Observations	74,520	2,352	989	61,030	7,196
# of Farmers	7,373	366	152	4,719	827

Table 4: Profit Ledger: Soybean (Mean, SD in parentheses)

Statistic	Conventional Till	No-Till	Cover Crop	Reduced-Till	Conservation Till
Revenues					
Yield (Bu/Acre)	45.30 (15.64)	48.29 (12.47)	51.53 (14.82)	48.01 (12.21)	49.60 (12.42)
Price ($/Bu)	9.00 (2.97)	9.61 (2.69)	11.82 (2.63)	9.46 (2.64)	9.85 (2.78)
Crop Revenue ($/Acre)	370.69 (228.30)	448.95 (189.45)	601.68 (194.86)	449.32 (186.56)	475.77 (201.40)
Crop Insurance Income ($/Acre)	12.62 (71.68)	15.26 (42.73)	32.56 (76.57)	13.01 (40.27)	17.29 (49.82)
Gross Return ($/Acre)	393.13 (242.44)	476.55 (191.58)	651.66 (181.24)	474.13 (187.38)	504.55 (203.78)
Expenses					
Direct Expenses ($/Acre)	244.35 (166.51)	288.75 (145.26)	443.46 (141.64)	280.93 (138.42)	309.64 (157.06)
Seed & Plants ($/Acre)	44.91 (21.96)	47.67 (18.65)	68.10 (21.20)	47.05 (17.78)	47.50 (18.89)
Fertilizer ($/Acre)	27.16 (34.51)	30.00 (29.96)	58.19 (30.41)	25.68 (26.82)	32.51 (30.64)
Crop Chemicals ($/Acre)	35.14 (26.12)	38.83 (24.06)	65.88 (24.50)	35.09 (22.00)	41.40 (25.48)
Hired Labor ($/Acre)	2.82 (10.89)	4.64 (11.60)	24.79 (20.44)	3.62 (11.25)	6.01 (13.35)
Overhead Expenses ($/Acre)	83.91 (76.11)	90.17 (68.13)	123.59 (90.98)	92.27 (71.51)	96.69 (74.13)
Crop Insurance ($/Acre)	17.21 (13.17)	17.70 (12.08)	28.06 (15.31)	18.64 (11.58)	19.08 (12.68)
Total Expenses ($/Acre)	328.26 (201.85)	378.92 (159.83)	567.06 (148.38)	373.20 (151.22)	406.33 (173.79)
Profit					
Net Return ($/Acre)	64.87 (151.46)	97.63 (134.93)	84.61 (191.77)	100.94 (136.57)	98.22 (145.73)
Net Profit Margin (%)	11.62 (42.44)	17.00 (25.87)	9.69 (27.35)	17.66 (25.19)	16.22 (26.62)
Observations					
# of Observations	54,290	4,474	846	47,392	7,873
# of Farmers	6,399	700	150	4,220	1,072

Table 5: Profit Ledger: Wheat (Mean, SD in parentheses)

Statistic	Conventional Till	No-Till	Cover Crop	Reduced-Till	Conservation Till
Revenues					
Yield (Bu/Acre)	50.83 (18.17)	52.83 (15.03)	60.68 (14.01)	57.36 (16.14)	55.32 (15.81)
Price ($/Bu)	5.06 (1.82)	5.55 (1.82)	7.03 (1.59)	5.88 (1.72)	6.09 (1.96)
Crop Revenue ($/Acre)	248.40 (234.61)	303.58 (182.02)	422.73 (152.62)	340.68 (147.07)	345.65 (179.11)
Crop Insurance Income ($/Acre)	5.71 (28.35)	8.21 (31.16)	10.90 (40.38)	8.55 (31.80)	10.73 (35.96)
Gross Return ($/Acre)	266.68 (238.01)	323.17 (184.25)	448.47 (162.70)	363.56 (146.90)	372.62 (182.45)
Expenses					
Direct Expenses ($/Acre)	181.00 (108.80)	252.33 (113.19)	380.41 (104.83)	248.91 (101.66)	282.79 (116.57)
Seed & Plants ($/Acre)	18.30 (10.57)	22.20 (12.41)	44.18 (31.33)	22.12 (10.73)	25.07 (14.16)
Fertilizer ($/Acre)	56.66 (38.91)	71.54 (42.37)	117.83 (45.10)	78.25 (39.25)	86.21 (46.52)
Crop Chemicals ($/Acre)	22.10 (14.08)	26.61 (18.63)	41.60 (24.29)	27.00 (14.22)	31.40 (19.28)
Hired Labor ($/Acre)	0.88 (4.52)	2.11 (11.80)		2.44 (7.75)	2.17 (11.75)
Overhead Expenses ($/Acre)	51.90 (41.70)	58.23 (43.53)	106.47 (59.87)	72.51 (49.58)	76.04 (60.96)
Crop Insurance ($/Acre)	10.90 (8.06)	12.16 (9.28)	12.20 (6.67)	14.43 (8.24)	13.86 (9.48)
Total Expenses ($/Acre)	232.90 (128.92)	310.57 (129.25)	486.88 (122.20)	321.42 (116.92)	358.83 (144.66)
Profit					
Net Return ($/Acre)	33.77 (201.75)	12.60 (159.75)	-38.40 (192.36)	42.15 (114.05)	13.79 (153.85)
Net Profit Margin (%)	4.98 (32.47)	-4.68 (36.11)	-17.42 (42.69)	5.89 (30.47)	-3.43 (34.76)
Observations					
# of Observations	10,876	231	72	6,911	337
# of Farmers	1,839	66	10	1,011	95

4 Soil Data: Predicting Soil Organic Carbon using Machine Learning

4.1 Difficulty in Measuring Spatio-temporal Soil Organic Carbon

Evaluating whether regenerative practices are associated with soil-carbon accumulation requires repeated measurements that can be linked to management at a sufficiently fine spatial scale. This is difficult because soil organic carbon (SOC) changes gradually, soil sampling is costly, and soil tests are not routinely collected from the same fields at regular intervals. A difference-in-differences design therefore requires more than a spatial map of baseline SOC: it needs comparable measurements across locations and years, with treatment timing and location measured consistently. In this study, FinBin farm locations are available only at the county level due to confidentiality concerns, so the outcome must also be constructed at the county-year level. This spatial aggregation limits the analysis to county-level changes and does not reveal changes on the specific fields where practices were adopted.

Existing soil maps provide useful baseline information but do not directly solve this measurement problem. U.S. soil survey products such as SSURGO and STATSGO2 characterize mapped soil properties and are valuable for controlling for persistent differences in soil characteristics, but are not repeated annual observations of SOC for the same farms (USDA Natural Resources Conservation Service, 2026b). SoilGrids provides global predictions of soil properties, including SOC, at 250-m resolution and six standard depth intervals, with pixel-level uncertainty (ISRIC - World Soil Information, 2026). These model-based surfaces support spatial comparison, but a mapped estimate is not a panel of observed county-year changes aligned to FinBin management histories. Other national or global SOC mapping products face the same basic challenge for this application: spatial resolution, measurement years, target depth, and estimation methods may differ from the farm panel, and repeated surfaces need not represent comparable measurements through time. I therefore use these products as context rather than as the outcome for the causal analysis.

4.2 Prediction Using Remotely Sensed Machine Learning

To construct a time-varying proxy, I combine soil-test observations with remotely sensed and other environmental features in a supervised machine-learning model. Optical reflectance and vegetation indices do not measure SOC directly; instead, they provide in-

formation on vegetation, surface conditions, and land cover that can be predictive when combined with soil, terrain, and climate covariates. Prior work demonstrates the feasibility of this approach in specific settings. For example, Chen et al. (2024) compare random forest, XGBoost, and support-vector methods for surface SOC prediction in Shandong using soil samples and multiple environmental data sources. Their results support testing flexible models and combining covariate families, but accuracy in a different region does not establish accuracy for the Upper Mississippi River Basin. I therefore evaluate candidate models against Wisconsin soil-test data rather than assume that published performance transfers to this application.

The target in my training data is county-year mean soil organic matter (OM), as reported by the Wisconsin Soil and Forage Laboratory. I convert predicted OM to approximate SOC using the conventional factor of 0.58; as described in the appendix. The resulting measure is a predicted concentration, not a soil-carbon stock or a field-level measurement. Because FinBin reports farm location only by county, I aggregate the prediction target and spatial predictors to county-year. This aligns their geographic units but cannot identify within-county variation.

4.3 Ground Truth Data

The Wisconsin Soil and Forage Laboratory provides a state-wide soil-testing service and publishes county-year summaries of submitted samples. The usable training panel spans 1995–2019 and includes 1,799 county-year observations across all 72 Wisconsin counties, representing 5,336,425 submitted samples, or about 2,967 samples per county-year on average. The county-year mean OM values range from 0.10% to 21.80%. As discussed in the appendix, the distribution of submissions is not a random sample of Wisconsin cropland, the submitted samples are not necessarily distinct fields or farms, and some county-year averages are based on few samples. The labels should consequently be interpreted as laboratory summaries of submitted tests, not error-free or representative measurements of every field in a county.

I have not obtained equivalent county-year ground-truth data for Minnesota despite efforts to access data from the University of Minnesota Soil Testing and Research Analytical Laboratory (MOSH). The prediction model is therefore trained in Wisconsin and applied to Minnesota without a Minnesota test set. This cross-state application assumes that the relationship between predictors and OM transfers across states.

4.4 Selecting the Best Performing Machine Learning Model

I compare fifteen candidate machine learning regressors rather than selecting a model a priori. The comparison includes a mean-prediction baseline, regularized linear models, support-vector regression, neural-network models, random forests and extremely randomized trees, gradient-boosted trees, and a random-forest/neural-network hybrid. Predictor families include satellite reflectance and vegetation-index summaries, mapped soil characteristics, ecoregion, time terms, and indicators for missing or lagged features. The appendix describes the feature construction and model specifications. The fitted expanded feature set contains 150 predictors after features with no observed values are removed.

The usable Wisconsin panel contains 1,799 county-year observations. I reserve a stratified random sample of 20% of the county observations within each year for the holdout (test) set, leaving 1,449 training observations and 350 holdout observations in the saved comparison. The same county may occur in training in some years and in the holdout in other years, so this split evaluates prediction for held-out county-year observations within the observed period, not generalization to entirely unseen counties or future years. To hypertune these models, I perform a grid search over hyperparameter values using the training set and select the combination that minimizes cross-validated error. This is evaluated using three-fold cross-validation grouped by year.

XGBoost ranks first among the fifteen models on holdout RMSE, narrowly ahead of random forest (0.595 versus 0.605 OM percentage points). For XGBoost, the holdout root mean squared error (RMSE) is 0.595 percentage points, mean absolute error (MAE) is 0.309, and R^2 is 0.587; its year-grouped cross-validation RMSE is 1.198 and R^2 is -0.188, indicating substantially weaker performance when years are held out.

XGBoost builds an additive ensemble of decision trees, fitting successive trees to reduce the remaining prediction errors and allowing nonlinear relationships and interactions among predictors. I use it to generate the reported predictions because it performs best at prediction out-of-sample. The same holdout set is used to rank the candidate models, so the winning holdout score is a model-selection statistic rather than an independent final validation estimate. The figure below plots the observed and predicted OM values for the complete Wisconsin panel within the training set. Table 6 reports the holdout performance metrics for all fifteen candidate machine learning models in descending order of holdout RMSE.

Table 6: Organic Matter (OM) Machine Learning Models Out-of-Sample Prediction

		Performance Metrics		
Model	Test Group	Root Mean Sq. Error (RMSE)	Mean Abs. Error (MAE)	R2
Extreme Gradient Boosting	Hold Out Group	0.595	0.309	0.587
Random Forest (RF)	Hold Out Group	0.605	0.325	0.573
Random Forest (Tuned)	Hold Out Group	0.606	0.327	0.572
Extra Trees	Hold Out Group	0.608	0.328	0.568
Gradient Boosting	Hold Out Group	0.610	0.362	0.566
RF + MLP Hybrid	Hold Out Group	0.613	0.335	0.562
Extra Trees (Tuned)	Hold Out Group	0.616	0.334	0.557
Histogram Gradient Boosting	Hold Out Group	0.682	0.373	0.457
Support Vector Machines	Hold Out Group	0.768	0.446	0.312
Lasso	Hold Out Group	0.795	0.541	0.263
Elastic Net	Hold Out Group	0.795	0.540	0.262
Multilayer Perceptron (Tuned)	Hold Out Group	0.803	0.505	0.248
Long Short-Term Memory	Hold Out Group	0.837	0.565	0.182
Dummy Classifier (Base)	Hold Out Group	0.928	0.611	-0.005
Multilayer Perceptron	Hold Out Group	0.944	0.552	-0.040

Note: Details on the machine learning model specificaitons are discussed in Section **??**. To rank order model selection, my primary consideration is to minimize RMSE for the out-of-sample model prediction. Additionally, MAE and R2 are considered as an explantion for the model explaining variation.

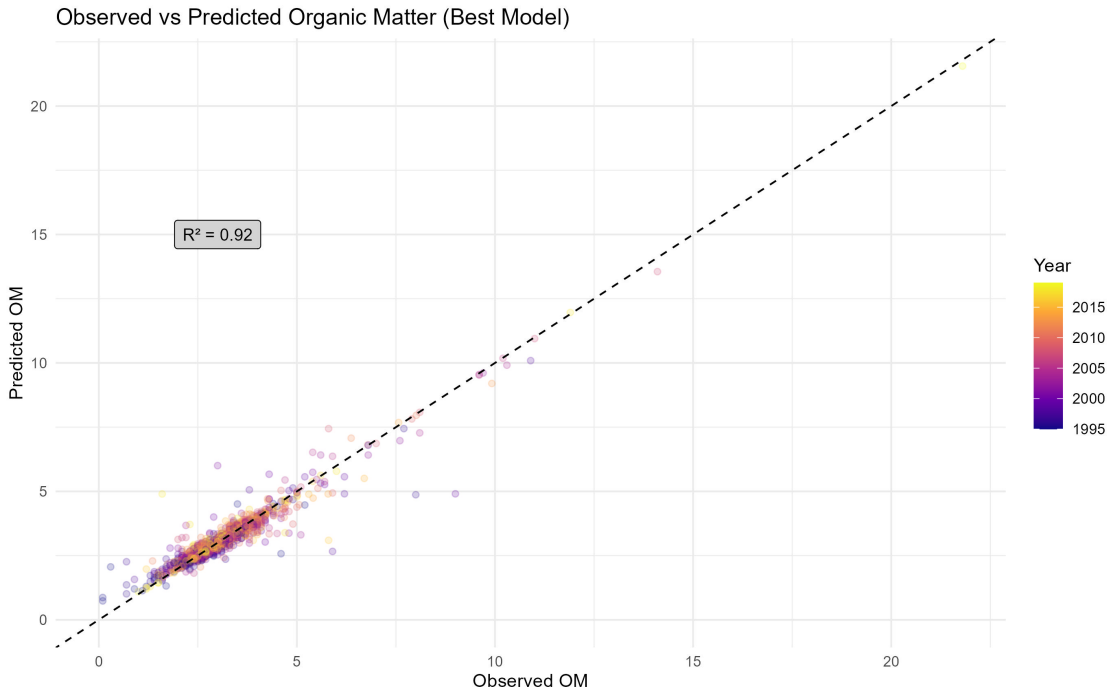


Figure 1: Observed and Predicted County-Year Organic Matter in Wisconsin. Predictions are from the selected XGBoost model; the plotted R^2 is calculated over the complete panel and is not the holdout score.

4.5 Predicting SOC for Minnesota Farmers

I apply the Wisconsin-trained XGBoost model to county-year features for Minnesota, where FinBin farm records are available. The analysis is restricted to Minnesota because I do not have comparable ground-truth samples for the other FinBin states. Predictions for Nebraska or other states would require additional validation. Application to Minnesota is an extrapolation across states, not an estimate calibrated to Minnesota soil tests.

The constructed Minnesota panel used in the FinBin analysis contains 1,392 county-year records for 87 counties over 2010–2025. Its predicted SOC varies across most counties, with 79–80 distinct predictions per year, but only 25.3%–38.7% of the model features are nonmissing per county-year. The county maps and crop-by-practice time series below show spatial and temporal patterns and associations in the linked data; they do not establish that the practices caused SOC changes.

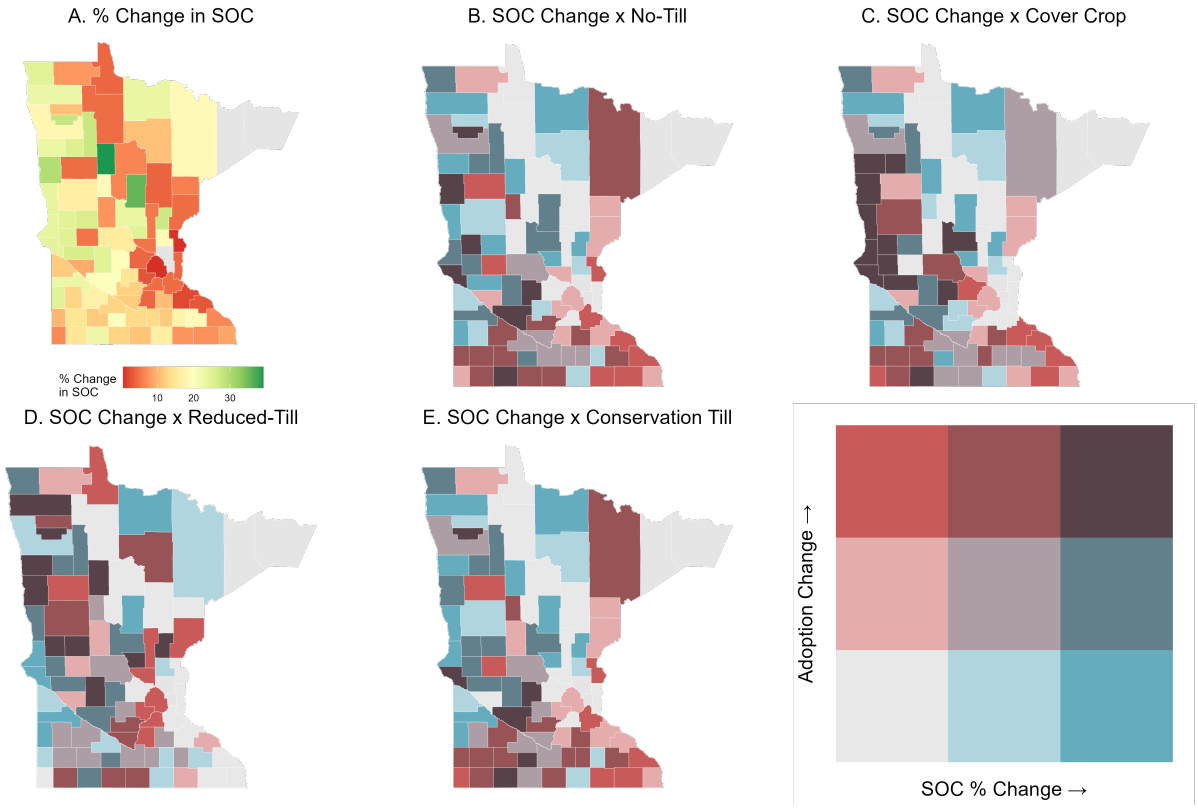


Figure 2: County-Level Predicted SOC and Its Descriptive Association with Adoption in Minnesota

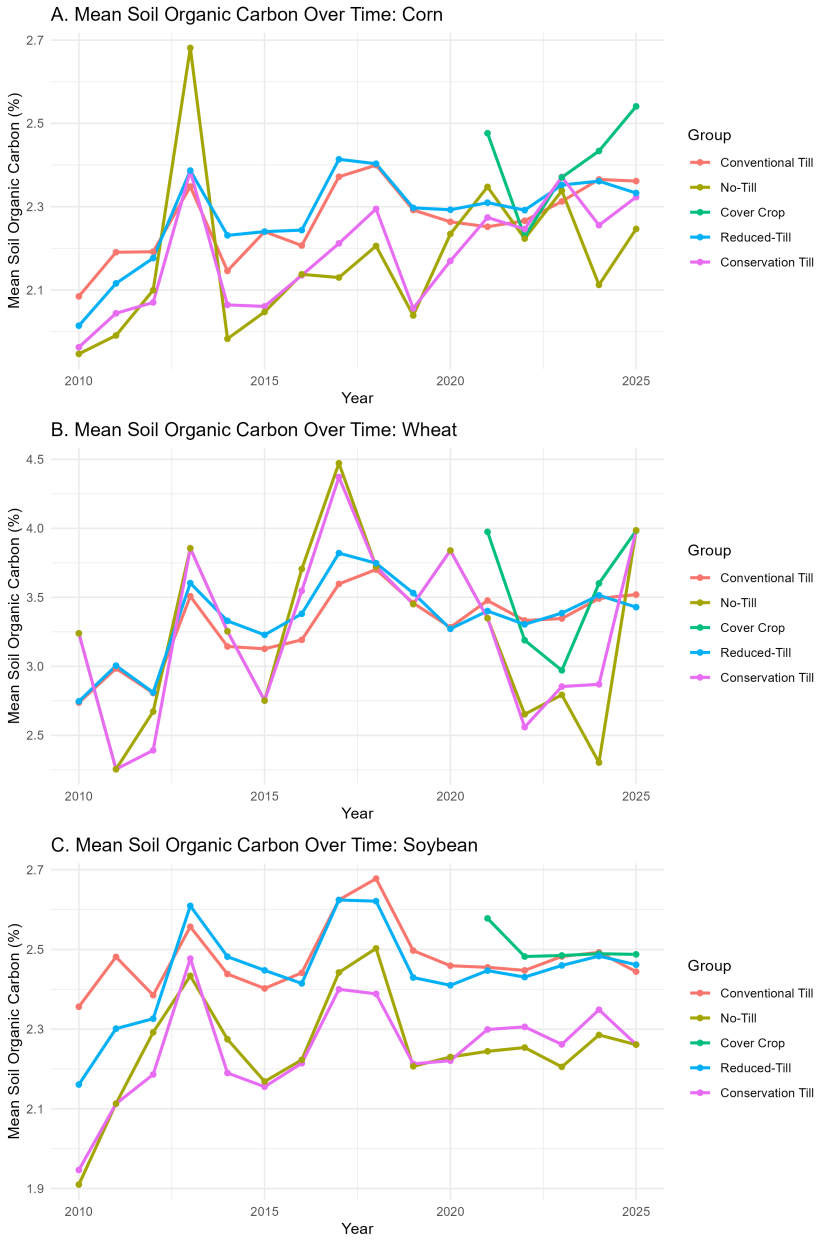


Figure 3: Mean Predicted SOC Over Time by Crop and Management Group in Minnesota. Practice groups are not mutually exclusive; trends are descriptive and are not causal estimates.

5 Causal Identification

5.1 Treatment Definition

I define treatment constructing separate binary management indicators from the tillage and cover cropping responses recorded in FinBin. Rather than combining practices into a single regenerative-agriculture indicator, I estimate separate models for cover-crop use, no-till, reduced tillage, and conservation tillage. The cover-crop indicator equals one when the enterprise is reported as either intercropped with a cover crop or grown after a cover crop. Reduced tillage corresponds to the chisel/reduced-till, and no till corresponds to reported no-till tillage systems. Conservation tillage combines minimum, no-, ridge, and strip tillage to capture a broader range of regenerative tillage practices. Because no-till is included within this broader conservation-tillage definition, these treatment categories overlap and are not mutually exclusive.

For practice p, let A_{it}^{p} indicate whether farmer i reports practice p in year t, and define the first recorded adoption year as $G_i^p = \min\{t : A_{it}^{p} = 1\}$. The treatment status used in each event study is then

$$D_{it}^{p} = \mathbf{1}\{t \geq G_i^p\}, \tag{1}$$

with $G_i^p = \infty$ for farmers who never report the practice during the observed panel. I estimate a separate event study for each practice and crop outcome. In the data construction, however, the first reported year is calculated at the FinBin farmer-ID level across that farmer's crop records; it is not a field-level or crop-specific adoption date. The crop-specific analyses therefore compare crop outcomes according to the farmer's first observed report of the practice, even where the first report may concern another crop.

This treatment definition captures the extensive margin of first reported use, not the intensity, acreage share, or duration of use. The event-study treatment remains in effect after the first report even if a farmer later stops reporting the practice. In addition, crop rotation means that an outcome for a given crop-year may not refer to the same physical field over time. These features can blur the timing and location of exposure and should temper interpretation of the estimated effects as impacts of sustained, field-level adoption.

5.2 Endogeneity Concern

Adoption is not randomly assigned. Farmers may select practices in response to expected yields, soil conditions, weather risk, financial resources, equipment accessibility, experience, or conservation preferences. Some of these factors can also affect farm profitability and soil health as detected through soil organic carbon. A simple comparison of adopters and non-adopters may therefore combine practice effects with pre-existing differences between the groups; the direction of this selection bias is not known a priori.

Figure 4 summarizes the hypothesized relationships among adoption, farm and farmer characteristics, and the outcomes through a directed acyclic graph (DAG). The fixed-effects and staggered difference-in-differences designs address time-invariant differences and common year shocks, while the controlled specifications condition on a limited set of observed covariates.

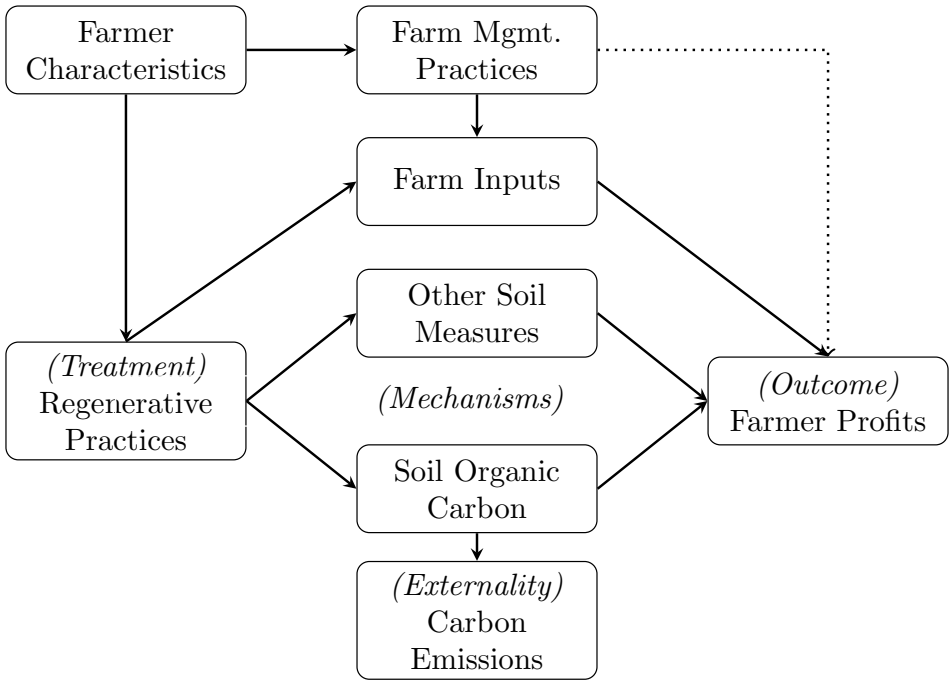


Figure 4: Directed Acyclic Graph of Regenerative Agriculture's Relationship to Farm Profit and GHG Storage

Note: The diagram uses the causal-inference notation described by Pearl (2009). Arrows indicate hypothesized causal directions; the dotted arrow denotes a relationship involving a factor that is not observed in the analysis data.

5.3 Identification Strategy

To recover causal effects of adopting regenerative agricultural practices on farm profitability and soil health as measured by soil organic carbon, I employ a difference-in-differences (DiD) methodological framework. I use two-way fixed effects (TWFE) as a benchmark. For each treatment definition and outcome, the event-study specification is

$$Y_{it} = \alpha_i + \lambda_t + \sum_{\substack{k=-5 \\ k\neq -1}}^{15} \beta_k \mathbf{1}\{t - G_i^p = k\} + \boldsymbol{\gamma}' \mathbf{X}_{it} + \varepsilon_{it}, \tag{2}$$

where Y_{it} is the outcome for farmer i in year t, α_i and λ_t are farmer and year fixed effects, and event time $k = -1$ is the omitted reference period. The event window includes leads from -5 to -2 and lags from 0 to 15. The coefficients β_k describe changes relative to the year immediately before first reported adoption. Equation2 is estimated separately for each of the three main crop commodity samples: corn, soybean, and wheat. α_i and λ_t capture unobserved time-invariant farmer characteristics and common year shocks, respectively.

The identifying assumption is that, absent adoption, outcomes for farmers first reporting the practice in different years would have evolved in parallel, conditional on the fixed effects and observed covariates. This assumption cannot be established from the data, but may be diagnostically evidenced via event-study leads. Under parallel trends and no anticipation, pre-treatment coefficients provide evidence about the plausibility of the design, while post-treatment coefficients describe dynamic effects relative to the reference period. The appendix reports pre- and post-adoption event-time estimates and alternative staggered-DID specifications.

The controlled TWFE specifications add a vector of covariates $\mathbf{X}_{it}$ including crop-specific growing and killing degree days, the number, age, and farming experience of operators, sole-proprietorship and partnership indicators, and the farm's percent of crop acres owned. Standard errors are clustered at the level of treatment assignment – the farmer ID – to allow errors to be correlated within farmer over time.

TWFE is a useful benchmark, but under staggered adoption its event-time coefficients may combine comparisons between newly treated units, never-treated units, and already-treated units. When treatment effects vary across cohorts or over event time, those comparisons can receive non-convex or negative weights. The resulting coefficients need not equal the cohort-specific average treatment effects. I therefore interpret TWFE as a comparison specification and perform my DID estimation using the cohort-time estimates from the Callaway–Sant'Anna approach below.

5.4 Staggered Difference-in-Differences

To estimate a staggared DiD event study strategy, I create staggared treatment cohorts based on the first reported adoption year for each practice. This complements TWFE with the group-time difference-in-differences estimator of Callaway and Sant'Anna (2021). For each practice, let $G_i^p = g$ denote the first year farmer i reports practice p, and let $G_i^p = \infty$ denote a farmer who never reports that practice in the observed panel. For cohort g and year $t \geq g$, the target is the group-time average treatment effect

$$ATT(g,t) = E\left[Y_{it}(g) - Y_{it}(\infty) \mid G_i^p = g\right], \tag{3}$$

where $Y_{it}(g)$ is the outcome under adoption beginning in year g, and $Y_{it}(\infty)$ is the outcome under no adoption during the panel. The estimator compares each adoption cohort with never-treated farmers rather than using already-treated farmers as controls. It thus avoids the particular already-treated comparisons that can make conventional TWFE estimates difficult to interpret when effects vary across cohorts or event time.

I estimate these group-time effects using the doubly robust (DR) variant, with never-treated farmers as the comparison group and a universal base period corresponding to event time $t = -1$ (Callaway and Sant'Anna, 2021). The DR procedure combines an outcome-regression adjustment for the untreated outcome path with propensity-score weighting to balance observed covariates between each treated cohort and its comparison group. Under conditional parallel trends, and overlap identification conditions, the estimator is consistent if either the propensity-score model *or* the outcome-regression model is correctly specified. This property does not address unobserved confounding or guarantee greater precision. But it does construct a broadly flexible estimator that can accommodate heterogeneous treatment effects.

The group-time effects estimated by the doubly robust estimator are expressed as

$$\widehat{ATT}^{DR}(g,t) = \frac{1}{N_g} \sum_{i:G_i=g} \left[\Delta Y_{it} - \widehat{m}_{0,g,t}(X_i)\right] - \frac{1}{N_g} \sum_{i:G_i=\infty} \frac{\widehat{p}_g(X_i)}{1-\widehat{p}_g(X_i)} \left[\Delta Y_{it} - \widehat{m}_{0,g,t}(X_i)\right], \tag{4}$$

and aggregated as an average treatment effect on the treated (ATT) as

$$ATT^{CS}(k) = \sum_g w_{g,k} ATT^{CS}(g, g+k). \tag{5}$$

Under this specification, the covariates included for the set of controls in the doubly robust estimation approach are growing degree days (GDD), killing degree days

(KDD), number of farm operators, operator age and years of farming experience, sole-proprietorship and partnership indicators, and percent of crop acres owned. To avoid conditioning on post-adoption changes in these variables, the implementation holds each control at the farmer's first observed value (baseline-level) in the crop sample. Farmers first observed adopting in the initial sample year are excluded because there is no pre-treatment period (always treated observations). Because farmers enter the panel at different times, I estimate an unbalanced panel.

The dynamic event study effects aggregate the cohort-time $ATT(g,t)$ estimates by event time $k = t - g$. The reported event-study window uses leads through $t \in [-5, -2]$, omits $t = -1$ as the reference period, and follows effects from $t = 0$ through $t = 15$ (a 16-period post-treatment horizon), subject to the cohorts and observations available at each event time. Because questions on cover cropping begin in 2021, this limits the post-treatment horizon. The event-time estimates are weighted averages across the cohorts contributing at that horizon. This is analogous to the TWFE β_k coefficients.

For the results, I report the Callaway and Sant'Anna (2021) doubly robust (DR) estimates. Complementary specifications for TWFE and Sun & Abraham DiD estimates are reported in Appendix F. Their differences help assess sensitivity to the estimator and comparison group.

5.5 Power Calculation

Low adoption rates, particularly for cover crops, may limit the ability to detect economically or agronomically meaningful effects. To characterize this constraint, I calculate the minimum detectable standardized difference for each crop–practice pair at a two-sided significance level of 5% and target power of 80%. For each combination, I reduce the crop panel to one observation per FinBin farmer, averaging the observed outcome across that farmer's crop records with weights proportional to normal acres. Farmers with a recorded adoption cohort are classified as treated; never-adopters form the comparison group. Let n_1 and n_0 denote the resulting treated and comparison-farmer counts. The minimum detectable effect in Cohen's d units is the value satisfying

$$\Pr\left(|T_{n_0+n_1-2}| > t_{1-\alpha/2,\, n_0+n_1-2} \;\middle|\; \delta = d,\ n_0,\ n_1\right) = 0.80, \qquad \alpha = 0.05, \tag{6}$$

using the unequal-sample-size, two-sample t-test calculation. Cohen's d standardizes the mean difference by the pooled standard deviation.

Across FinBin-reported outcomes, the 80%-power MDEs range from $d = 0.059$ to $d = 0.418$ across crops and practices. For SOC, the range is $d = 0.080$ to $d = 0.431$. The largest

thresholds occur in the sparsest practice groups, including wheat cover-crop adopters (46 treated farmers). Sample-size configurations are shared across FinBin-reported outcomes with the same observation coverage, while SOC and insurance coverage θ have outcome-specific samples. I display the resulting minimum detectable effects in the figures in Appendix E. These figures plot power against Cohen's d, by crop and management practice, for the FinBin outcomes, predicted SOC, and θ.

6 Results: Impact on Profitability

Is regenerative agriculture profitable for farmers? I begin with net returns per acre, then examine yields, crop revenue, and total expenses to describe the components underlying profitability. The tables report the Callaway–Sant'Anna doubly robust average treatment effect (ATT) across post-adoption cohort-years for each crop and practice, with standard errors and p-values. Monetary estimates are nominal dollars per acre.

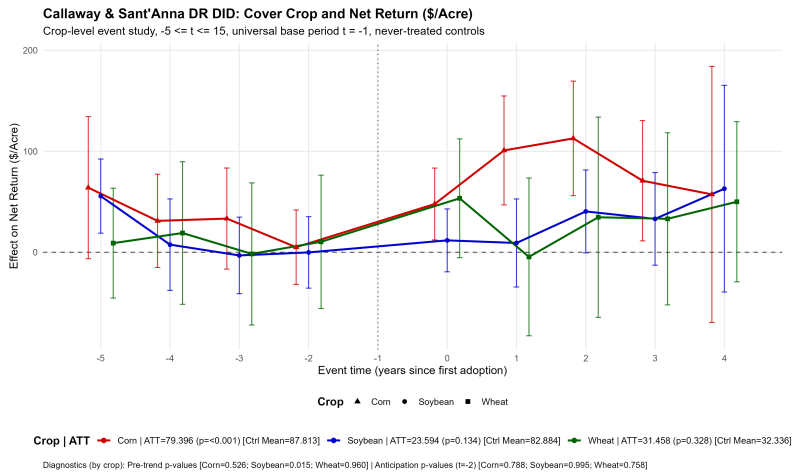
Table 7: Callaway and Sant'Anna doubly robust DID summary for Net Return ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	79.396	-5.243	6.869	1.513
	(21.060)	(5.636)	(3.206)	(5.242)
	[¡0.001]	[0.352]	[0.032]	[0.773]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	88.576	88.867	89.087	88.661
Pretrend p-value	0.526	0.140	0.005	0.579
Anticipation p-value	0.788	0.094	0.260	0.570
Soybean				
ATT	23.594	-0.235	22.503	2.536
	(15.727)	(3.718)	(2.317)	(3.525)
	[0.134]	[0.950]	[¡0.001]	[0.472]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	83.280	83.639	82.001	83.522
Pretrend p-value	0.015	0.224	0.573	0.933
Anticipation p-value	0.995	0.325	0.948	0.584
Wheat				
ATT	31.458	0.780	-5.831	-1.838
	(32.188)	(5.861)	(5.530)	(5.579)
	[0.328]	[0.894]	[0.292]	[0.742]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	31.654	31.813	32.925	31.630
Pretrend p-value	0.960	0.024	0.682	0.506
Anticipation p-value	0.758	0.130	0.279	0.517

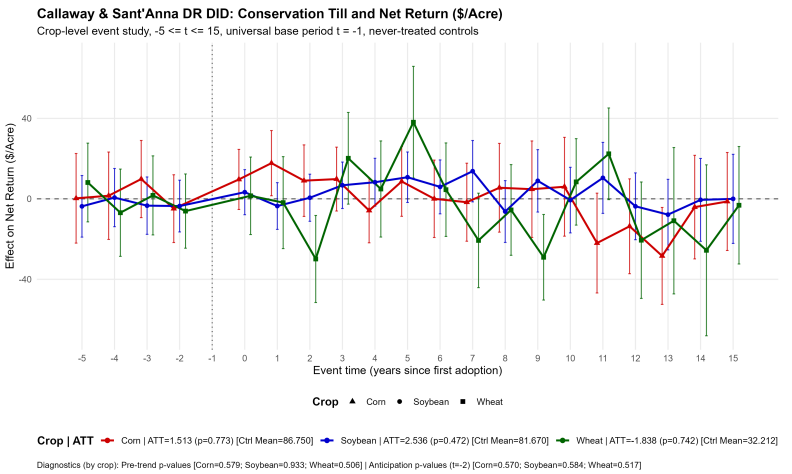
The net-return estimates are positive for cover crops in corn ($79.40 per acre, $p < 0.001$) and reduced tillage in soybeans ($22.50, $p < 0.001$). Other point estimates are less conclusive: cover-crop returns are $23.59 higher for soybeans ($p = 0.134$) and $31.46 higher for wheat ($p = 0.328$); reduced-till returns are $6.87 higher for corn ($p = 0.032$) but $5.83 lower for wheat ($p = 0.292$). The no-till and conservation-tillage net-return estimates are not statistically distinguishable from zero in any of the three crops. Thus, the results do not support a general claim that each practice raises net returns across crops.

The event-study plots show the cohort-aggregated effects over event time and their uncertainty; the average post-treatment estimates should be read alongside this dynamic

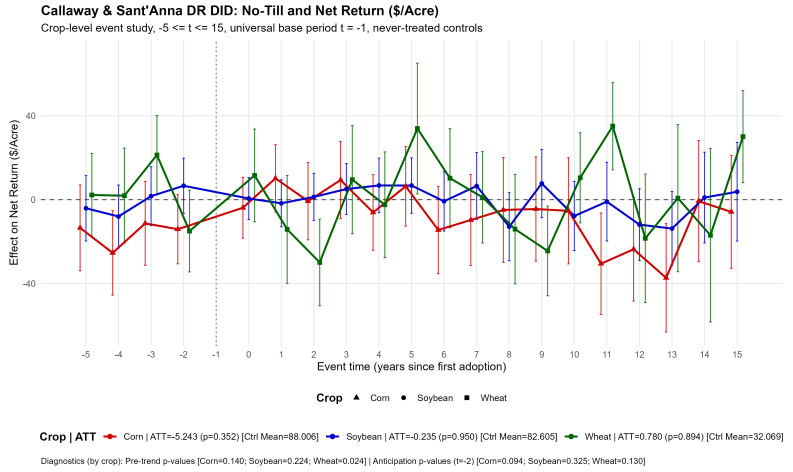
evidence as the benefits from maintained regenerative practices should accure over time with soil capitalization. The paths are noisy and do not show a uniform, sustained increase in returns across crops and practices. The pre-trend tests also flag departures from zero leads for corn reduced tillage ($p = 0.005$), soybean cover crops ($p = 0.015$), and wheat no-till ($p = 0.024$). These diagnostics weaken a causal interpretation for those comparisons.



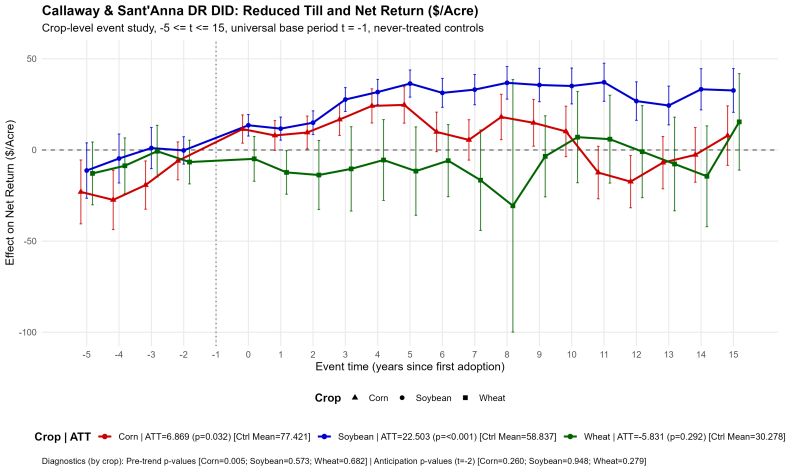
(a) Cover Crop



(b) Conservation Tillage



(c) No Till



(d) Reduced Tillage

Figure 5: Net-return event studies by regenerative practice.

Table 8: Callaway and Sant'Anna doubly robust DID summary for Yield (Bu/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	9.924	3.554	-8.136	0.266
	(9.314)	(3.559)	(3.692)	(3.351)
	[0.287]	[0.318]	[0.028]	[0.937]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	227.464	228.523	228.125	228.747
Pretrend p-value	0.447	0.569	0.035	0.886
Anticipation p-value	0.815	0.412	0.152	0.525
Soybean				
ATT	0.560	1.126	1.364	1.553
	(1.254)	(0.457)	(0.358)	(0.406)
	[0.655]	[0.014]	[¡0.001]	[¡0.001]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	45.878	45.866	45.471	45.837
Pretrend p-value	0.065	0.683	0.055	0.711
Anticipation p-value	0.152	0.775	0.470	0.944
Wheat				
ATT	2.327	0.862	3.110	0.379
	(5.165)	(1.235)	(1.087)	(1.103)
	[0.652]	[0.485]	[0.004]	[0.731]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	51.950	52.025	51.528	51.987
Pretrend p-value	0.607	0.012	0.330	0.081
Anticipation p-value	0.701	0.496	0.094	0.659

Table 9: Callaway and Sant'Anna doubly robust DID summary for Crop Revenue ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	105.622	13.974	73.715	29.339
	(27.755)	(7.805)	(5.678)	(7.476)
	[¡0.001]	[0.073]	[¡0.001]	[¡0.001]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	587.058	587.425	577.698	586.795
Pretrend p-value	0.699	0.052	0.429	0.041
Anticipation p-value	0.933	0.149	0.346	0.044
Soybean				
ATT	41.627	17.750	53.477	26.185
	(21.733)	(5.275)	(4.401)	(4.936)
	[0.055]	[¡0.001]	[¡0.001]	[¡0.001]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	395.343	395.691	387.569	395.290
Pretrend p-value	0.147	0.034	0.923	0.578
Anticipation p-value	0.518	0.149	0.527	0.233
Wheat				
ATT	-0.585	8.829	47.766	11.285
	(29.178)	(8.801)	(8.152)	(8.024)
	[0.984]	[0.316]	[¡0.001]	[0.160]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	276.893	278.028	272.795	277.825
Pretrend p-value	0.692	0.110	0.009	0.353
Anticipation p-value	0.344	0.205	0.138	0.502

Table 10: Callaway and Sant'Anna doubly robust DID summary for Total Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	21.832	19.516	67.372	29.523
	(19.794)	(6.662)	(5.142)	(6.173)
	[0.270]	[0.003]	[¡0.001]	[¡0.001]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	528.140	528.345	517.828	527.947
Pretrend p-value	0.092	0.555	0.433	0.350
Anticipation p-value	0.608	0.563	0.831	0.129
Soybean				
ATT	22.725	19.204	33.183	25.765
	(15.438)	(4.739)	(3.921)	(4.266)
	[0.141]	[¡0.001]	[¡0.001]	[¡0.001]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	334.285	334.358	327.168	334.105
Pretrend p-value	0.552	0.085	0.393	0.263
Anticipation p-value	0.328	0.423	0.765	0.236
Wheat				
ATT	-11.934	17.011	54.873	20.566
	(38.506)	(7.796)	(6.673)	(6.909)
	[0.757]	[0.029]	[¡0.001]	[0.003]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	267.995	268.845	261.385	268.886
Pretrend p-value	0.709	0.710	0.004	0.900
Anticipation p-value	0.492	0.408	0.327	0.361

We can decompose net returns into the three major components: crop revenue, total expenses, and yields. The component outcomes suggest that revenue and cost responses differ across crop-practice pairs. Crop revenue is higher for corn cover-crop (\$105.62 per acre, $p < 0.001$), reduced-till (\$73.72, $p < 0.001$), and conservation-till (\$29.34, $p < 0.001$) observations, and for soybean no-till (\$17.75), reduced tillage (\$53.48), and conservation tillage (\$26.19) ($p < 0.001$ for each). The soybean cover-crop estimate is also positive (\$41.63, $p = 0.055$). The wheat revenue increase is concentrated in reduced tillage (\$47.77, $p < 0.001$). Total expenses also rise for several groups: corn no-till (\$19.52), reduced tillage (\$67.37), and conservation tillage (\$29.52); soybean no-till (\$19.20), reduced tillage (\$33.18), and conservation tillage (\$25.77); and wheat no-till (\$17.01), reduced tillage (\$54.87), and conservation tillage (\$20.57) (all $p < 0.05$). For yields, soybean no-till, reduced-till, and conservation-till estimates are positive (1.13, 1.36, and 1.55 bushels per acre, respectively; all $p \leq 0.014$), as is the wheat reduced-till estimate (3.11 bushels, $p = 0.004$); the corn reduced-till estimate is negative (-8.14 bushels, $p = 0.028$). The component pattern therefore points to both revenue and expense changes, rather than a uniform yield or cost-saving pathway. Some component estimates also have significant pre-trend tests, including soybean no-till crop revenue and wheat reduced-till crop revenue and expenses.

In Appendix G, I present some secondary related outcomes indicative of profitability related to regenerative agriculture. The secondary insurance outcomes provide limited evidence of a common insurance response. Crop-insurance income per acre is higher for reduced tillage in corn (\$2.28, $p = 0.009$), soybeans (\$2.01, $p < 0.001$), and wheat (\$2.72, $p = 0.001$); most other crop-practice estimates are not statistically significant. Insurance-coverage θ is higher for corn cover crops (0.045, $p = 0.036$) and reduced tillage in corn (0.033, $p < 0.001$), soybeans (0.030, $p < 0.001$), and wheat (0.094, $p < 0.001$). This is suggestive that regenerative farmers are more likely to have higher insurance coverage, although the evidence is not uniform across all practices and crops.

7 Results: Impact on Soil Organic Carbon (SOC)

The estimated effects on SOC concentration are heterogeneous across crops and practices. In corn, reduced tillage is associated with a 0.177-percentage-point (p.p.) increase ($p < 0.001$); the estimated effects for cover crops, no-till, and conservation tillage are not statistically distinguishable from zero. In soybeans, the estimates are positive for no-till (0.134 p.p., $p = 0.048$), reduced tillage (0.180, $p < 0.001$), and conservation tillage (0.105, $p = 0.031$), while the cover-crop estimate is not significant. The wheat estimates are

also not statistically distinguishable from zero: the event-study summaries are 0.060 p.p. for cover crops, 0.039 for no-till, -0.246 for reduced tillage, and 0.134 for conservation tillage. The negative reduced-tillage estimate is imprecise ($p = 0.076$). Overall, the estimates provide some evidence of higher predicted SOC for particular corn and soybean practice combinations, but not a consistent increase across all crops and practices.

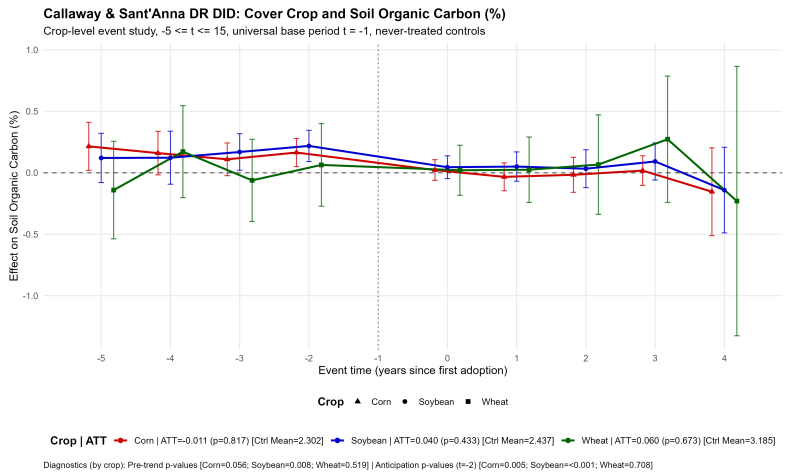
Table 11: Callaway and Sant'Anna doubly robust DID summary for Soil Organic Carbon (%)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	-0.011	0.047	0.177	0.029
	(0.046)	(0.061)	(0.039)	(0.044)
	[0.817]	[0.441]	[¡0.001]	[0.507]
N obs.	28784	27021	15621	26213
N farmers	5357	5120	3642	5065
Mean DV	2.307	2.321	2.339	2.326
Pretrend p-value	0.056	0.719	0.692	0.833
Anticipation p-value	0.005	0.957	0.274	0.381
Soybean				
ATT	0.040	0.134	0.180	0.105
	(0.051)	(0.068)	(0.048)	(0.049)
	[0.433]	[0.048]	[¡0.001]	[0.031]
N obs.	25333	23585	12834	22819
N farmers	4742	4511	3139	4455
Mean DV	2.440	2.462	2.483	2.471
Pretrend p-value	0.008	0.629	0.095	0.352
Anticipation p-value	¡0.001	0.838	0.554	0.116
Wheat				
ATT	0.060	0.039	-0.246	0.134
	(0.142)	(0.113)	(0.139)	(0.118)
	[0.673]	[0.731]	[0.076]	[0.256]
N obs.	4978	4761	2441	4674
N farmers	1206	1149	730	1137
Mean DV	3.192	3.219	3.152	3.230
Pretrend p-value	0.519	¡0.001	¡0.001	0.027
Anticipation p-value	0.708	0.112	0.616	0.154

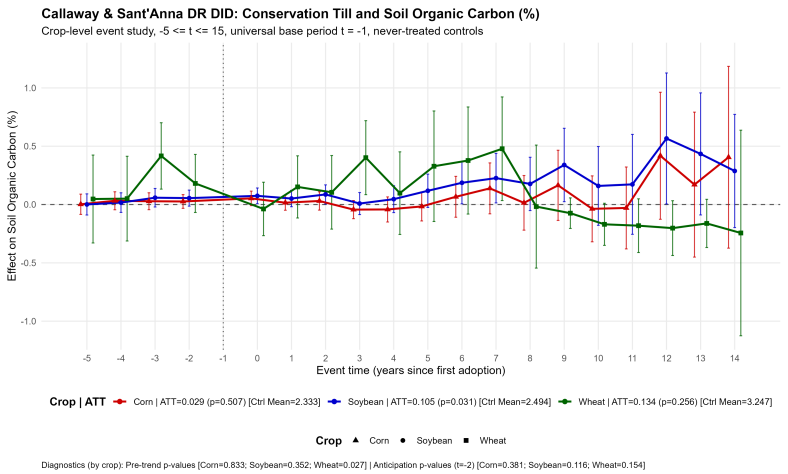
The event-study profiles reveals the dynamic patterns of SOC concentration though noisy at longer horizons where fewer cohorts contribute. Pre-trend tests reject the zero-lead null for soybean cover crops ($p = 0.008$) and for wheat no-till, reduced tillage, and

conservation tillage ($p < 0.001$, $p < 0.001$, and $p = 0.027$, respectively). These departures make a causal interpretation of those comparisons less secure. The estimated outcome is a county-year SOC concentration, not a direct measurement of carbon on treated fields.

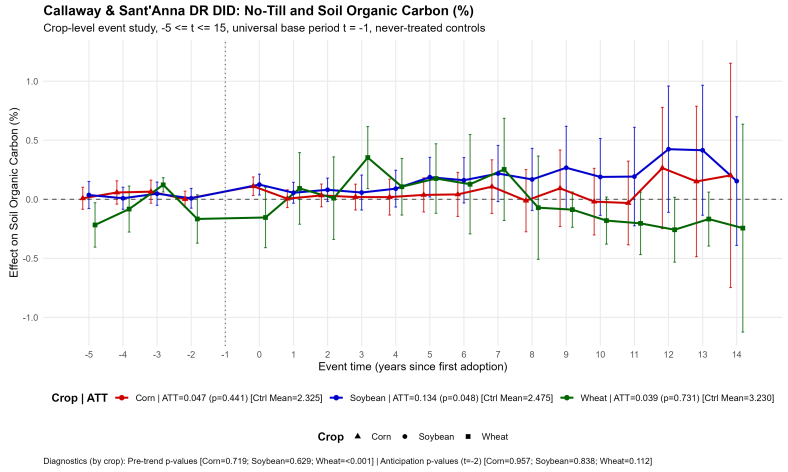
I do not integrate the event-study coefficients or convert them into an implied quantity of carbon sequestered. The outcome is a concentration level rather than an annual sequestration flow, and the available estimates do not provide the field-level soil mass, sampling depth, or validated repeated measurements needed to calculate a change in carbon stock. The dynamic estimates are informative about how the predicted concentration proxy differs over event time, but do not on their own identify cumulative carbon storage.



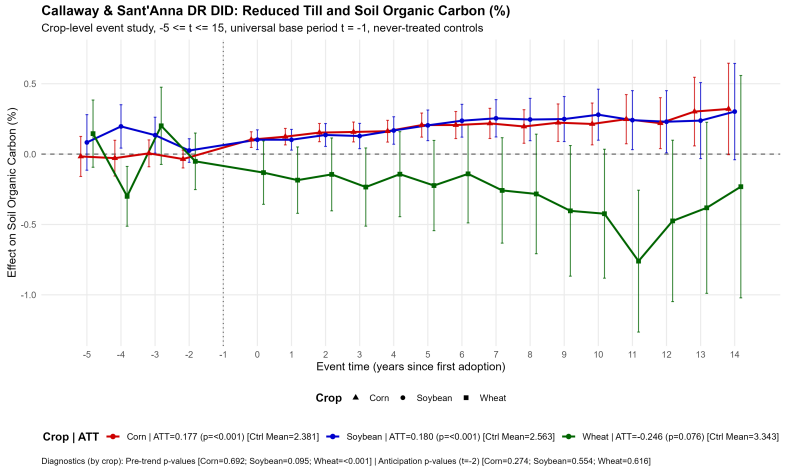
(a) Cover Crop



(b) Conservation Tillage



(c) No Till



(d) Reduced Tillage

Figure 6: SOC event studies by regenerative practice.

8 Modeling Soil Capitalization into Farmer Decision-Making

8.1 Model Motivation

Soil-capital accumulation is gradual process. Even a 25-year panel may not fully capture the long-term effects. Agronomists argue that meaningful change from regenerative agricultural practices may take several decades to manifest – if not a century. So the 25-year panel may capture only part of the response to a change in management. I therefore develop a novel model mapping how soil capitalization influences farmer management adoption with the primary motivation of profit maximization. I model soil stocks as a state variable that links contemporaneous production and management choices to future profitability, rather than treating the observed panel horizon as sufficient to reveal long-run effects. The objective of this model is to recover the parameters governing profit responses given the state of soil capital.

The model proceeds from the farmer's objective to maximize both contemporaneous profits (e.g., yields this season) as well as the selection of crop insurance to hedge against unpredictable market outcomes. Both of these profit factors are determined by production yields by the farmer. These yields are determined by a mixture of the inputs (additives) as well as the quality of the soil. Farmers can modify the soil capital through varying management practices (e.g., regenerative practices) which may incur short-run production losses to provide long-run stability in the soil. This model allows us to predict why farmers may choose to adopt certain management practices considering the financial and soil implications of that decision. As evidenced by low adoption of regenerative practices in the FinBin and NASS data, this model can assist in illuminating frictions and incentives for adoption.

8.2 Proft Maximization

I embed the decision to select a management practice within an intertemporal profit maximization framework. Farmer i selects a management practice m_t each period to maximize profit. The farmer starts with the default management practice m_0 (conventional tillage, no cover cropping) at the beginning of the planning horizon. Because we wish to model long-run impacts of adoption, once a farmer adopts a new practice I force them to continue with that practice in subsequent periods.

The farmer maximizes expected discounted utility over a finite horizon T, choosing management practices m_t, variable inputs $\vec{z_t}$, and insurance coverage θ_t each period. Contemporaneous profit for seasonal production under management practice m_t is:

$$\pi_t(m_t, m_{t-1}; \vec{z}_t) = \underbrace{p_t \cdot y_t(m_t, X_t, \vec{z}_t) + \iota_t(\theta_t, m_t)}_{Revenue} - \underbrace{P(m_t) - \sum_{j=1}^{J} w_j \, c_{jt} - \kappa_t(m_t, \, m_{t-1})}_{Cost} \quad (7)$$

where p_t is the output price, $y_t(m_t, X_t, \vec{z}_t)$ is yield, $\iota_t(\theta_t, m_t)$ is the crop insurance payout, $P(\cdot)$ is the insurance premium paid, w_j are input prices for inputs c_{jt}, and $\kappa_t(m_t, \, m_{t-1})$ is the switching cost of adoption. The state vector includes the soil nutrient stocks $\mathbf{X}_t = (X_{1t}, \ldots, X_{Kt})'$, which evolve endogenously with the farmer's decisions.

For farmer i, the intertemporal problem is to choose the sequence $\{m_t, \{x_{jt}\}_{j=1}^{J}, \{f_{kt}\}_{k=1}^{K}, \theta_t\}_{t=0}^{T}$ to maximize expected discounted profits, $\mathbb{E}_{i,0}\left[\sum_{t=0}^{T} \beta^t \pi_t(m_t, m_{t-1}; \mathbf{z}_t)\right]$, where $\beta \in (0, 1)$ is the endogenous discount factor. At the start of period t, the relevant state is $(\mathbf{X}_t, m_{t-1})$: soil stocks affect current production, while the previous practice determines whether a change in management incurs a switching cost. The choices $(m_t, \{x_{jt}\}, \{f_{kt}\}, \theta_t)$ determine current profit and, through the evolution of $\mathbf{X}_t$, the production opportunities available in subsequent periods. Consistent with the adoption restriction stated above, after farmer i adopts a practice, the management choice is held at that practice in later periods; thus, the model does not allow subsequent switching back to the initial practice or to another practice. The partial-budget comparison holds market and other farm conditions fixed (viz., certius paribus) when evaluating differences in production across management choices.

8.3 Adoption Costs

I distinguish normal production inputs $\vec{z}_t$ from the adoption-specific management costs captured by $\kappa_t(m_t, m_{t-1})$. These fixed and variable adoption costs only incur when a farmer adopts or switches management practices. The fixed component $\kappa^{\text{fixed}}(m_t)$ captures up-front or amortized costs such as tillage equipment. The fixed component $\kappa^{\text{fixed}}(m_t)$ is incurred only in the period a farmer switches practices — e.g., first-time adopters — zero otherwise The variable component $\kappa^{\text{var}}(m_t)$ reflects how practice alters input expenditure: tillage management may reduce/increase fuel and labor costs, while cover cropping can substitute for herbicide application and requires cover crop seed purchases. This allows κ^{var} to be either positive or negative. The variable component $\kappa^{\text{var}}(m_t)$ reflects how the ongoing practice alters input expenditure and recurs every period regardless of switching.

The practice cost $\kappa_t(m_t, m_{t-1})$ captures these two types of costs as

$$\kappa_t(m_t, m_{t-1}) = \mathbf{1}\{m_t \neq m_{t-1}\}\, \kappa^{\text{fixed}}(m_t) + \kappa^{\text{var}}(m_t). \tag{8}$$

8.4 Crop Insurance

Inside the profit function, I include the cost of crop insurance as a deduction from revenue. The omnipresent risk of yield loss makes crop insurance a standard component of the farmer's decision-making framework. The farmer purchases a yield-protection contract at coverage level $\theta \in [0, 1]$ against the ten-year Actual Production History (APH) benchmark.

The insurance premium paided by the farmer is determined by

$$P(m_t) = \lambda \cdot \theta_t \cdot p^* \cdot \bar{y}_{APH,t}, \tag{9}$$

where λ is premium rate for coverage $\theta_t \in [0, 1]$ at projected price p^* at historical production yield $\bar{y}_{APH,t}$. The term $p^* \cdot \bar{y}_{APH,t}$ anchors the premium to the expected value of insured production: farmers with higher demonstrated productivity face proportionally larger nominal premiums.

The Actual Production History (APH) is a standard metric used to determine a farmer's historical yield performance over the past ten years. The APH provides a conservative estimate of expected production, which in turn affects insurance premiums and indemnity calculations.

$$\bar{y}_{APH,t} = \frac{1}{10} \sum_{t-10}^{t-1} y_t(X_t, m_t). \tag{10}$$

When realized yield falls below the guarantee, the indemnity payment is:

$$\iota_t(\theta_t, m) = \max(0,\ \theta_t \cdot \bar{y}_{APH,t} - y_t(m)) \cdot p^*, \tag{11}$$

where p^* is the projected price. An actuarially fair insurance contract is one where the expected indemnity equals the premium. Farmers choosing acturially fair insurance coverage (NVI) are indifferent at the following level.

$$\text{NVI}(\theta_t, m) = \mathbb{E}[\iota_t(\theta_t, m_t)] - P(m_t)\,. \tag{12}$$

8.5 Production Function

At the core of the profit funciton is a production function driven by yield response to soil health and other inputs managed by the farmer. I model the production function from the agronomic notion of Liebig's law of the minimum. Functionly, it takes the Mitcherlich-Baule multiplicative form.

The yield response curve is described by

$$y_t(m_t, X_t, \theta_t; \vec{Z}_t) = a(X_t, m_t) \prod_{k=1}^{K} \left(1 - \beta_k(X_t)\, \exp(-\gamma_k(X_t) \cdot Z_{kt})\right), \tag{13}$$

where X_{kt} is the stock of macronutrient k (e.g., soil organic carbon) at the start of period t. $\beta_k(m) \in (0,1)$ is the maximum yield penalty from complete absence of nutrient k; and $\gamma_k(m) > 0$ governs how quickly productivity recovers as the stock is replenished. Each factor $(1 - \beta_k(X_t)\, \exp(-\gamma_k(X_t) \cdot Z_{kt}))$ is a saturation function bounded in $(1 - \beta_k(m),\, 1)$. Z_{kt} are weather conditions for rainfall and growing degree days moderating the yield response. The technology parameter $a_t(m)$ is a level indiactor for baseline productivity of a given field, capturing the inherent productive capacity independent of the current nutrient stocks. The product structure $(\prod_{k=1}^{K})$ ensures that a deficiency in any single nutrient constrains overall soil productivity regardless of the abundance of others.

8.6 Nutrient Stock Dynamic

At the heart of the dyanmic yield response is a nutrient stock dynamic. The following state equation describes the evolution of soil organic carbon as the limiting soil health factor driving soil productivity over time. The state equation is

$$X_{t+1}(m) = \delta(m)\, X_t + \phi(m)\, y_t, \tag{14}$$

where $\delta(m) \in (0,1)$ is the nutrient retention rate, and $\phi(m)\, y_t$ represents soil capitalization, which scales with yield. Figure 7 illustrates the yield response of this nutrient stock dynamic under different management regimes: a conventional practice (m_0) versus a regenerative practice (m_1). In the bottom panel I describe the yield response production function along a range of growing conditions (Z). The realized yield maps into the top panel displaying the distribution of potential yield outcomes conditional of the underlying state of soil health (X).

The conventional regime has a higher ceiling $(a_0 > a_1)$ but larger downside spread $(\beta_0 > \beta_1)$, while the regenerative regime has a higher intercept $(A_1(0) > A_0(0))$ and a

narrower yield range. The right-angle slope markers show that initial marginal responsiveness is steeper under conventional management ($c_0 > c_1$). This highlights two major insights from the construction of the state equation and the production function.

First, conventional practices have the potential for both higher and lower yields. Regenerative practices are not production improving technology but rather a risk-reducing technology. The narrower spread in potential yield response results implies that, given similar expected growing conditions, a regenerative farmer has lower expectation of extreme outcomes, both positive and negative, compared to a conventional farmer. Removing bad seasons should lead to lower crop insurance coverage.

Second, conventional practices will be far more sensitive to growing conditions. Note in the lower panel, as growing conditions weaken (move to the left) $A_1(0) > A_0(0)$. This implies that under poor growing conditions, regenerative practices provide a yield advantage due to their reduced sensitivity to environmental stress, highlighting their role as a risk-reducing strategy rather than a yield-maximizing one.

This figure describes the heart of the trade off and friction with adoption of regenerative practices. This requires farmers to forgo short-run windfalls from high input production to reap minimized variance of returns in poorly performing seasons.

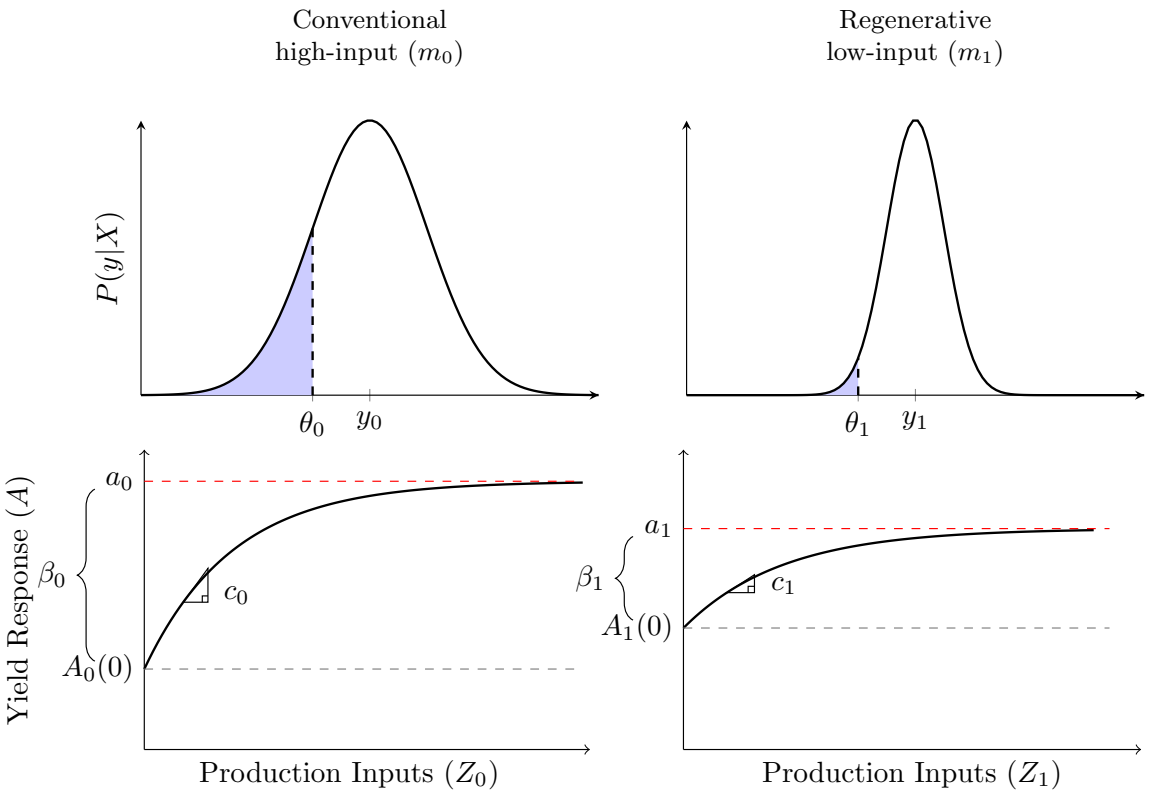


Figure 7: Yield response under conventional high-input management (m_0) versus regenerative low-input management (m_1)

8.7 Bellman Equation

Because management affects the soil state $\mathbf{X}_t$ through the retention and uptake parameters, and because $\mathbf{X}_t$ propagates forward via equation (14), the choice of m generates a path of soil health that influences yield, insurance payouts, and premiums over the full planning horizon. The farmer's problem is therefore a dynamic program in which the state vector $\mathbf{X}_t$ links current practice choices to future payoffs through both the production function and the APH benchmark in the insurance contract.

The Bellman equation formalizing the value function for this dynamic programming problem is given by

$$V(m_t, m_{t-1}, \mathbf{X}_t) = \max_{m_t, m_{t-1}, \theta_t} \pi_t(m_t, m_{t-1}) + \delta\, V(\mathbf{X}_{t+1}, m_t). \tag{15}$$

m_{t-1} enters the state because the fixed switching cost $\kappa^{\text{fixed}}(m_{t-1} \to m_t)$ is incurred only in the period of transition.

To characterize the solution to (15) in the steady state, fix management at m^* and hold

the distribution of exogenous production conditions constant over time. A deterministic steady state is a soil stock $\mathbf{X}^*$ and yield y^* that are invariant under the nutrient transition and production function:

$$\mathbf{X}^* = \boldsymbol{\delta}(m^*) \odot \mathbf{X}^* + \boldsymbol{\phi}(m^*) y^*, \qquad y^* = y(m^*, \mathbf{X}^*, \theta^*; \mathbf{Z}^*), \tag{16}$$

where $\odot$ denotes element-by-element multiplication, and $\boldsymbol{\delta}(m^*)$ and $\boldsymbol{\phi}(m^*)$ collect the nutrient-specific retention and capitalization parameters. If $0 < \delta_k(m^*) < 1$, the transition equation implies $X_k^* = \phi_k(m^*) y^* / [1 - \delta_k(m^*)]$ for each nutrient k. Under stationary insurance and production conditions, the APH benchmark is stationary as well; insurance coverage θ^* is optimal when it maximizes expected discounted profit given the steady-state soil stock and yield distribution. Thus, the steady state is a fixed point of the soil transition under the farmer's optimal stationary choices, together with the corresponding production and insurance outcomes. It is a stationary farm-level allocation, not a market-clearing equilibrium; no market-clearing conditions are imposed in this model.

The steady-state conditions characterize the model's long-run benchmark, while the moment conditions connect its parameters to the observed farm data. Let $\boldsymbol{\psi}$ collect the unknown production, soil-transition, management-cost, and insurance parameters, and let $\mathbf{q}_{it}(\boldsymbol{\psi})$ denote the model-implied vector of outcomes for farmer i in period t under the model's optimal policy. For observed data $\mathbf{d}_{it}$, let $\mathcal{T}_i$ denote the periods observed for farmer i and let $T_i = |\mathcal{T}_i|$. Define that farmer's moment contribution as

$$\mathbf{g}_i(\boldsymbol{\psi}) \equiv \frac{1}{T_i} \sum_{t \in \mathcal{T}_i} \left[\mathbf{h}(\mathbf{d}_{it}) - \mathbf{h}(\mathbf{q}_{it}(\boldsymbol{\psi})) \right], \tag{17}$$

and the population moment restrictions are $\mathbb{E}_i[\mathbf{g}_i(\boldsymbol{\psi}_0)] = \mathbf{0}$, where $\boldsymbol{\psi}_0$ is the parameter vector that makes the model reproduce the selected data moments and $\mathbf{h}(\cdot)$ maps outcomes into the moments used for estimation.

9 Conclusion

Agricultural conservation presents a private investment problem with potential public benefits. Cover crops and conservation tillage can change current production costs and yields while influencing soil conditions that matter for future returns. Their agronomic promise, however, does not establish that adoption will be privately profitable across crops and farms. This paper examines that distinction by combining FinBin farmer-year-crop financial records with a county-year panel of predicted SOC and estimating practice-

specific responses under staggered adoption.

The financial results show heterogeneous returns rather than a general profitability advantage. Estimated net returns are higher for corn cover crops and soybean reduced tillage, but most other crop-practice estimates are not statistically distinguishable from zero. Yield, revenue, and expense responses also differ across comparisons, so higher net returns cannot be attributed to a common yield mechanism. Insurance outcomes provide an additional perspective on private incentives, although the reported effects do not establish that adoption consistently reduces production risk. The event-study evidence likewise does not reveal a uniform, sustained increase in returns, and differential pre-adoption trends weaken causal interpretation for some comparisons.

The soil results provide complementary but more limited evidence. Positive estimated changes in predicted SOC occur for selected crop-practice comparisons, including corn reduced tillage and several soybean tillage practices. These estimates concern county-year SOC concentration, not repeated measurements of soil on adopters' fields. Spatial aggregation, prediction uncertainty, and pre-trend concerns limit the conclusions that can be drawn about practice-induced soil improvements. In particular, the estimates cannot be translated directly into cumulative carbon stocks, annual sequestration, or emissions reductions. Better repeated field-level measurements would be needed to establish those environmental outcomes.

The dynamic structural model supplies an intertemporal framework for interpreting these economic and soil relationships. Management choices affect current production, input and switching costs, and insurance outcomes, while soil-stock transitions connect those choices to future productivity and returns. This formulation makes explicit the distinction between the cost of changing practices and the value of maintaining them as soil conditions adjust. It does not establish that soil accumulation causes the observed profit gains, nor does the current analysis report estimated structural parameters or completed policy counterfactuals. Those applications require identification of the model's parameters and validation of the soil transition and production relationships.

The paper thus contributes farm-level evidence on private returns to the agricultural climate-mitigation debate, places those outcomes within a dynamic soil-capital framework, and documents heterogeneity relevant to conservation adoption and policy design. The policy implication is not that a uniform subsidy will make every practice profitable, but that incentives should be evaluated against crop- and practice-specific returns, transition costs, and the time required for soil benefits to develop. Establishing the case for public support additionally requires evidence on environmental additionality, persistence, and social benefits relative to program costs. Farmers' nonpecuniary motivations,

including land stewardship, also remain outside the measured financial outcomes. Sustainable conservation policy must account for both private incentives and verified public benefits, rather than equate adoption with profitability or climate mitigation.

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Appendix

A Overview of Agricultural Emissions

Agricultural production is a significant source of global greenhouse gas emissions, contributing approximately 10–14 percent of worldwide anthropogenic emissions (Vermeulen et al., 2012; Crippa et al., 2021). Within the agricultural sector, emissions arise from three primary gases: carbon dioxide (CO_2), methane (CH_4), and nitrous oxide (N_2O). The relative contribution of each gas varies substantially by commodity type and production system.

Emissions by gas and source. Carbon dioxide emissions from agriculture stem primarily from land-use change (conversion of forests or grasslands to cropland), soil disturbance through tillage, and energy inputs (fuel for field operations, fertilizer manufacturing, and transportation). Methane emissions are dominated by livestock production, particularly from ruminant enteric fermentation and manure management. Nitrous oxide emissions arise from synthetic nitrogen fertilizer application, manure decomposition, and microbial processes in disturbed soils. The relative magnitude of each gas reflects their global warming potential: N_2O is approximately 265 times more potent than CO_2 over a 100-year horizon, while CH_4 is roughly 28 times more potent.

Commodity-specific emission profiles. Emissions intensity varies dramatically across agricultural commodities. Beef and dairy cattle production are the largest contributors to agricultural emissions, driven by methane from enteric fermentation and associated land use. Row crops (corn, soybeans, wheat) contribute primarily through nitrogen fertilizer application and soil carbon depletion. Rice production generates significant methane from anaerobic decomposition in paddies. Specialty crops, vegetables, and orchards typically have lower per-acre emissions but may require intensive pesticide and fertilizer applications. Figure A.1 provides a detailed breakdown of supply-chain carbon emissions across these commodity categories.

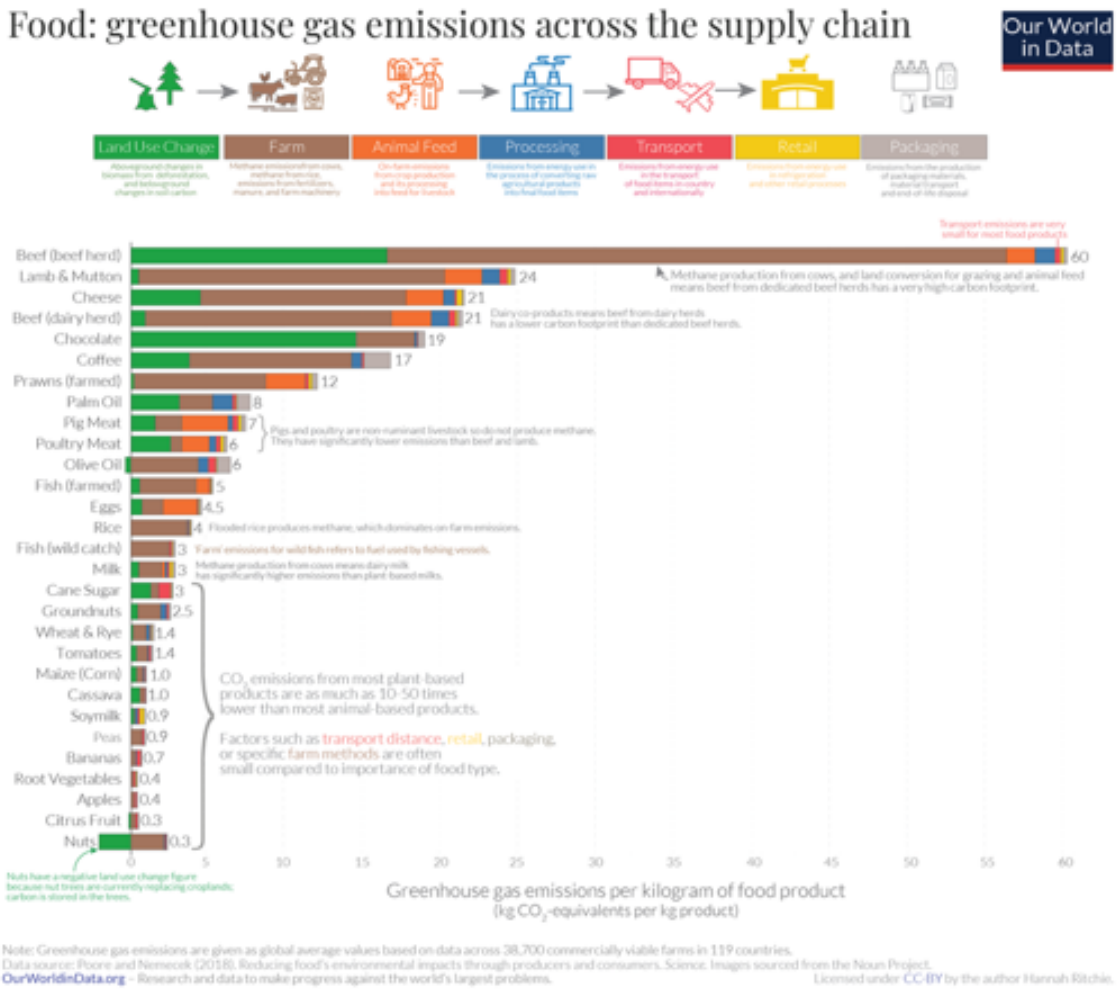


Figure A.1: Supply Chain Carbon Emissions by Agricultural Commodity

Note: This figure decomposes greenhouse gas emissions across major agricultural commodities, including emissions from production, processing, transport, and retail stages of the supply chain. Ruminant livestock (beef and dairy) dominate total emissions.

Agricultural emissions are poised to become an increasingly dominant source of global greenhouse gases under current trajectories. Figure A.2 illustrates projections showing that agricultural sector emissions could account for approximately half of all anthropogenic emissions by 2050, making it the single largest sectoral source. This projection reflects both the absolute growth in agricultural production to meet rising global food demand and the shift in agricultural production toward more emission-intensive activities (particularly meat and dairy expansion in developing regions). Without significant changes in agricultural management practices and adoption of low-emission technologies, this trajectory threatens climate mitigation goals and necessitates urgent intervention through policy support and economic incentives for regenerative practices.

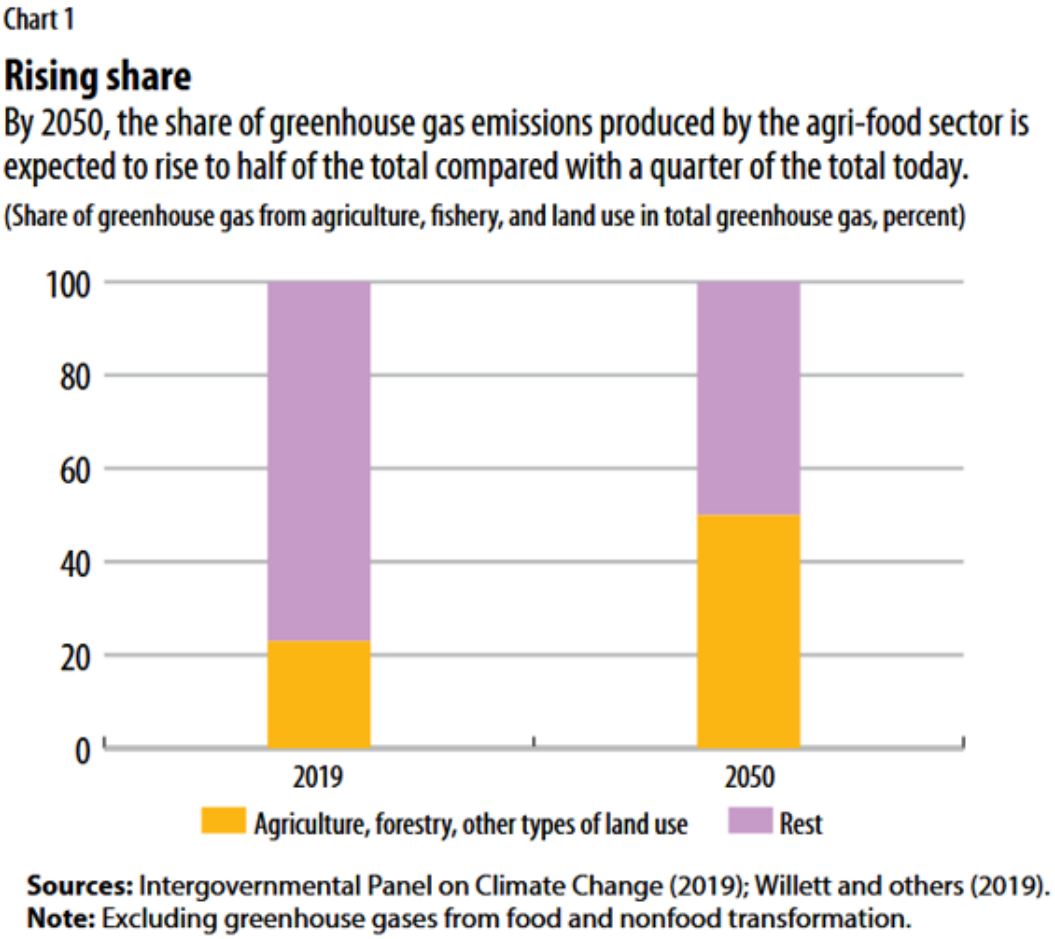
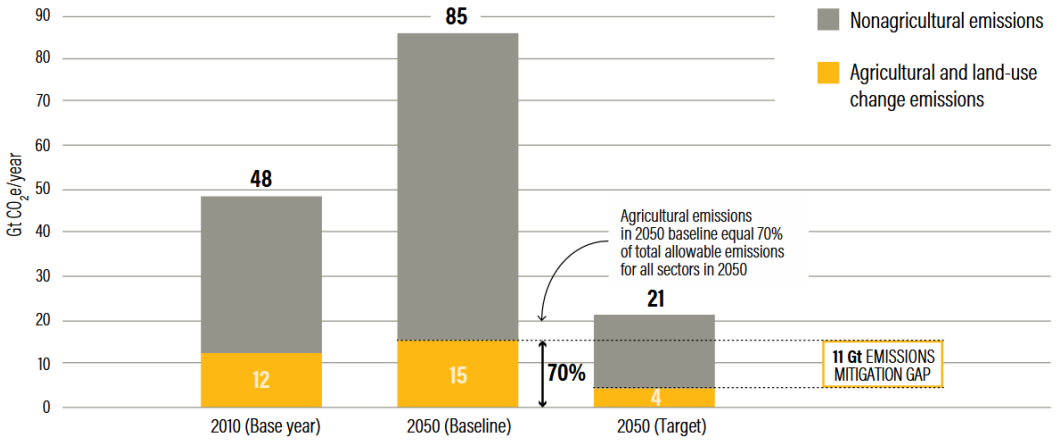


Figure A.2: Projected Share of Agricultural Emissions in Total Anthropogenic GHG, 2050

Note: This figure projects the share of global greenhouse gas emissions attributable to the agricultural sector, showing agriculture potentially accounting for approximately 50 percent of total anthropogenic emissions by 2050 under current production trends and management practices.

Figure 3 | **Agricultural emissions are likely to be ~70 percent of total allowable emissions for all sectors by 2050, creating an 11 gigaton mitigation gap**



Sources: GlobAgri-WRR model, WRI analysis based on IEA (2012); EIA (2012); Houghton (2008); OECD (2012); and UNEP (2013).

Figure A.3: Projected Allowable Emissions from the Agricultural Sector, 2050

Note: This figure projects the allowable emissions from the agricultural sector by 2050, indicating the level of emissions that would be consistent with climate mitigation targets under current production trends and management practices.

The urgency of this projection underscores the economic case for regenerative practices: if practices that improve soil health, reduce input intensity, and lower farm-level emissions can be made profitable or cost-competitive for farmers, they simultaneously deliver private benefits (improved net revenues, reduced yield volatility) and global public benefits (climate mitigation). This alignment of private and social incentives is the foundation of the policy analysis suggested by this analysis.

A.1 Constructing Land Intensity Table

Table 1 was constructed by combining national production and acreage statistics from the USDA National Agricultural Statistics Service (NASS) Quick Stats API with per-pound greenhouse-gas emission factors from CarbonCloud product reports and other commodity-specific sources. The NASS series cover the Census of Agriculture years 1997, 2002, 2007, 2012, 2017, and 2022; survey series are used for selected commodities where the script requests survey rather than census data. For each commodity, the table reports the arithmetic mean across available years of harvested or bearing acres, converted to millions of acres. Land intensity is calculated within each year as acres divided by production converted to pounds, and the resulting annual ratios are then averaged. Production conversions use commodity-specific standard weights: for example, 56 pounds per bushel

for corn and sorghum, 60 for soybeans and wheat, 2,000 pounds per ton, 112 pounds per hundredweight, and 480 pounds per cotton bale.

NASS reports livestock inventories in head rather than pounds of product. To put these observations on the table's per-pound basis, the I multiply each inventory by a representative animal weight drawn from the cited livestock references. Livestock acreage is not directly reported by species in the series used here, so total pasture or livestock acreage is allocated to each species in proportion to its share of livestock operations. Emissions are calculated by multiplying converted annual output by the commodity's emission factor and averaging across available years; pounds of CO_2e are then converted to millions of metric tons. Emission factors are reported in the final column as pounds of CO_2e per pound of output. For vegetables, the script constructs a composite factor from production shares and per-pound factors for eleven leading vegetable crops.

These estimates are descriptive cross-commodity comparisons, not estimates of the causal effect of agricultural practices. They combine emissions factors and land-use allocations from different sources and should therefore be interpreted as indicative rather than as a harmonized, complete life-cycle inventory.

B Variable Descriptions

B.1 Variable Definitions

This section defines the outcomes, treatment indicators, and controls used in the analysis. For each variable, I report whether the definition is taken directly from the FinBin codebook or constructed. Dollar-denominated outcomes are expressed per crop acre. Where FinBin reports a quantity for the whole enterprise, I divide by `NormalAcres`, the crop acreage entered by the farmer for that enterprise.

Outcomes. Table A.1 lists the outcome variables. Yield is total production divided by the acres attributable to the enterprise, which is `NormalAcres` scaled by the enterprise's share of production when the field is shared. Price is the per-bushel price reported by the farmer. Crop revenue is yield times the production share times the reported value per unit, plus the value of other products. Gross return is the value of the main product plus miscellaneous crop income, which includes crop insurance indemnities. Expense categories (seed and plants, fertilizer, crop chemicals, hired labor, overhead, and crop insurance premiums) are user-entered, and total expenses sum direct and overhead expenses. Net return is gross return less total expenses, and the net profit margin is net return divided by gross return, in percent.

Table A.1: Outcome Variable Definitions

Variable	Source	Definition
Yield (Bu/Acre)	Constructed	Total production / (`NormalAcres` × `ShareOfProduction`/100)
Price ($/Bu)	FinBin	Reported by the farmer
Crop Revenue ($/Acre)	Constructed	Yield × (`ShareOfProduction`/100) × `ValuePerUnit` + `OtherProductValue`
Crop Insurance Income ($/Acre)	Constructed	User-entered crop insurance income / `NormalAcres`
Gross Return ($/Acre)	FinBin	`MainProductValue` + `TotalMiscCropIncome`
Direct Expenses ($/Acre)	FinBin	Sum of user-provided direct expenses
Seed & Plants, Fertilizer, Crop Chemicals, Hired Labor, Overhead, Crop Insurance ($/Acre)	FinBin	User-provided expenses per acre
Labor Hours (Hours/Acre)	FinBin	User-provided labor hours per acre
Total Expenses ($/Acre)	Constructed	`TotalDirectExpenses` + `TotalOverheadExpenses`
Net Return ($/Acre)	Constructed	Gross Return − Total Expenses
Net Profit Margin (%)	Constructed	100 × Net Return / Gross Return
Insurance Coverage Rate (θ)	Constructed	Gross Return / (projected price × y_{APH})

Treatment and soil carbon. The regenerative treatment indicators are described in the section on farmer adoption. Soil organic carbon (SOC) is the county-level prediction from the machine learning model described in the soil data section. For estimates of imbalance across managment types, the regressions use its one-year lag so that soil carbon is measured before the growing season in which the outcome is realized.

Controls. Table A.2 lists the controls. Land-tenure variables follow the FinBin definitions, with one caution: `TotalAcreageOwned` includes farmstead and uncropped acres and is therefore not a measure of crop acres. Total crop acres is instead the sum of owned, cash-rented, and share-rented crop acres, and the owned share of crop acres is owned crop acres divided by total crop acres. The operator count follows the Minnesota farm business management closeout manual, in which an operator is one family relying on the farm for family income, so a married couple generally counts as one operator. Operator age and farming experience are calculated from the reported birth year and the year the operator started farming. Management indicators capture manure use, organic transition, and genetically modified seed (herbicide-tolerant and Bt traits), and previous-crop indicators are built from the FinBin crop codes. Weather controls are described below.

Table A.2: Control Variable Definitions

Variable	Source	Definition
Farm characteristics		
Farm Acres	FinBin	`NormalAcres`, user provided
Acres Owned	FinBin	`TotalAcreageOwned`; includes farmstead and uncropped acres
Crop Acres	Constructed	Owned + cash-rented + share-rented crop acres
% Crop Acres Owned	Constructed	Owned crop acres / Total crop acres
Planted on Own, Rented, or Share-Rented Land	Constructed	Tenure indicators for the enterprise
Ownership: Sole Proprietorship, Partnership	FinBin	Business organization indicators
Operator characteristics		
# Farm Operators	FinBin	Number of operators (one family relying on the farm for income)
Age of Primary Operator	Constructed	Calculated from `YearBornOperator1`
Experience of Primary Operator (Years)	Constructed	Calculated from `YearStartedFarmingOperator1`
Management decisions		
No Manure, Only Manure	Constructed	Manure use indicators
Organic Transition	FinBin	Organic system in transition
GMO Seed	FinBin	Seed uses genetically modified technology
Chemical Resistant Crop	FinBin	Herbicide-tolerant (e.g., Roundup Ready)
Insect Resistant Crop	FinBin	Bt genetics
Previous crop on the field		
Previously Planted: Corn, Soybean, Wheat, Prevented Planting	Constructed	Indicators from the FinBin `PreviousCrop` code
Growing conditions		
Growing Degree Days	Constructed	County-year, crop-specific, from PRISM (see below)
Killing Degree Days	Constructed	County-year, crop-specific, from PRISM (see below)
1 Year Lag SOC	Constructed	Machine learning prediction, lagged one year

Constructing Growing Degree Days (GDD) and Killing Degree Days (KDD). FinBin does not report weather, so I construct county-year temperature exposure from the PRISM Climate Group daily 4-km grids of minimum and maximum temperature. I download the daily rasters for 2000 to 2026 and, for each day, average the grid cells within each county of the FinBin states to obtain county mean, minimum, and maximum temperatures, converted to degrees Fahrenheit.

For each crop, I accumulate daily degree days over a crop-specific growing-season window: April 15 to September 30 for corn, May 15 to September 30 for soybeans, and April 1 to July 31 for wheat. Daily growing degree days follow the standard capped formula,

$$GDD_d = \max\left\{0,\ \frac{\min(T_d^{\max}, T^{cap}) + \max(T_d^{\min}, T^{base})}{2} - T^{base}\right\}, \tag{B.1}$$

and daily killing degree days measure extreme heat above a threshold,

$$KDD_d = \max\left\{0,\ T_d^{\max} - T^{kill}\right\}. \tag{B.2}$$

For corn and soybeans, $T^{base} = 50°\text{F}$ and $T^{cap} = 86°\text{F}$, the conventional USDA and NOAA values. For wheat, $T^{base} = 40°\text{F}$ and no cap is applied. The kill threshold is 86°F for all three crops. County-year GDD and KDD are the sums of the daily values over the window, and each FinBin crop observation is assigned the values for its own crop and county. Because the temperatures are county averages, they do not capture within-county variation in weather or farm-specific planting dates.

Crop	Season window	Base	Cap	Kill threshold
Corn	Apr 15 - Sep 30	50°F	86°F	86°F
Soybean	May 15 - Sep 30	50°F	86°F	86°F
Wheat	Apr 1 - Jul 31	40°F	None	86°F

Table A.3: Growing Degree Days (GDD) and Killing Degree Days (KDD) Parameters by Crop

B.2 Outcome Variation by Management Type

In this section, I examine the variation in outcomes such as profits, yields, and expenses by different management types. This describes clustering of outcomes based on management practices and highlights potential differences in performance across these groups.

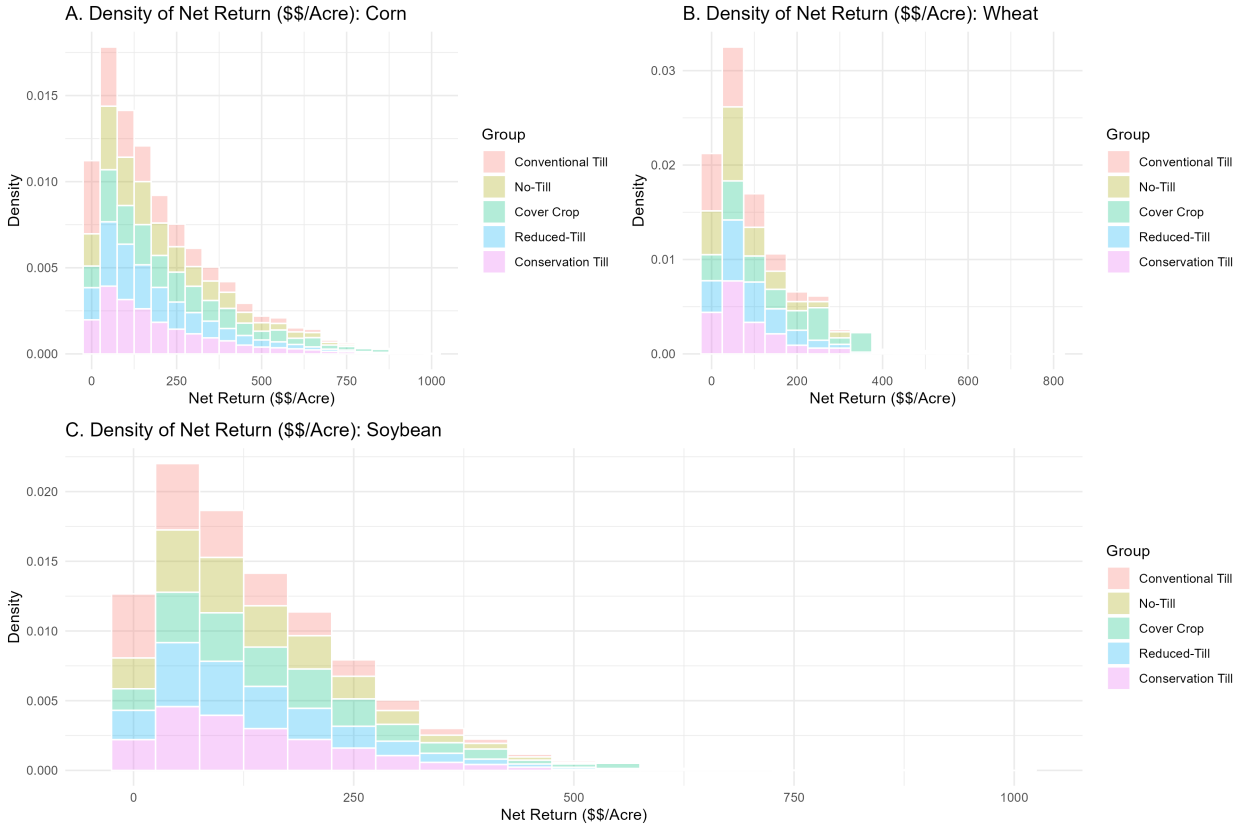


Figure A.4: Profit Density Panel

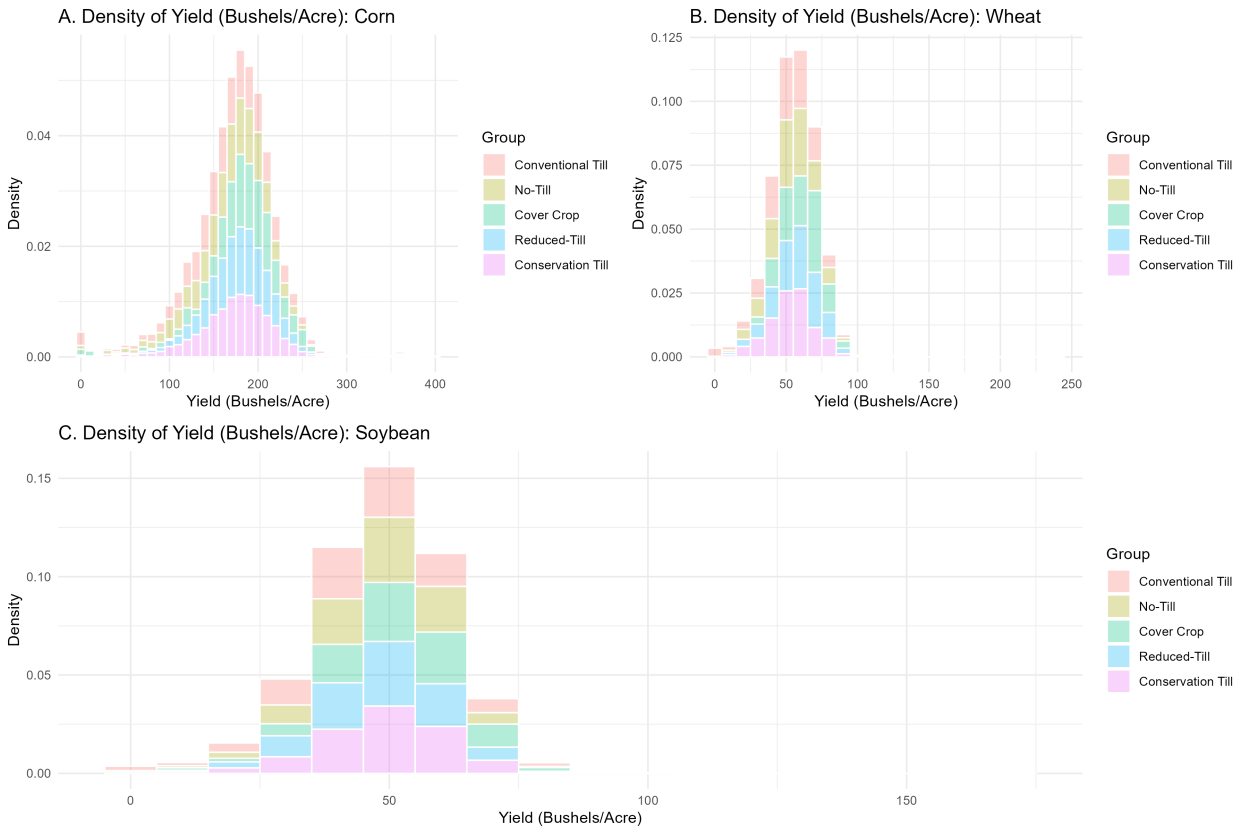


Figure A.5: Yield Density Panel

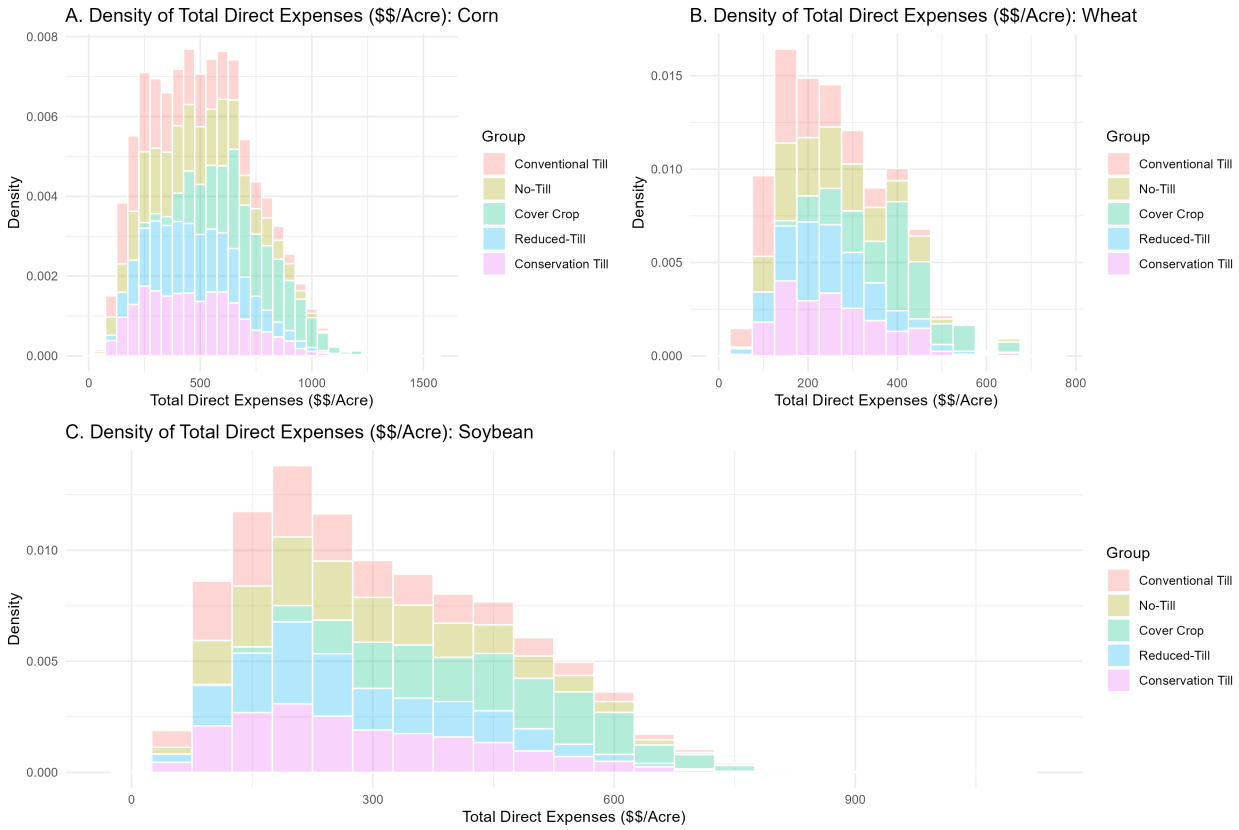


Figure A.6: Expenses Density Panel

B.3 Balance Tables

In this section, I present balance tables for the three commodities of interest across the different management types. This helps to assess whether the distribution of key covariates is similar across management groups, providing insight into the comparability of these groups for subsequent analysis. There is some evidence of statisticaly significant differences across management decisions on farm structure, farmer characteristics, and other concurrent considerations for production decisions. This suggests controlling for these imbalances on observables and motivates the doubly robust estimation approach.

Table A.4: Covariate Balance - Corn

	No Till				Any Cover Crop				Reduced Till				Conservation Till			
Covariate	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value
Farm Characteristics																
Farm Acres	145.701	113.860	-31.841	¡0.001	145.493	99.777	-45.716	¡0.001	136.601	156.659	20.058	¡0.001	146.019	129.304	-16.715	¡0.001
Acres Owned	344.394	388.167	43.773	¡0.001	345.367	308.921	-36.446	0.002	377.917	301.194	-76.723	¡0.001	346.240	323.915	-22.325	¡0.001
Crop Acres	1,057.619	960.878	-96.742	¡0.001	1,057.315	871.178	-186.137	¡0.001	1,100.900	995.940	-104.960	¡0.001	1,061.947	944.475	-117.472	¡0.001
% Crop Acres Owned	33.578	29.673	-3.906	¡0.001	33.525	31.865	-1.660	0.097	33.918	32.972	-0.946	¡0.001	33.766	28.765	-5.001	¡0.001
Planted on Own Land	0.358	0.324	-0.034	¡0.001	0.358	0.347	-0.011	0.465	0.345	0.375	0.030	¡0.001	0.359	0.329	-0.030	¡0.001
Planted on Rented Land	0.548	0.556	0.007	0.474	0.548	0.636	0.088	¡0.001	0.519	0.588	0.069	¡0.001	0.547	0.579	0.032	¡0.001
Planted on Share-Rented Land	0.061	0.119	0.058	¡0.001	0.062	0.017	-0.045	¡0.001	0.081	0.037	-0.044	¡0.001	0.060	0.091	0.031	¡0.001
Ownership: Sole Proprietorship	0.801	0.844	0.043	¡0.001	0.801	0.831	0.030	0.013	0.797	0.807	0.010	¡0.001	0.799	0.841	0.041	¡0.001
Ownership: Partnership	0.093	0.046	-0.048	¡0.001	0.093	0.052	-0.041	¡0.001	0.089	0.098	0.010	¡0.001	0.094	0.061	-0.034	¡0.001
Farmer Characteristics																
# Farm Operators	1.236	1.157	-0.078	¡0.001	1.234	1.342	0.108	¡0.001	1.241	1.226	-0.015	¡0.001	1.235	1.221	-0.014	0.034
Age of Primary Operator	49.876	50.233	0.356	0.157	49.872	51.275	1.403	0.002	49.306	50.653	1.347	¡0.001	49.829	50.880	1.051	¡0.001
Experience of Primary Operator (Years)	27.519	28.612	1.093	¡0.001	27.524	29.344	1.820	¡0.001	26.887	28.407	1.521	¡0.001	27.490	28.408	0.917	¡0.001
Management Decisions																
No Manure	0.162	0.304	0.142	¡0.001	0.164	0.213	0.050	¡0.001	0.048	0.319	0.271	¡0.001	0.154	0.351	0.197	¡0.001
Only Manure	0.018	0.014	-0.004	0.066	0.018	0.032	0.014	0.010	0.010	0.028	0.018	¡0.001	0.017	0.029	0.012	¡0.001
Organic Transition	0.003	0.004	0.001	0.526	0.003	0.001	-0.002	0.047	0.002	0.005	0.003	¡0.001	0.003	0.003	0.000	0.514
GMO Seed	0.435	0.762	0.328	¡0.001	0.439	0.548	0.109	¡0.001	0.154	0.823	0.670	¡0.001	0.421	0.800	0.379	¡0.001
Chemical Resistant Crop	0.302	0.456	0.154	¡0.001	0.306	0.000	-0.306	¡0.001	0.094	0.586	0.492	¡0.001	0.300	0.378	0.077	¡0.001
Insect Resistant Crop	0.273	0.416	0.143	¡0.001	0.278	0.000	-0.278	¡0.001	0.080	0.538	0.458	¡0.001	0.271	0.370	0.099	¡0.001
Previously Grown Crop on Field																
Previously Planted: Corn	0.099	0.112	0.013	0.050	0.100	0.092	-0.008	0.409	0.057	0.156	0.099	¡0.001	0.098	0.132	0.034	¡0.001
Previously Planted: Soybean	0.104	0.184	0.080	¡0.001	0.105	0.139	0.034	0.002	0.046	0.185	0.139	¡0.001	0.099	0.216	0.117	¡0.001
Previously Planted: Wheat	0.003	0.020	0.017	¡0.001	0.003	0.023	0.020	¡0.001	0.002	0.004	0.002	¡0.001	0.003	0.008	0.005	¡0.001
Previously Prevented Planting	0.001	0.000	-0.001	¡0.001	0.001	0.002	0.001	0.360	0.000	0.001	0.001	¡0.001	0.001	0.001	0.000	0.930
Growing Conditions																
Growing Degree Days	2,606.274	2,731.180	124.906	¡0.001	2,608.102	2,641.288	33.186	¡0.001	2,628.241	2,581.675	-46.566	¡0.001	2,604.708	2,676.603	71.895	¡0.001
Killing Degree Days	89.278	126.667	37.389	¡0.001	90.030	70.390	-19.640	¡0.001	104.971	69.707	-35.264	¡0.001	89.515	97.036	7.521	¡0.001
1 Year Lag SOC	2.267	2.185	-0.082	¡0.001	2.264	2.410	0.146	¡0.001	2.253	2.277	0.023	¡0.001	2.270	2.200	-0.070	¡0.001

Notes: All candidate covariates are retained. Difference = adopter minus control mean. p-values are from two-sided Welch t-tests using available observations for each covariate. – indicates an unavailable statistic.

Table A.5: Covariate Balance - Soybean

	No Till				Any Cover Crop				Reduced Till				Conservation Till			
Covariate	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value
Farm Characteristics																
Farm Acres	165.364	128.055	-37.309	¡0.001	164.337	99.988	-64.349	¡0.001	158.009	171.490	13.481	¡0.001	165.903	137.198	-28.706	¡0.001
Acres Owned	359.168	324.112	-35.055	¡0.001	358.439	267.482	-90.956	¡0.001	369.237	342.651	-26.586	¡0.001	361.230	312.617	-48.612	¡0.001
Crop Acres	1,212.677	942.253	-270.424	¡0.001	1,204.868	786.045	-418.823	¡0.001	1,257.427	1,128.451	-128.976	¡0.001	1,219.818	966.776	-253.042	¡0.001
% Crop Acres Owned	30.688	30.151	-0.537	0.160	30.666	30.683	0.018	0.987	29.964	31.586	1.621	¡0.001	30.849	28.300	-2.549	¡0.001
Planted on Own Land	0.316	0.320	0.004	0.582	0.316	0.337	0.021	0.209	0.293	0.347	0.054	¡0.001	0.317	0.313	-0.003	0.544
Planted on Rented Land	0.572	0.584	0.011	0.129	0.572	0.638	0.066	¡0.001	0.548	0.604	0.056	¡0.001	0.571	0.596	0.025	¡0.001
Planted on Share-Rented Land	0.078	0.093	0.016	¡0.001	0.079	0.025	-0.054	¡0.001	0.102	0.048	-0.054	¡0.001	0.078	0.089	0.011	¡0.001
Ownership: Sole Proprietorship	0.820	0.877	0.056	¡0.001	0.822	0.862	0.039	¡0.001	0.821	0.825	0.004	0.055	0.820	0.852	0.032	¡0.001
Ownership: Partnership	0.093	0.048	-0.045	¡0.001	0.091	0.034	-0.057	¡0.001	0.084	0.100	0.016	¡0.001	0.093	0.063	-0.030	¡0.001
Farmer Characteristics																
# Farm Operators	1.190	1.152	-0.038	¡0.001	1.188	1.249	0.061	0.005	1.199	1.175	-0.023	¡0.001	1.188	1.201	0.013	0.036
Age of Primary Operator	49.934	50.633	0.698	¡0.001	49.955	50.972	1.017	0.050	49.308	50.822	1.514	¡0.001	49.885	50.968	1.083	¡0.001
Experience of Primary Operator (Years)	27.571	28.417	0.846	¡0.001	27.604	27.894	0.290	0.622	26.921	28.504	1.584	¡0.001	27.533	28.541	1.007	¡0.001
Management Decisions																
No Manure	0.213	0.446	0.233	¡0.001	0.222	0.319	0.098	¡0.001	0.077	0.413	0.336	¡0.001	0.206	0.438	0.232	¡0.001
Only Manure	0.013	0.016	0.003	0.073	0.013	0.041	0.029	¡0.001	0.006	0.022	0.017	¡0.001	0.012	0.021	0.009	¡0.001
Organic Transition	0.002	0.002	0.000	0.724	0.002	0.005	0.003	0.178	0.001	0.002	0.001	¡0.001	0.002	0.002	0.001	0.162
GMO Seed	0.486	0.886	0.401	¡0.001	0.501	0.617	0.116	¡0.001	0.210	0.885	0.675	¡0.001	0.474	0.861	0.386	¡0.001
Chemical Resistant Crop	0.391	0.632	0.241	¡0.001	0.404	0.000	-0.404	¡0.001	0.159	0.717	0.558	¡0.001	0.390	0.545	0.155	¡0.001
Insect Resistant Crop	0.068	0.071	0.002	0.566	0.069	0.000	-0.069	¡0.001	0.018	0.135	0.118	¡0.001	0.068	0.080	0.013	¡0.001
Previously Grown Crop on Field																
Previously Planted: Corn	0.258	0.489	0.231	¡0.001	0.267	0.387	0.120	¡0.001	0.130	0.448	0.318	¡0.001	0.251	0.488	0.237	¡0.001
Previously Planted: Soybean	0.026	0.027	0.002	0.443	0.025	0.046	0.021	0.004	0.015	0.039	0.024	¡0.001	0.025	0.040	0.016	¡0.001
Previously Planted: Wheat	0.016	0.008	-0.008	¡0.001	0.016	0.013	-0.003	0.485	0.006	0.028	0.022	¡0.001	0.017	0.006	-0.011	¡0.001
Previously Prevented Planting	0.001	0.002	0.001	0.081	0.001	0.000	-0.001	¡0.001	0.000	0.001	0.001	¡0.001	0.001	0.002	0.001	0.053
Growing Conditions																
Growing Degree Days	2,405.009	2,460.345	55.336	¡0.001	2,406.759	2,472.763	66.004	¡0.001	2,429.763	2,377.763	-52.000	¡0.001	2,403.319	2,458.285	54.966	¡0.001
Killing Degree Days	88.833	92.148	3.315	0.017	89.106	71.293	-17.813	¡0.001	104.645	68.406	-36.239	¡0.001	89.070	87.654	-1.416	0.137
1 Year Lag SOC	2.449	2.244	-0.206	¡0.001	2.440	2.495	0.054	0.075	2.439	2.443	0.003	0.639	2.455	2.285	-0.170	¡0.001

Notes: All candidate covariates are retained. Difference = adopter minus control mean. p-values are from two-sided Welch t-tests using available observations for each covariate. – indicates an unavailable statistic.

Table A.6: Covariate Balance - Wheat

	No Till				Any Cover Crop				Reduced Till				Conservation Till			
Covariate	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value	Control	Adopter	Difference	p-value
Farm Characteristics																
Farm Acres	218.251	197.393	-20.858	0.282	218.372	121.069	-97.303	¡0.001	198.902	248.947	50.046	¡0.001	217.652	235.562	17.909	0.312
Acres Owned	584.444	332.095	-252.349	¡0.001	581.176	594.012	12.836	0.840	534.999	656.232	121.233	¡0.001	582.777	499.438	-83.340	0.038
Crop Acres	1,741.819	1,420.378	-321.441	¡0.001	1,737.880	1,698.207	-39.673	0.787	1,654.314	1,873.051	218.737	¡0.001	1,741.247	1,551.673	-189.574	0.001
% Crop Acres Owned	33.145	25.028	-8.117	¡0.001	33.072	25.437	-7.635	0.031	32.765	33.491	0.726	0.078	33.134	28.176	-4.959	¡0.001
Planted on Own Land	0.351	0.238	-0.113	¡0.001	0.350	0.278	-0.072	0.179	0.332	0.378	0.045	¡0.001	0.351	0.297	-0.054	0.032
Planted on Rented Land	0.565	0.736	0.171	¡0.001	0.567	0.639	0.072	0.211	0.556	0.585	0.029	¡0.001	0.565	0.682	0.118	¡0.001
Planted on Share-Rented Land	0.046	0.026	-0.020	0.060	0.046	0.083	0.038	0.255	0.051	0.037	-0.014	¡0.001	0.046	0.021	-0.025	0.001
Ownership: Sole Proprietorship	0.808	0.848	0.040	0.093	0.809	0.778	-0.031	0.530	0.806	0.813	0.007	0.213	0.809	0.819	0.010	0.627
Ownership: Partnership	0.115	0.082	-0.033	0.073	0.115	0.139	0.024	0.557	0.115	0.115	0.001	0.914	0.115	0.074	-0.041	0.005
Farmer Characteristics																
# Farm Operators	1.239	1.201	-0.038	0.309	1.239	1.215	-0.024	0.663	1.260	1.205	-0.055	¡0.001	1.239	1.219	-0.021	0.525
Age of Primary Operator	48.579	47.238	-1.341	0.075	48.552	50.958	2.406	0.102	47.716	49.934	2.218	¡0.001	48.572	48.033	-0.539	0.433
Experience of Primary Operator (Years)	26.040	27.238	1.198	0.138	26.041	29.750	3.709	0.014	25.054	27.680	2.626	¡0.001	26.032	27.282	1.250	0.105
Management Decisions																
No Manure	0.119	0.312	0.193	¡0.001	0.120	0.333	0.213	¡0.001	0.021	0.284	0.263	¡0.001	0.117	0.318	0.200	¡0.001
Only Manure	0.009	0.013	0.004	0.627	0.009	0.000	-0.009	¡0.001	0.004	0.018	0.014	¡0.001	0.009	0.021	0.012	0.138
Organic Transition	0.002	0.004	0.003	0.533	0.002	0.000	-0.002	¡0.001	0.002	0.001	0.000	0.579	0.002	0.003	0.001	0.654
GMO Seed	0.041	0.113	0.071	¡0.001	0.041	0.389	0.348	¡0.001	0.009	0.096	0.088	¡0.001	0.041	0.125	0.084	¡0.001
Chemical Resistant Crop	0.024	0.026	0.002	0.821	0.024	0.000	-0.024	¡0.001	0.002	0.058	0.055	¡0.001	0.024	0.024	0.000	0.988
Insect Resistant Crop	0.004	0.017	0.013	0.129	0.004	0.000	-0.004	¡0.001	0.001	0.010	0.009	¡0.001	0.004	0.012	0.008	0.198
Previously Grown Crop on Field																
Previously Planted: Corn	0.020	0.048	0.028	0.049	0.020	0.056	0.036	0.195	0.012	0.033	0.020	¡0.001	0.020	0.045	0.025	0.028
Previously Planted: Soybean	0.091	0.195	0.104	¡0.001	0.092	0.097	0.005	0.884	0.030	0.194	0.164	¡0.001	0.090	0.178	0.088	¡0.001
Previously Planted: Wheat	0.027	0.009	-0.019	0.003	0.027	0.028	0.001	0.974	0.012	0.052	0.040	¡0.001	0.027	0.009	-0.019	¡0.001
Previously Prevented Planting	0.001	0.000	-0.001	¡0.001	0.001	0.000	-0.001	¡0.001	0.000	0.001	0.001	0.026	0.001	0.000	-0.001	¡0.001
Growing Conditions																
Growing Degree Days	2,388.118	2,446.326	58.208	¡0.001	2,388.554	2,465.445	76.891	¡0.001	2,390.412	2,386.340	-4.072	0.262	2,388.115	2,428.168	40.053	0.002
Killing Degree Days	32.712	39.418	6.705	0.002	32.768	40.212	7.444	0.002	33.731	31.284	-2.447	¡0.001	32.667	39.711	7.044	¡0.001
1 Year Lag SOC	3.286	3.182	-0.103	0.272	3.283	3.482	0.199	0.059	3.237	3.329	0.093	¡0.001	3.289	3.105	-0.184	0.007

Notes: All candidate covariates are retained. Difference = adopter minus control mean. p-values are from two-sided Welch t-tests using available observations for each covariate. – indicates an unavailable statistic.

C Adoption Predictors

C.1 County Level Adoption

In these figures I present county level adoption of practices by commodity. This show the variation in adoption across counties and the steadiness of adoption levels over time. This is representative of farmers using the FinPack toolkit as opposed to a representation of county adoption for all farmers in the county.

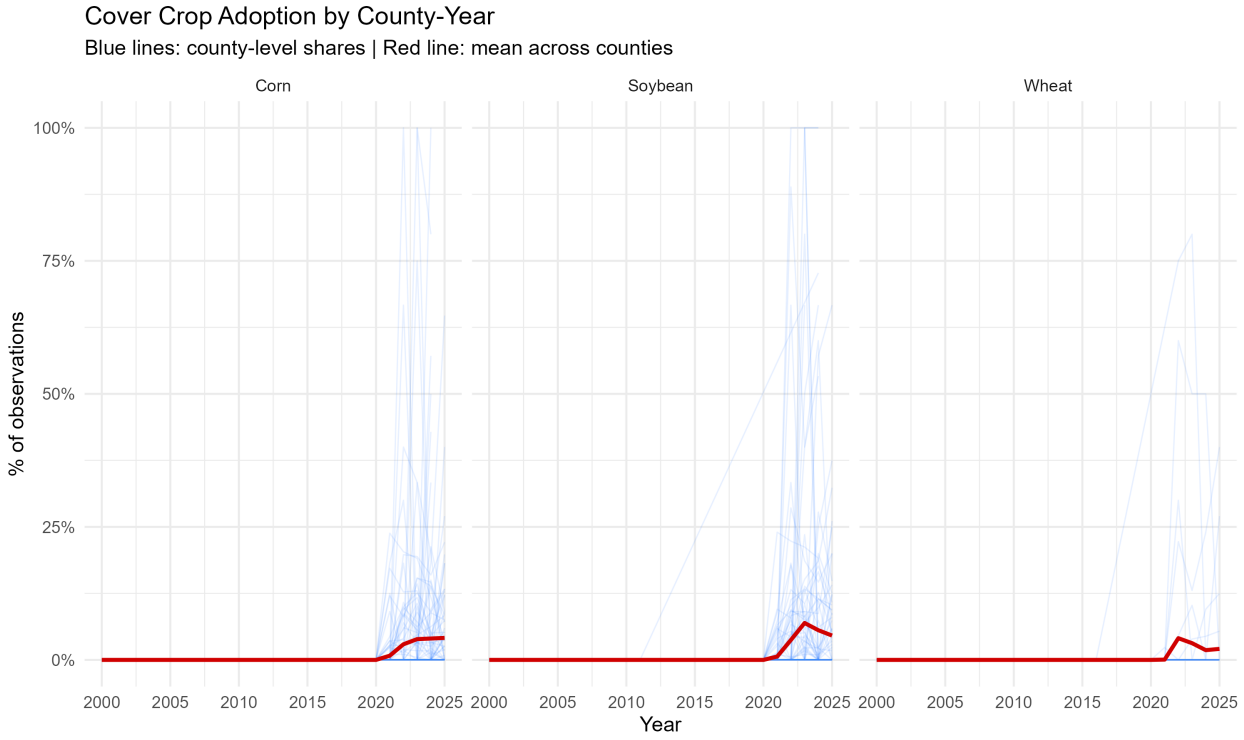


Figure A.7: County-level Adoption of Cover Cropping

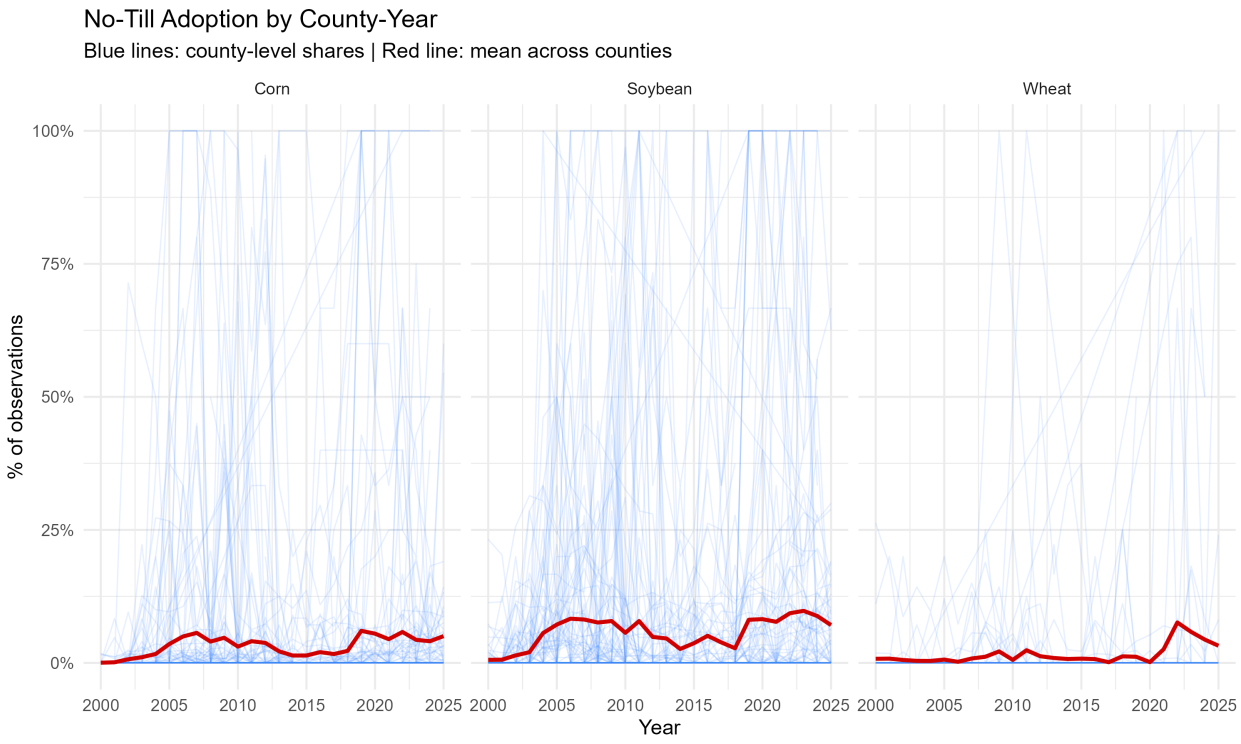


Figure A.8: County-level Adoption of No Till

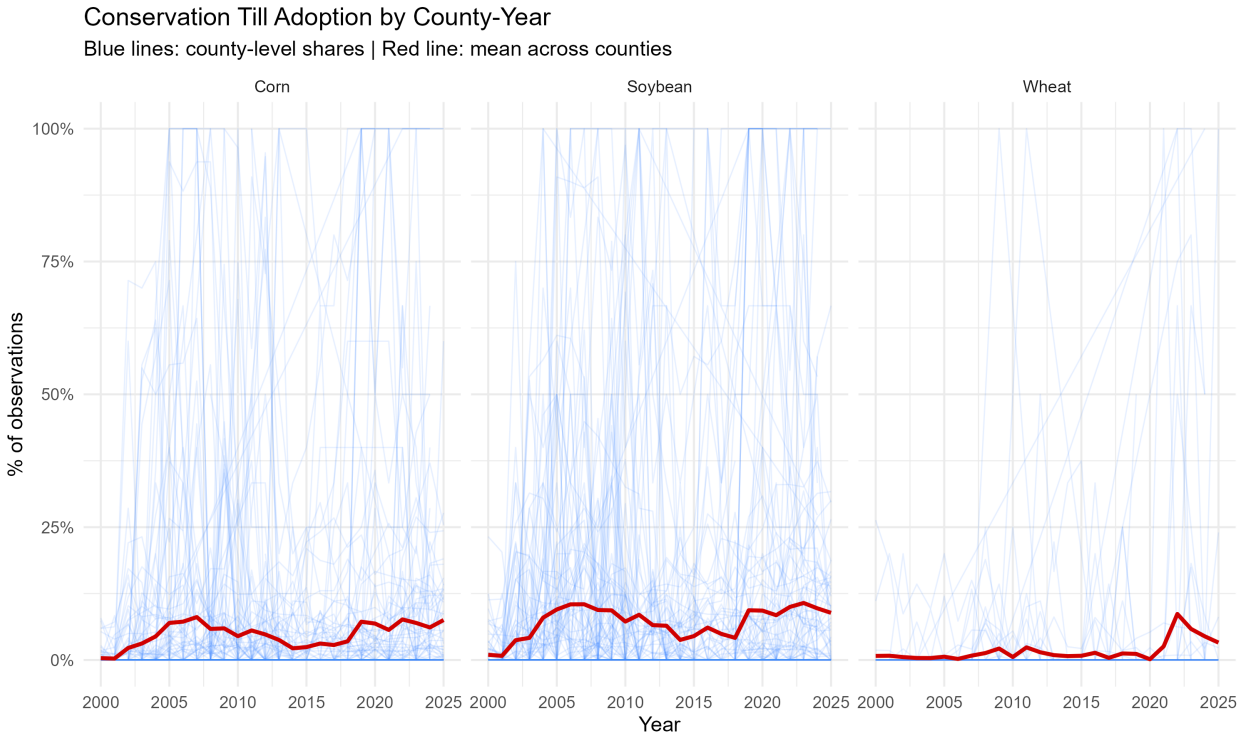


Figure A.9: County-level Adoption of Conservation Tillage

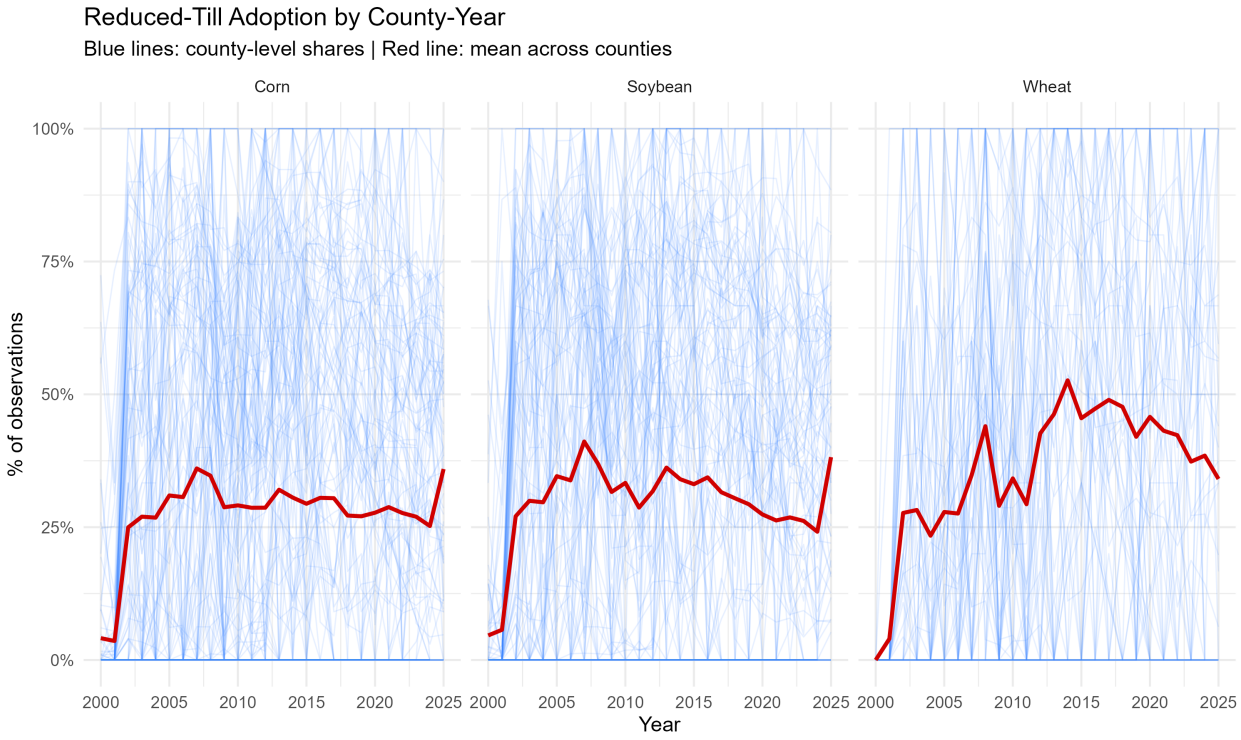


Figure A.10: County-level Adoption of Reduced Tillage

C.2 Logit Across all Periods

In these logit estimates, I consider all the time periods to compare likelihood of adoption across different management types. This includes both pre-treatment and post-treatment periods.

Table A.7: Adoption Logit Models - Corn

Covariate	No Till	Any Cover Crop	Reduced Till	Conservation Till
Farm Characteristics				
Acres Owned				0.0001*** (0.0000)
Planted on Own Land	2.8483*** (0.7987)		0.3849*** (0.0231)	2.6775*** (0.5104)
Planted on Rented Land	2.8443*** (0.7972)		0.3792*** (0.0231)	2.6807*** (0.5110)
Planted on Share-Rented Land	2.7997*** (0.7858)		0.4014*** (0.0250)	2.6077*** (0.4980)
Ownership: Partnership	-1.7864*** (0.5369)		0.1045*** (0.0232)	-0.5906*** (0.1616)
Farmer Characteristics				
Age of Primary Operator				0.0188*** (0.0049)
Experience of Primary Operator (Years)	0.0160** (0.0062)		0.0022*** (0.0004)	
Management Decisions				
No Manure			0.1070*** (0.0094)	0.0357*** (0.0132)
Only Manure			0.0761*** (0.0172)	0.1370*** (0.0365)
GMO Seed	0.1841*** (0.0544)		0.3850*** (0.0230)	0.3543*** (0.0654)
Chemical Resistant Crop				-0.0838*** (0.0181)
Insect Resistant Crop			0.0706*** (0.0064)	-0.0730*** (0.0181)
Previously Grown Crop on Field				
Previously Planted: Corn			0.0632*** (0.0063)	
Previously Planted: Soybean			0.0577*** (0.0058)	
Previously Planted: Wheat			0.2251*** (0.0514)	
Previously Prevented Planting	-1.5232*** (0.4183)	3.7747*** (0.0000)		
Growing Conditions				
Growing Degree Days				0.0001** (0.0000)
1 Year Lag SOC			0.0514*** (0.0097)	
Model Statistics				
N	4,957	3,511	43,154	10,922
Selected Predictors	7	1	13	12
Pseudo R2	0.3792	0.2420	0.5855	0.4949
Log-Likelihood	-1,501.7681	-1,436.5320	-11,846.7787	-3,447.7049
Wald F	1,678,741,436,654,421.5000	127,929,252,098,013,535,114,020,420,268,468.0000	409.4989	3,047,612,134,137.4731
Joint Wald p-value	¡0.001	¡0.001	¡0.001	¡0.001

Notes: Average marginal effects; heteroskedasticity-robust delta-method standard errors in parentheses. Farm and county fixed effects included. Backward elimination starts from all candidate covariates on a fixed full-model estimation sample. All retained logit coefficients have p ¡ 0.05; the eligible subset with the smallest joint Wald p-value along the path is reported. Subsets with singular joint-test covariance are excluded with a warning. Blank cells indicate predictors not selected for that model. Selection and inference are exploratory; p-values do not adjust for model selection. Fixed effects only are reported if no eligible subset exists; – indicates an unavailable statistic. * p ¡ 0.10; ** p ¡ 0.05; *** p ¡ 0.01 (AME tests).

Table A.8: Adoption Logit Models - Soybean

Covariate	No Till	Any Cover Crop	Reduced Till	Conservation Till
Farm Characteristics				
Crop Acres	0.0001** (0.0000)			0.0001** (0.0000)
% Crop Acres Owned	0.0014*** (0.0005)			
Planted on Own Land	0.0566** (0.0261)	1.6986*** (0.2872)	0.0282*** (0.0094)	0.1003*** (0.0273)
Planted on Rented Land	0.0492* (0.0252)	1.6929*** (0.2873)	0.0223** (0.0092)	0.0948*** (0.0264)
Planted on Share-Rented Land		1.6581*** (0.2879)		
Ownership: Sole Proprietorship	0.0995* (0.0562)			
Ownership: Partnership	-0.4644*** (0.1476)	1.3035*** (0.2452)		-0.3201*** (0.0843)
Farmer Characteristics				
Experience of Primary Operator (Years)	0.0108*** (0.0032)	0.0514*** (0.0118)		0.0123*** (0.0027)
Management Decisions				
No Manure	0.0577*** (0.0176)		0.1175*** (0.0084)	0.0577*** (0.0149)
GMO Seed	0.2736*** (0.0482)		0.3614*** (0.0141)	0.3755*** (0.0581)
Chemical Resistant Crop	-0.0666*** (0.0145)	-2.8183*** (0.4644)	0.0773*** (0.0064)	-0.1550*** (0.0234)
Insect Resistant Crop		-1.3057*** (0.2163)		
Previously Grown Crop on Field				
Previously Planted: Corn	0.0737*** (0.0180)		0.0950*** (0.0061)	0.0756*** (0.0158)
Previously Planted: Soybean			0.1174*** (0.0099)	0.0586*** (0.0196)
Previously Planted: Wheat			0.1620*** (0.0210)	
Previously Prevented Planting	0.4393*** (0.1102)			0.3333*** (0.1012)
Growing Conditions				
Growing Degree Days				0.0002*** (0.0001)
Killing Degree Days	-0.0005*** (0.0001)			-0.0005*** (0.0002)
1 Year Lag SOC			0.0893*** (0.0074)	
Model Statistics				
N	6,687	2,970	33,792	11,113
Selected Predictors	13	7	9	13
Pseudo R2	0.4230	0.4650	0.5753	0.4894
Log-Likelihood	-2,290.5194	-864.5198	-9,508.9123	-3,611.6976
Wald F	40.6999	894,821,578,634.8516	467.9089	87.0478
Joint Wald p-value	¡0.001	¡0.001	¡0.001	¡0.001

Notes: Average marginal effects; heteroskedasticity-robust delta-method standard errors in parentheses. Farm and county fixed effects included. Backward elimination starts from all candidate covariates on a fixed full-model estimation sample. All retained logit coefficients have p ¡ 0.05; the eligible subset with the smallest joint Wald p-value along the path is reported. Subsets with singular joint-test covariance are excluded with a warning. Blank cells indicate predictors not selected for that model. Selection and inference are exploratory; p-values do not adjust for model selection. Fixed effects only are reported if no eligible subset exists; – indicates an unavailable statistic. * p ¡ 0.10; ** p ¡ 0.05; *** p ¡ 0.01 (AME tests).

Table A.9: Adoption Logit Models - Wheat

Covariate	No Till	Any Cover Crop	Reduced Till	Conservation Till
Farm Characteristics				
Acres Owned		0.0254 (0.1025)		
% Crop Acres Owned		-0.0446 (0.1729)		
Planted on Own Land	2.1680*** (0.5214)	-8.7052 (35.2358)	4.9200*** (0.0102)	2.1281*** (0.3045)
Planted on Rented Land	2.1825*** (0.5264)	-8.8124 (35.6761)	4.8937*** (0.0188)	2.0801*** (0.2976)
Planted on Share-Rented Land		-8.8940 (35.9783)	4.7811*** (0.0305)	-1.8288*** (0.1471)
Ownership: Sole Proprietorship		-8.7276 (35.4379)		
Farmer Characteristics				
# Farm Operators		2.0198 (8.4557)		
Management Decisions				
Only Manure			5.1996*** (0.0171)	-1.9618*** (0.2664)
Chemical Resistant Crop		-1.0024 (4.2702)		
Insect Resistant Crop		0.5898 (2.4277)		
Previously Grown Crop on Field				
Previously Planted: Corn		-2.7386 (10.9102)		
Previously Prevented Planting				-1.5328*** (0.2162)
Model Statistics				
N	364	207	4,919	727
Selected Predictors	2	10	4	5
Pseudo R2	0.2104	0.6726	0.2854	0.3116
Log-Likelihood	-153.3313	-42.1788	-2,286.4026	-273.8318
Wald F	402.9084	214,444,300,244,808.4375	26,136,521,373,805,334,528.0000	295,784,202,937,656,960.0000
Joint Wald p-value	¡0.001	¡0.001	¡0.001	¡0.001

Notes: Average marginal effects; heteroskedasticity-robust delta-method standard errors in parentheses. Farm and county fixed effects included. Backward elimination starts from all candidate covariates on a fixed full-model estimation sample. All retained logit coefficients have p ¡ 0.05; the eligible subset with the smallest joint Wald p-value along the path is reported. Subsets with singular joint-test covariance are excluded with a warning. Blank cells indicate predictors not selected for that model. Selection and inference are exploratory; p-values do not adjust for model selection. Fixed effects only are reported if no eligible subset exists; – indicates an unavailable statistic. * p ¡ 0.10; ** p ¡ 0.05; *** p ¡ 0.01 (AME tests).

C.3 Logit for Pre-Treatment Period

In these logit estimates, I consider only the pre-treatment periods to compare likelihood of adoption across different management types before any treatment occurs.

Table A.10: First-Year Adoption Logit Models - Corn

Covariate	No Till	Any Cover Crop	Reduced Till	Conservation Till
Farm Characteristics				
Acres Owned				0.0004 (0.0017)
Crop Acres				0.0002 (0.0008)
Planted on Own Land				2.0470 (9.5809)
Planted on Rented Land				2.0602 (9.6398)
Planted on Share-Rented Land				2.0245 (9.4653)
Ownership: Partnership				-0.2382 (1.1314)
Farmer Characteristics				
# Farm Operators				0.2134 (0.9627)
Experience of Primary Operator (Years)	0.9934*** (0.0001)			0.0480 (0.2357)
Management Decisions				
Only Manure				0.1328 (0.5679)
GMO Seed				0.2619 (1.1296)
Chemical Resistant Crop				-0.2304 (0.9812)
Previously Grown Crop on Field				
Previously Planted: Corn				-0.0419 (0.1873)
Previously Planted: Soybean				0.0233 (0.1045)
Previously Planted: Wheat			4.4490*** (0.0000)	
Previously Prevented Planting	2.8399*** (0.0003)	3.2570*** (0.0000)		
Growing Conditions				
Growing Degree Days				0.0002 (0.0011)
Killing Degree Days				-0.0007 (0.0032)
Model Statistics				
N	1,019	2,081	3,391	3,373
Selected Predictors	2	1	1	15
Pseudo R2	0.7708	0.2181	0.1622	0.5782
Log-Likelihood	-79.4366	-723.2159	-1,799.3533	-584.3954
Wald F	11,694,313,484,639.9219	35,682,216,953,440,459,090,220,426,260,466.0000	85,238,821,313,849,579,618,662,620,208,488.0000	15,136,440,585,662.1523
Joint Wald p-value	¡0.001	¡0.001	¡0.001	¡0.001

Notes: Average marginal effects; heteroskedasticity-robust delta-method standard errors in parentheses. Farm and county fixed effects included. Backward elimination starts from all candidate covariates on a fixed full-model estimation sample. All retained logit coefficients have p ¡ 0.05; the eligible subset with the smallest joint Wald p-value along the path is reported. Subsets with singular joint-test covariance are excluded with a warning. Blank cells indicate predictors not selected for that model. Selection and inference are exploratory; p-values do not adjust for model selection. Fixed effects only are reported if no eligible subset exists; – indicates an unavailable statistic. * p ¡ 0.10; ** p ¡ 0.05; *** p ¡ 0.01 (AME tests).

Table A.11: First-Year Adoption Logit Models - Soybean

Covariate	No Till	Any Cover Crop	Reduced Till	Conservation Till
Farm Characteristics				
Farm Acres		0.0000		0.0000
Acres Owned		0.0018		0.0001
Crop Acres		0.0011		0.0001
% Crop Acres Owned		-0.0036		-0.0001
Planted on Own Land	2.5925 (1.9927)	-3.1984		0.5349
Planted on Rented Land	2.5710 (1.9759)	-3.2150		0.5336
Planted on Share-Rented Land	2.5258 (1.9407)	-3.2004		0.4719
Ownership: Sole Proprietorship		16.1320	-0.6379 (0.8061)	-0.1575
Ownership: Partnership		10.0075	1.2451 (1.5563)	-0.0077
Farmer Characteristics				
# Farm Operators		-0.6519		-0.1865
Age of Primary Operator		0.1995	0.0371 (0.0582)	-0.0707
Experience of Primary Operator (Years)		1.5898		0.1355
Management Decisions				
No Manure		0.0397		0.0024
Only Manure		-1.0869		0.0164
Organic Transition		3.5207		0.0149
GMO Seed	0.2453 (0.1988)	-0.0775	0.5757 (0.6716)	0.2152
Chemical Resistant Crop		-0.7744		-0.1394
Insect Resistant Crop		1.8001		0.0034
Previously Grown Crop on Field				
Previously Planted: Corn		-0.0209		0.0794
Previously Planted: Soybean		0.0099		0.0462
Previously Planted: Wheat	-1.5173 (1.2025)	-0.2447		-0.0422
Previously Prevented Planting		–		0.4133
Growing Conditions				
Growing Degree Days		-0.0028		0.0002
Killing Degree Days		0.0116		-0.0007
1 Year Lag SOC	0.2382 (0.2430)	-0.2975		-0.0903
Model Statistics				
N	2,137	1,768	2,325	3,672
Selected Predictors	6	–	4	–
Pseudo R2	0.2792	0.7747	0.7459	0.5924
Log-Likelihood	-636.4629	-181.7655	-386.5840	-617.0866
Wald F	41,591,433,346,479.3672	–	5,073,342,932,683,346.0000	–
Joint Wald p-value	¡0.001	–	¡0.001	–

Notes: Full-set exception (Any Cover Crop: Elimination-step 11 logit did not converge. Conservation Till: Full-model logit did not converge.): All candidate predictors are retained in these columns; selection was not possible. AMEs are descriptive only, without standard errors, stars, selected-predictor counts, or joint tests. – also marks nonestimable predictors. The following selection rules apply only to other columns. Average marginal effects; heteroskedasticity-robust delta-method standard errors in parentheses. Farm and county fixed effects included. Backward elimination starts from all candidate covariates on a fixed full-model estimation sample. All retained logit coefficients have p ¡ 0.05; the eligible subset with the smallest joint Wald p-value along the path is reported. Subsets with singular joint-test covariance are excluded with a warning. Blank cells indicate predictors not selected for that model. Selection and inference are exploratory; p-values do not adjust for model selection. Fixed effects only are reported if no eligible subset exists; – indicates an unavailable statistic. * p ¡ 0.10; ** p ¡ 0.05; *** p ¡ 0.01 (AME tests).

Table A.12: First-Year Adoption Logit Models - Wheat

Covariate	No Till	Any Cover Crop	Reduced Till	Conservation Till
Farm Characteristics				
Farm Acres	0.0000	-0.0002	0.0003	0.0000
Acres Owned	0.0000	0.0011	0.0008	0.0000
Crop Acres	0.0000	-0.0008	0.0006	0.0000
% Crop Acres Owned	0.0000	0.0059	0.0080	0.0000
Planted on Own Land	0.0000	-0.0174	0.0673	0.0000
Planted on Rented Land	0.0000	0.2293	-0.0655	0.0000
Planted on Share-Rented Land	–	–	-0.0727	0.0000
Ownership: Sole Proprietorship	–	–	–	0.0000
Ownership: Partnership	–	–	–	–
Farmer Characteristics				
# Farm Operators	–	-1.3534	-1.9160	0.0000
Age of Primary Operator	0.0000	0.2192	0.1242	0.0000
Experience of Primary Operator (Years)	–	–	–	–
Management Decisions				
No Manure	0.0000	-1.6696	-0.6283	0.0000
Only Manure	–	–	–	–
Organic Transition	–	–	–	–
GMO Seed	0.0000	0.2412	0.3717	0.0000
Chemical Resistant Crop	0.0000	-0.0470	–	0.0000
Insect Resistant Crop	0.0000	-0.2796	-0.2879	–
Previously Grown Crop on Field				
Previously Planted: Corn	0.0000	-0.5248	-0.1970	0.0000
Previously Planted: Soybean	0.0000	-0.0094	0.5604	0.0000
Previously Planted: Wheat	0.0000	-0.2666	-0.2040	0.0000
Previously Prevented Planting	–	–	0.0375	–
Growing Conditions				
Growing Degree Days	0.0000	-0.0023	0.0002	0.0000
Killing Degree Days	0.0000	0.0050	-0.0015	0.0000
1 Year Lag SOC	0.0000	–	0.0558	0.0000
Model Statistics				
N	50	120	349	193
Selected Predictors	–	–	–	–
Pseudo R2	1.0000	0.9223	0.9927	1.0000
Log-Likelihood	0.0000	-4.6660	-1.5328	0.0000
Wald F	–	–	–	–
Joint Wald p-value	–	–	–	–

Notes: Full-set exception (No Till: Full-model logit did not converge. Any Cover Crop: Elimination-step 12 logit did not converge. Reduced Till: Full-model logit did not converge. Conservation Till: Full-model logit did not converge.): All candidate predictors are retained in these columns; selection was not possible. AMEs are descriptive only, without standard errors, stars, selected-predictor counts, or joint tests. – also marks nonestimable predictors. The following selection rules apply only to other columns. Average marginal effects; heteroskedasticity-robust delta-method standard errors in parentheses. Farm and county fixed effects included. Backward elimination starts from all candidate covariates on a fixed full-model estimation sample. All retained logit coefficients have p ¡ 0.05; the eligible subset with the smallest joint Wald p-value along the path is reported. Subsets with singular joint-test covariance are excluded with a warning. Blank cells indicate predictors not selected for that model. Selection and inference are exploratory; p-values do not adjust for model selection. Fixed effects only are reported if no eligible subset exists; – indicates an unavailable statistic.

D Soil Organic Carbon (SOC) Prediction

D.1 Measurement of SOC using Ignition Tests

Soil organic matter (SOM) comprises all organic material in the soil, including plant residues, decomposed humus, and living microorganisms. Soil organic carbon (SOC) is the carbon portion of that material. Laboratories typically report SOM and convert to SOC using the conventional assumption that organic matter is about 58% carbon (SOC $= 0.58\times$ SOM, equivalently SOM $= 1.72\times$ SOC). I apply the same factor to convert predicted organic matter to SOC.

The most common routine test is loss-on-ignition (LOI). A technician weighs an oven-dried soil sample, heats it in a furnace, typically at 360–440°C for about two hours, and reweighs it. The heat burns off the organic material, and the percentage of weight lost is the estimate of organic matter (Figure A.11). Because LOI measures weight loss rather than carbon directly, it can also capture other combustible or volatile components, so SOC derived from LOI is an approximation of true carbon content. Improvements in spectrometry and other analytical techniques, such as near-infrared spectroscopy (NIRS), can provide more accurate and rapid estimates of SOC, but LOI remains a widely used and cost-effective method for routine soil testing.

Figure A.11: Example of Soil Test Procedure

The range of SOC values I work with follows from this procedure and from soil physical properties. SOC concentrations in agricultural topsoils typically fall between 1% and 3% (10 to 30 g/kg), with a broader baseline range of 0.5% to 5% depending on texture, climate, and management. Texture matters because clay particles chemically bind and protect organic matter, while sandy soils drain rapidly and lose carbon to microbial oxidation. Typical ranges are 0.4%–1.7% for sandy soils, 1.3%–2.7% for loamy soils, and 1.5%–3.3% for clayey soils. Differences in predicted SOC across counties therefore partly reflect soil texture rather than management alone, which is why the models include soil and climate covariates.

D.2 Ground Truth Data

The ground truth for training is the University of Wisconsin Soil and Forage Lab soil test summary (`https://uwlab.soils.wisc.edu/soilsummary/`), which reports aggregated results from submitted farm soil samples. Organic matter in these samples is measured by loss-on-ignition at 360°C for two hours. I use the aggregated county-year values as the training target and convert them to SOC with the factor above. Because the samples are submitted by farmers and consultants rather than drawn at random, they may not represent all cropland in a county, and the target is a county-level average rather than a field-level measurement.

The Wisconsin source contains 1,800 county-year organic matter (OM) records. After dropping one record for failing quality checks (missing or invalid values or a nonpositive sample count), 1,799 usable county-year observations remain. They represent 5,336,425 submitted soil samples, which are not necessarily distinct sites or farms. The data cover all 72 Wisconsin counties over 25 years from 1995 to 2019, or 99.9% of possible county-years, with 71 to 72 counties observed in each year and 24 to 25 years observed per county. Twenty-four retained county-year records are based on fewer than 10 samples.

County-year mean OM ranges from 0.10% to 21.80%, with an unweighted mean of 3.12%, a standard deviation of 1.10 percentage points, a median of 3.00%, and an interquartile range of 2.60% to 3.40%. Weighting by the number of submitted samples raises the mean to 3.23%, though this is not an area-weighted statewide estimate. The extreme values come from a handful of county-years and are far outside the interquartile range, so I treat them as possible measurement or reporting outliers rather than evidence of true soil conditions. These are measured OM values, not SOC measurements or predictions.

Figure A.12 maps the spatial pattern. Panel A shows each county's latest usable OM observation. Panel B shows $100 \times (\text{latest OM} - \text{first OM})/\text{first OM}$, which is a percent

change over the observed span rather than a percentage-point change or an annualized rate. Endpoint years can differ across counties, and the county coverage file reports them.

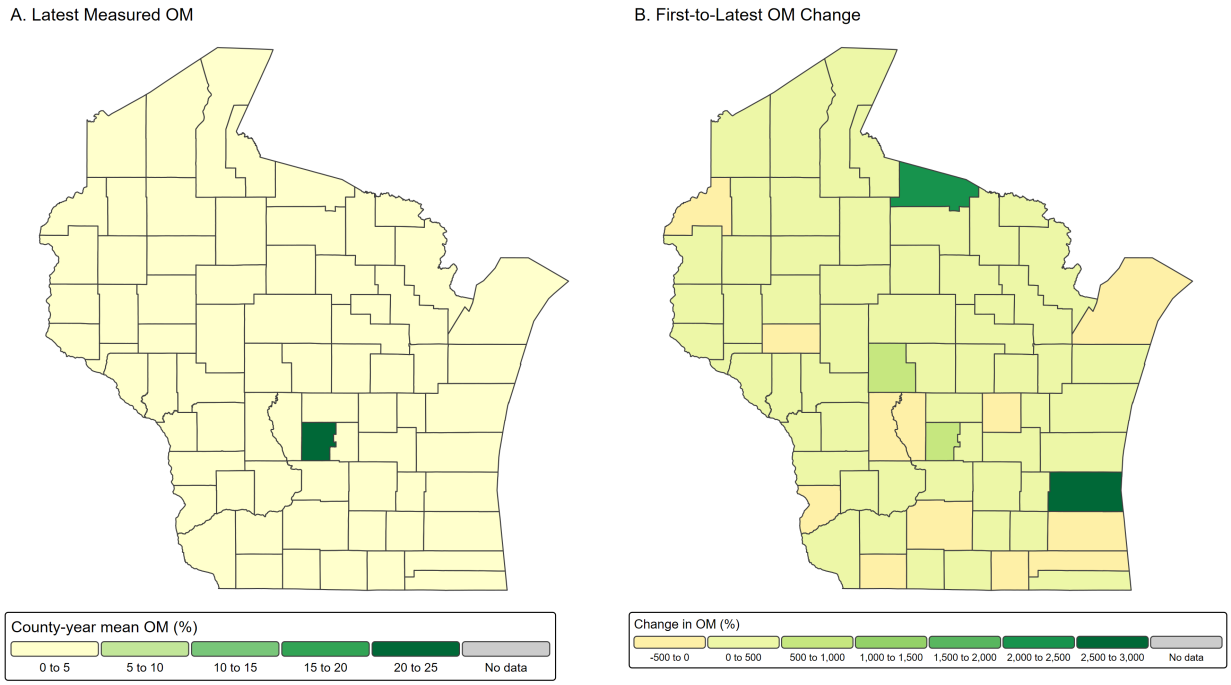


Figure A.12: Map of OM from UW-Madison Soil Sample Ground Truth Data. Panel A: latest usable county OM (%). Panel B: percent change from each county's first to latest observation.

An ideal alternative ground truth dataset could have derived from the University of Minnesota: Minnesota Office of Soil Health (MOSH). MOSH performs similar soil testing and aggregation for Minnesota counties, providing county-year summaries of organic matter and other soil properties that could serve as a complementary or comparative ground truth for model training and validation. This would be an improvement over the current ground truth measure as it samples directly from the core population in the FinBin data set. Unfortunately, despite repeated attempts to obtain this data from MOSH my efforts were unsuccessful.

D.3 Machine Learning Models

This section provides technical specifications for each machine learning model tested in the model comparison analysis. For all models, the objective is to predict a binary or continuous outcome y_i (e.g., adoption of regenerative practices, farm revenues, or yield

changes) based on a feature vector $\mathbf{x}_i = (x_{i1}, x_{i2}, \ldots, x_{ip})'$ comprising farmer and county characteristics, historical production, financial variables, and environmental conditions. Each model is estimated via 5-fold cross-validation on the training set, with performance evaluated on the held-out test set.

D.4 Base Case: Dummy Classifier

The dummy classifier serves as a trivial baseline that makes constant predictions regardless of input features. For binary classification tasks, it predicts the majority class in the training set with probability equal to its empirical frequency. Mathematically:

$$\hat{y}_i = \begin{cases} 1 & \text{if } P(y = 1) > 0.5 \\ 0 & \text{otherwise} \end{cases} \tag{D.1}$$

This baseline has no learnable parameters and provides a reference point to determine whether more sophisticated models add predictive value beyond class-frequency guessing. Any model with accuracy below the dummy classifier's performance on the test set fails to learn meaningful patterns.

D.5 Linear Models

D.5.1 Lasso Regression

Lasso (Least Absolute Shrinkage and Selection Operator) is a linear regression model that combines ordinary least squares with L1 regularization, which induces sparsity by shrinking some coefficients to exactly zero:

$$\hat{\boldsymbol{\beta}}^{\text{Lasso}} = \arg\min_{\boldsymbol{\beta}} \left\{ \frac{1}{2n} \sum_{i=1}^{n} (y_i - \mathbf{x}_i' \boldsymbol{\beta})^2 + \lambda \sum_{j=1}^{p} |\beta_j| \right\}, \tag{D.2}$$

where $\lambda \geq 0$ is the regularization strength. Lasso automatically performs feature selection, setting coefficients of weak predictors to zero. This is valuable for interpretability when the number of features exceeds the sample size or when correlation among predictors is high.

D.5.2 Elastic Net

Elastic Net combines L1 (Lasso) and L2 (Ridge) regularization, balancing sparsity with stability:

$$\hat{\boldsymbol{\beta}}^{\text{ElasticNet}} = \arg\min_{\boldsymbol{\beta}} \left\{ \frac{1}{2n} \sum_{i=1}^{n} (y_i - \mathbf{x}_i'\boldsymbol{\beta})^2 + \lambda \left(\alpha \sum_{j=1}^{p} |\beta_j| + \frac{1-\alpha}{2} \sum_{j=1}^{p} \beta_j^2 \right) \right\}, \tag{D.3}$$

where $\alpha \in [0, 1]$ controls the balance between L1 and L2 penalties. When $\alpha = 1$, Elastic Net reduces to Lasso; when $\alpha = 0$, it becomes Ridge regression. Elastic Net is particularly useful when many features are correlated, as it can select groups of related predictors together while shrinking their coefficients.

D.6 Tree-Based Ensemble Models

D.6.1 Random Forest

Random Forest is an ensemble method that builds multiple decision trees, each trained on a random bootstrap sample (with replacement) of the data and using a random subset of features at each split. The final prediction is the average (regression) or majority vote (classification) across all trees:

$$\hat{y}_i^{\text{RF}} = \frac{1}{B} \sum_{b=1}^{B} T_b(\mathbf{x}_i), \tag{D.4}$$

where $T_b(\cdot)$ is the prediction from tree b and B is the total number of trees. Random forests reduce overfitting through bootstrap aggregation (bagging) and feature randomization, capturing non-linear relationships and high-order interactions naturally.

D.6.2 Extra Trees (Extremely Randomized Trees)

Extra Trees extends Random Forest by randomizing split thresholds: at each split, the split point is randomly selected rather than optimized. The prediction rule is identical to Equation (D.4):

$$\hat{y}_i^{\text{ExtraTrees}} = \frac{1}{B} \sum_{b=1}^{B} T_b^{\text{rand}}(\mathbf{x}_i), \tag{D.5}$$

where T_b^{rand} indicates trees built with randomized splits. This additional randomization reduces variance at the cost of slightly higher bias, sometimes improving generalization on high-dimensional data and reducing computation time during training.

D.6.3 Gradient Boosting

Gradient Boosting builds an ensemble sequentially, with each new tree trained to predict the residuals of all previous trees. For a differentiable loss function $L(y, \hat{y})$, the prediction is:

$$\hat{y}_i^{\text{GB}} = \sum_{m=0}^{M} \gamma_m T_m(\mathbf{x}_i), \tag{D.6}$$

where γ_m is the learning rate (shrinkage) for tree m, and each $T_m(\cdot)$ is trained to minimize the negative gradient of the loss:

$$T_m(\cdot) = \arg\min_{T} \sum_{i=1}^{n} L\left(y_i, \hat{y}_i^{(m-1)} + T(\mathbf{x}_i)\right). \tag{D.7}$$

Gradient Boosting is highly flexible and typically achieves strong predictive performance by carefully building weak learners that correct previous errors.

D.6.4 Histogram Gradient Boosting

Histogram Gradient Boosting is an efficient variant of Gradient Boosting that discretizes continuous features into histograms before training, dramatically reducing memory usage and computation time while often maintaining or improving accuracy:

$$\hat{y}_i^{\text{HistGB}} = \sum_{m=0}^{M} \gamma_m T_m^{\text{hist}}(\mathbf{x}_i^{\text{binned}}), \tag{D.8}$$

where $\mathbf{x}_i^{\text{binned}}$ denotes binned features. This method scales to larger datasets with minimal loss of predictive power.

D.6.5 Extreme Gradient Boosting (XGBoost)

XGBoost adds second-order (Hessian) information to the gradient boosting framework, improving optimization precision. The objective function at each iteration is:

$$\mathcal{L}^{(m)} = \sum_{i=1}^{n} \left[g_i T_m(\mathbf{x}_i) + \frac{1}{2} h_i T_m(\mathbf{x}_i)^2 \right] + \Omega(T_m), \tag{D.9}$$

where $g_i = \frac{\partial L}{\partial \hat{y}_i^{(m-1)}}$ and $h_i = \frac{\partial^2 L}{\partial (\hat{y}_i^{(m-1)})^2}$ are the gradient and Hessian, and $\Omega(T_m)$ is a regularization term penalizing tree complexity. XGBoost also incorporates shrinkage,

column subsampling, and row subsampling for additional regularization and computational efficiency.

D.7 Support Vector Machines

D.7.1 Support Vector Machines (SVM)

SVMs find a hyperplane that maximizes the margin between classes (or minimizes regression error). For classification, the dual problem is:

$$\hat{y}_i^{\text{SVM}} = \text{sign}\left(\sum_{i=1}^{n} \alpha_i y_i K(\mathbf{x}_i, \mathbf{x}) + b\right), \tag{D.10}$$

where $\alpha_i \geq 0$ are Lagrange multipliers, $K(\cdot, \cdot)$ is a kernel function (e.g., radial basis function), and b is the bias term. SVMs are powerful for high-dimensional data and can capture non-linear relationships through kernel tricks. The regularization parameter C controls the balance between margin maximization and classification error minimization.

D.8 Neural Network Models

D.8.1 Multilayer Perceptron (MLP)

MLPs are feedforward neural networks with an input layer, one or more hidden layers, and an output layer. For a network with L hidden layers, the forward pass is:

$$\mathbf{h}^{(\ell)} = \sigma\left(\mathbf{W}^{(\ell)}\mathbf{h}^{(\ell-1)} + \mathbf{b}^{(\ell)}\right), \quad \ell = 1, \ldots, L, \tag{D.11}$$

where $\mathbf{h}^{(0)} = \mathbf{x}_i$, $\mathbf{W}^{(\ell)}$ and $\mathbf{b}^{(\ell)}$ are the weight matrix and bias vector for layer ℓ, and $\sigma(\cdot)$ is an activation function (e.g., ReLU). The output layer applies a task-specific function (linear for regression, softmax for classification):

$$\hat{y}_i^{\text{MLP}} = \mathbf{W}^{(L+1)}\mathbf{h}^{(L)} + \mathbf{b}^{(L+1)}. \tag{D.12}$$

MLPs learn hierarchical feature representations and can approximate arbitrary non-linear functions given sufficient hidden units. Training is via backpropagation and stochastic gradient descent.

D.8.2 Long Short-Term Memory (LSTM)

LSTMs are recurrent neural networks designed to capture long-range temporal dependencies by maintaining a cell state across time steps. The LSTM update equations at time step t are:

$$\mathbf{f}_t = \sigma(\mathbf{W}_f \mathbf{x}_t + \mathbf{U}_f \mathbf{h}_{t-1} + \mathbf{b}_f), \tag{D.13}$$

$$\mathbf{i}_t = \sigma(\mathbf{W}_i \mathbf{x}_t + \mathbf{U}_i \mathbf{h}_{t-1} + \mathbf{b}_i), \tag{D.14}$$

$$\tilde{\mathbf{c}}_t = \tanh(\mathbf{W}_c \mathbf{x}_t + \mathbf{U}_c \mathbf{h}_{t-1} + \mathbf{b}_c), \tag{D.15}$$

$$\mathbf{c}_t = \mathbf{f}_t \odot \mathbf{c}_{t-1} + \mathbf{i}_t \odot \tilde{\mathbf{c}}_t, \tag{D.16}$$

$$\mathbf{o}_t = \sigma(\mathbf{W}_o \mathbf{x}_t + \mathbf{U}_o \mathbf{h}_{t-1} + \mathbf{b}_o), \tag{D.17}$$

$$\mathbf{h}_t = \mathbf{o}_t \odot \tanh(\mathbf{c}_t), \tag{D.18}$$

where $\mathbf{f}_t$, $\mathbf{i}_t$, and $\mathbf{o}_t$ are the forget, input, and output gates respectively, $\mathbf{c}_t$ is the cell state, and $\odot$ denotes element-wise multiplication. The final prediction is $\hat{y}_i^{\text{LSTM}} = \mathbf{W}_y \mathbf{h}_T + \mathbf{b}_y$, where T is the final time step. LSTMs are particularly useful for sequential data, such as time-series of farm operations or multi-year adoption patterns.

D.9 Model Comparison and Cross-Validation

All models are trained and evaluated using 5-fold cross-validation, with hyperparameters tuned via grid search on the training folds. Performance metrics include root mean squared error (RMSE) for regression tasks and accuracy, precision, recall, and F1 score for classification tasks. The test set is held out throughout training and hyperparameter selection to provide an unbiased final evaluation.

D.10 Remotely Sensed Features

The soil prediction model combines remotely sensed observations with static soil and ecological attributes. These features are intended to capture persistent differences in soil-forming conditions, as well as year-to-year variation in vegetation, surface reflectance, and moisture that may covary with organic matter. Since the ground-truth target is a county-year mean, raster features are summarized over county boundaries; this aligns the spatial scale of the predictors with the outcome, but masks within-county and field-level heterogeneity.

Table A.13 summarizes the feature families, their sources, and the spatial and temporal scales used in constructing them. The full feature list contains 150 predictors including annual or lagged band/index summaries, distributional statistics, valid-pixel counts, data-availability flags, missingness indicators, static soil characteristics, ecoregion, and year terms. The satellite data are reduced to county-year (or, for Sentinel-2, county-season-year) features before estimation. Temporal coverage below describes source availability or the extraction window, not a balanced panel of observed values for every county-year.

Table A.13: Remote-Sensing and Spatial Feature Families for Soil Organic Matter Prediction

Source	Feature content	Examples in model	Spatial scale	Temporal coverage
EPA Level III Ecoregions	Broad ecological setting	Ecoregion code	County representative point assigned to a polygon	Static; 2017 map
Landsat Collection 2 Level-2	Surface reflectance bands and vegetation/surface indices	Blue, green, red, NIR, SWIR; NDVI-like index; annual and lagged summaries	240-m analysis grid; county-year summaries	Landsat archive; 1995–2019
MODIS MOD09A1	Eight-day surface reflectance	Bands 1–7; annual and lagged summaries, pixel counts and availability flags	500-m native grid; county-year summaries	From 2000; 1995–2019
Sentinel-2 Level-2A	Surface reflectance and vegetation/moisture indices	NDVI, EVI, SAVI, NDMI, NBR, NDRE, GCI, MSI; seasonal distribution summaries	120-m analysis grid; county-season-year summaries	2015 onward
SSURGO via USDA Soil Data Access	Mapped soil properties	Available water capacity, clay/sand/silt fractions, pH, mapped OM	Soil survey map units summarized to county	Static mapped attributes
GLDAS and GRACE-DA	Soil moisture, surface temperature, evapotranspiration, and terrestrial water storage	Candidate hydroclimate measures and missingness flags	Gridded products aggregated to county	Candidate products span roughly 2000–2023
MODIS land-surface temperature	Surface temperature proxy	Candidate LST and missingness flag	Gridded product intended for county aggregation	Candidate coverage from 2000
SRTM elevation	Topographic context	Candidate mean elevation	County summary; source product's nominal resolution is finer than the county unit	Static

The satellite predictors include raw reflectance and derived indices because plant cover, canopy development, surface moisture, and residue can jointly reflect local growing conditions and management associated with organic matter. Static SSURGO properties and ecoregion help account for baseline variation in soil texture, water-holding capacity, and ecological setting. These variables are predictive covariates, not direct measurements of soil carbon or identified causal effects of management.

E Power Calculation Graphs

In this section I report the power calculation graphs for each crop sample at the adoption rate for each of the management practices. The sample size N uses farm-level sample sizes by crop and uses the treatment ratio from management practice adoption within the sample. These graphs report the minimum detectable effect (MDE) across the range of potential statistical power (hedge against Type II error) at a $\alpha = 0.05$ statistical signficance. The standard 80% power threshold MDE is reported for each crop and management practice combination. The MDE is reported as Cohen's d which can be interperted as the standardized difference between treatment and control means (standard deviation changes from the control mean).

Note that the sample size is common across all Finbin outcomes provided by CFFM. For soil organic carbon (SOC) and insurance coverage (θ), I construct these outcome measures and therefore the sample sizes differ resulting in slightly different power calculations.

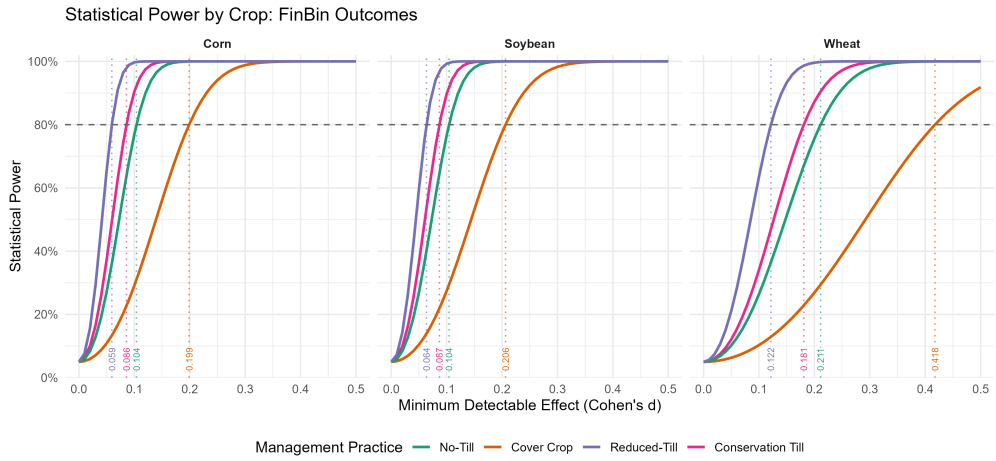


Figure A.13: Power Curve for FinBin Outcomes

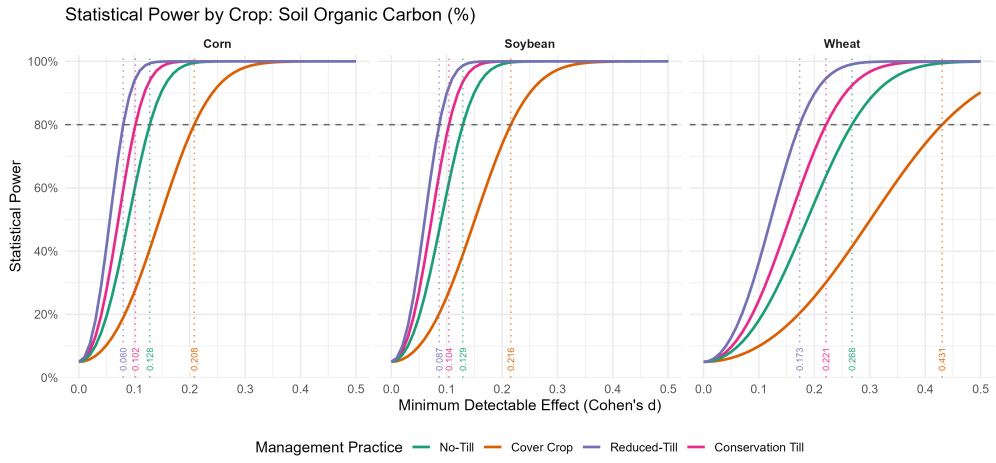


Figure A.14: Power Curve for SOC Predicted Outcomes

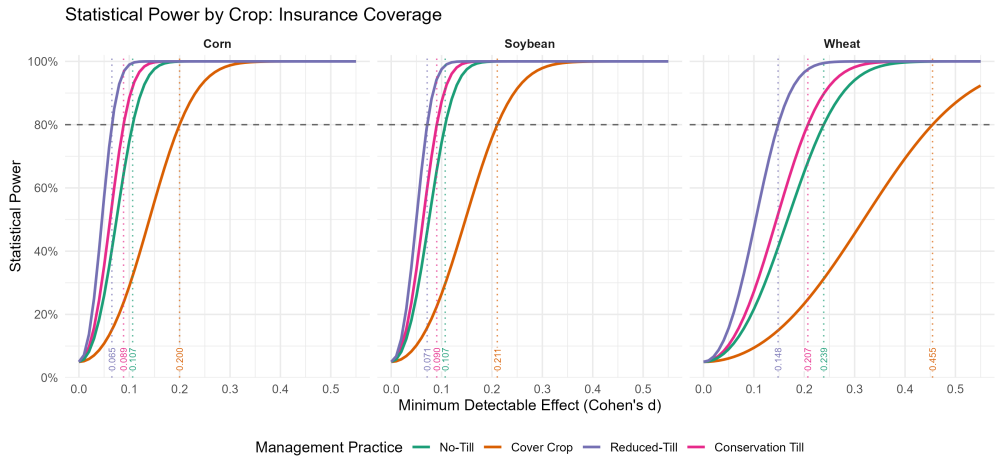


Figure A.15: Power Curve for Insurance Coverage (θ) Outcomes

F Difference-in-Differences Alternative Specifications

In this section, I present the alternative specifications for the difference-in-differences analysis, including two-way fixed effects, Callaway & Sant'Anna, and Sun & Abraham approaches.

F.1 Two-way Fixed Effects

Results: Tables

Table A.14: Two-way fixed effects DID summary for Net Return ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	72.248	10.384	17.519	10.939
	(14.848)	(5.582)	(3.574)	(5.265)
	[¡0.001]	[0.063]	[¡0.001]	[0.038]
N obs.	140744	138891	131425	136402
N farmers	8966	8966	8963	8965
Mean DV	90.289	90.531	89.593	90.216
R^2	0.388	0.387	0.380	0.386
Pretrend p-value	0.890	0.197	0.862	0.413
Anticipation p-value	0.790	0.155	0.584	0.168
Soybean				
ATT	19.343	-3.317	9.306	-1.354
	(9.751)	(3.706)	(2.592)	(3.413)
	[0.047]	[0.371]	[¡0.001]	[0.692]
N obs.	107987	106234	100461	104116
N farmers	7958	7959	7950	7956
Mean DV	82.672	83.124	80.631	82.929
R^2	0.450	0.451	0.448	0.454
Pretrend p-value	0.725	0.332	0.037	0.597
Anticipation p-value	0.543	0.317	0.190	0.172
Wheat				
ATT	4.436	-13.621	4.119	-9.334
	(26.155)	(8.292)	(3.909)	(6.825)
	[0.865]	[0.101]	[0.292]	[0.172]
N obs.	17922	17869	16561	17336
N farmers	2195	2190	2183	2182
Mean DV	36.698	36.831	37.133	35.771
R^2	0.830	0.830	0.843	0.833
Pretrend p-value	0.841	0.035	0.499	0.159
Anticipation p-value	0.280	0.186	0.931	0.307

Table A.15: Two-way fixed effects DID summary for Yield (Bu/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	13.820	3.186	3.104	2.757
	(5.715)	(2.737)	(2.276)	(3.070)
	[0.016]	[0.244]	[0.173]	[0.369]
N obs.	140685	138832	131371	136351
N farmers	8966	8966	8963	8965
Mean DV	243.279	243.998	242.722	244.082
R^2	0.353	0.352	0.355	0.355
Pretrend p-value	0.326	0.484	0.078	0.245
Anticipation p-value	0.305	0.946	0.348	0.632
Soybean				
ATT	0.081	-0.013	1.166	0.329
	(0.786)	(0.298)	(0.227)	(0.265)
	[0.918]	[0.965]	[¡0.001]	[0.214]
N obs.	107920	106167	100396	104059
N farmers	7958	7959	7950	7956
Mean DV	46.758	46.748	46.346	46.718
R^2	0.578	0.583	0.581	0.582
Pretrend p-value	0.713	0.058	0.278	0.685
Anticipation p-value	0.720	0.614	0.294	0.656
Wheat				
ATT	1.077	-0.215	1.741	-0.288
	(2.594)	(0.975)	(0.702)	(0.831)
	[0.678]	[0.825]	[0.013]	[0.729]
N obs.	17922	17869	16561	17336
N farmers	2195	2190	2183	2182
Mean DV	53.361	53.437	52.795	53.336
R^2	0.601	0.602	0.603	0.605
Pretrend p-value	0.255	0.070	¡0.001	0.014
Anticipation p-value	0.674	0.138	0.022	0.095

Table A.16: Two-way fixed effects DID summary for Crop Revenue ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	71.274	25.156	37.733	33.838
	(14.829)	(6.451)	(4.926)	(6.172)
	[¡0.001]	[¡0.001]	[¡0.001]	[¡0.001]
N obs.	140744	138891	131425	136402
N farmers	8966	8966	8963	8965
Mean DV	619.929	619.652	605.918	618.316
R^2	0.629	0.628	0.617	0.628
Pretrend p-value	0.710	0.003	0.839	0.042
Anticipation p-value	0.574	0.371	0.600	0.091
Soybean				
ATT	24.389	8.771	26.145	17.565
	(12.252)	(4.268)	(3.330)	(3.916)
	[0.047]	[0.040]	[¡0.001]	[¡0.001]
N obs.	107987	106234	100461	104116
N farmers	7958	7959	7950	7956
Mean DV	412.007	412.156	401.657	411.369
R^2	0.711	0.713	0.705	0.714
Pretrend p-value	0.896	0.040	0.250	0.713
Anticipation p-value	0.975	0.611	0.374	0.193
Wheat				
ATT	7.033	5.876	21.271	5.225
	(17.000)	(7.342)	(5.186)	(6.643)
	[0.679]	[0.424]	[¡0.001]	[0.432]
N obs.	17922	17869	16561	17336
N farmers	2195	2190	2183	2182
Mean DV	285.286	285.888	279.611	285.407
R^2	0.854	0.853	0.859	0.855
Pretrend p-value	0.392	0.084	0.006	0.076
Anticipation p-value	0.622	0.066	0.181	0.091

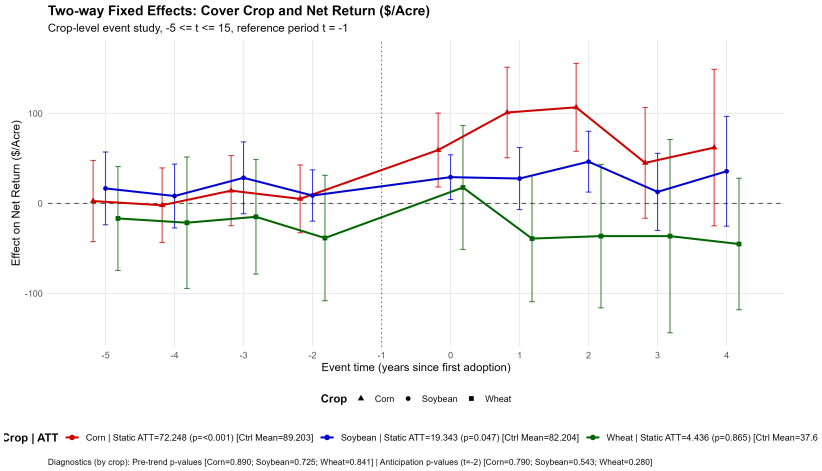
Table A.17: Two-way fixed effects DID summary for Total Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	4.615	16.194	17.225	24.671
	(12.349)	(5.619)	(4.315)	(5.090)
	[0.709]	[0.004]	[¡0.001]	[¡0.001]
N obs.	140744	138891	131425	136402
N farmers	8966	8966	8963	8965
Mean DV	562.255	561.671	548.108	560.582
R^2	0.775	0.774	0.773	0.776
Pretrend p-value	0.646	0.438	0.411	0.532
Anticipation p-value	0.732	0.636	0.205	0.418
Soybean				
ATT	13.617	14.122	15.646	20.210
	(8.690)	(4.034)	(3.071)	(3.536)
	[0.117]	[¡0.001]	[¡0.001]	[¡0.001]
N obs.	107987	106234	100461	104116
N farmers	7958	7959	7950	7956
Mean DV	353.320	352.957	343.969	352.336
R^2	0.739	0.740	0.739	0.742
Pretrend p-value	0.921	0.710	0.717	0.827
Anticipation p-value	0.843	0.903	0.166	0.998
Wheat				
ATT	8.412	20.467	17.866	15.096
	(19.393)	(7.994)	(4.267)	(6.984)
	[0.665]	[0.011]	[¡0.001]	[0.031]
N obs.	17922	17869	16561	17336
N farmers	2195	2190	2183	2182
Mean DV	268.793	269.148	261.867	269.984
R^2	0.806	0.806	0.796	0.805
Pretrend p-value	0.315	0.012	0.108	0.150
Anticipation p-value	0.117	0.239	0.042	0.122

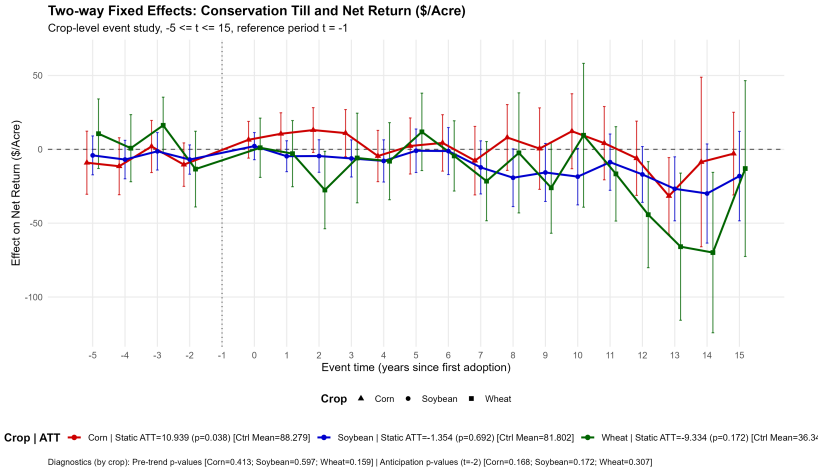
Table A.18: Two-way fixed effects DID summary for Soil Organic Carbon (%)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	-0.002	0.016	0.012	0.004
	(0.008)	(0.010)	(0.008)	(0.008)
	[0.752]	[0.110]	[0.158]	[0.591]
N obs.	75457	75021	67324	73609
N farmers	5357	5353	5346	5352
Mean DV	2.269	2.273	2.265	2.273
R^2	0.975	0.975	0.974	0.975
Pretrend p-value	0.344	0.462	0.084	0.153
Anticipation p-value	0.035	0.687	0.350	0.847
Soybean				
ATT	0.002	0.011	0.002	0.002
	(0.008)	(0.011)	(0.010)	(0.010)
	[0.754]	[0.336]	[0.834]	[0.798]
N obs.	56319	55898	49618	54679
N farmers	4742	4740	4731	4737
Mean DV	2.444	2.451	2.443	2.452
R^2	0.976	0.975	0.975	0.976
Pretrend p-value	0.817	0.240	0.261	0.313
Anticipation p-value	0.293	0.630	0.387	0.671
Wheat				
ATT	0.053	0.043	-0.038	-0.007
	(0.018)	(0.021)	(0.035)	(0.037)
	[0.003]	[0.045]	[0.288]	[0.861]
N obs.	8476	8534	7513	8343
N farmers	1206	1205	1201	1200
Mean DV	3.278	3.288	3.225	3.295
R^2	0.978	0.978	0.978	0.979
Pretrend p-value	0.030	0.001	0.876	0.117
Anticipation p-value	0.179	0.069	0.403	0.214

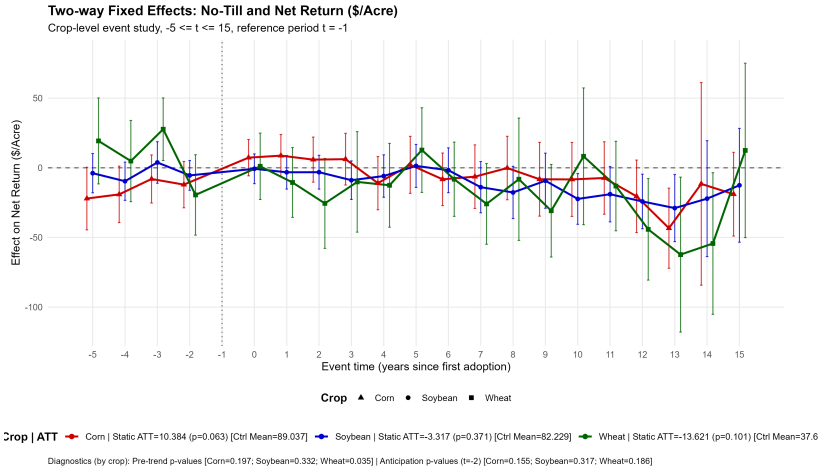
Results: Event Study Plots



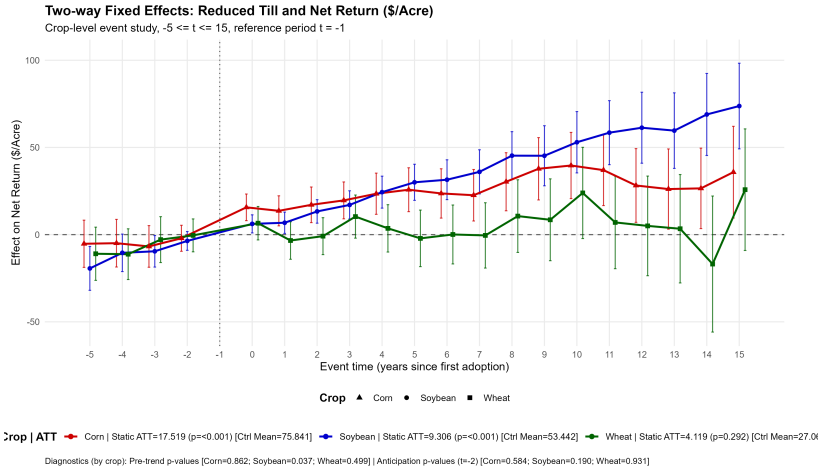
(a) Cover Crop



(b) Conservation Tillage

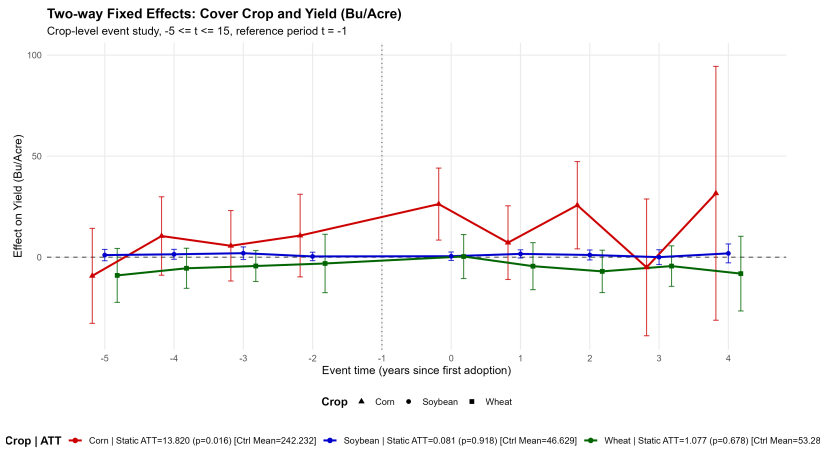


(c) No Till

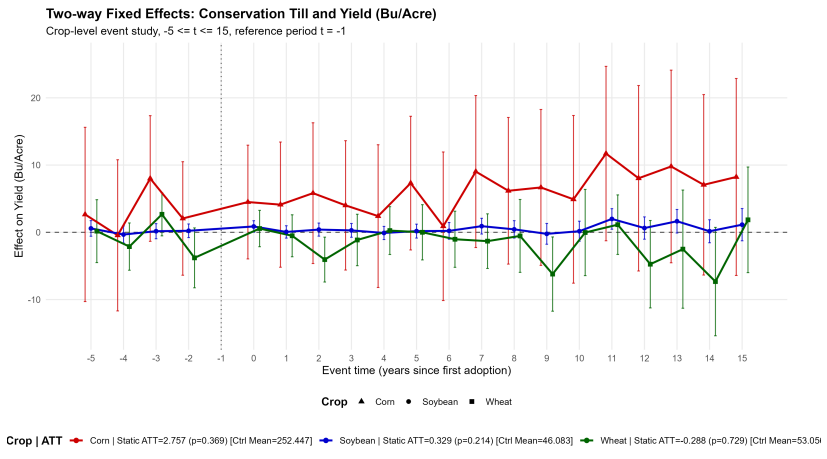


(d) Reduced Tillage

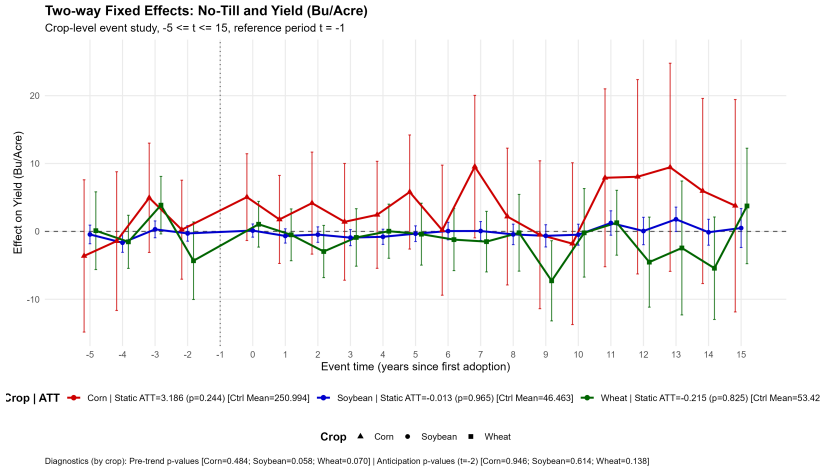
Figure A.16: Net-return event studies by regenerative practice.



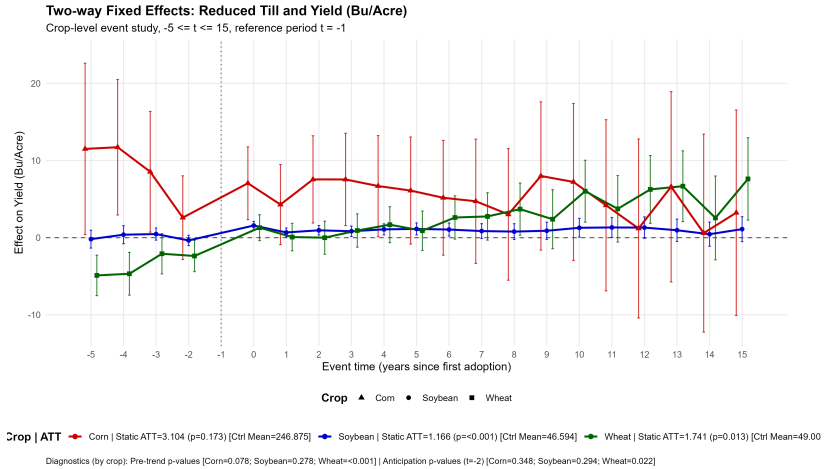
(a) Cover Crop



(b) Conservation Tillage

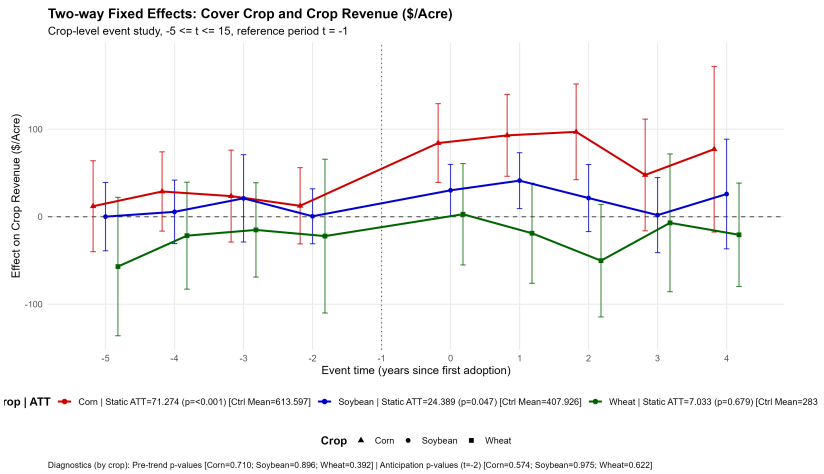


(c) No Till

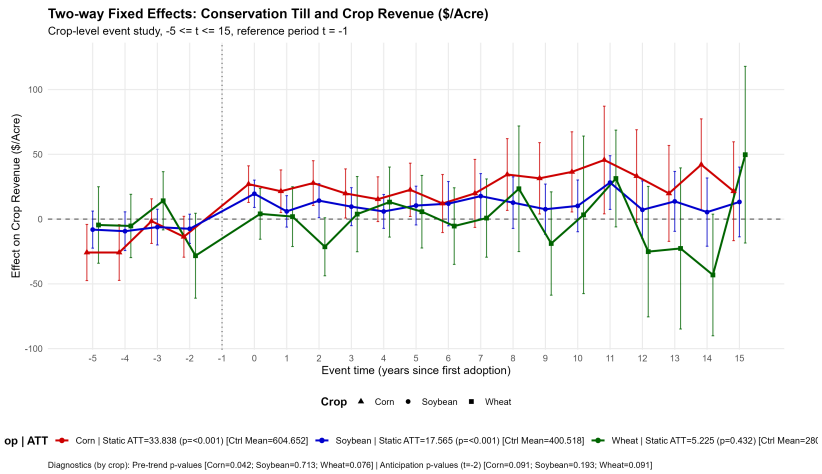


(d) Reduced Tillage

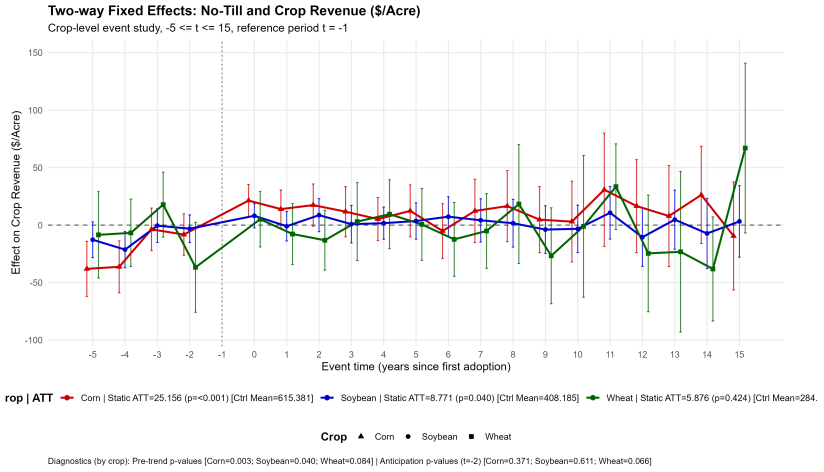
Figure A.17: Yield event studies by regenerative practice.



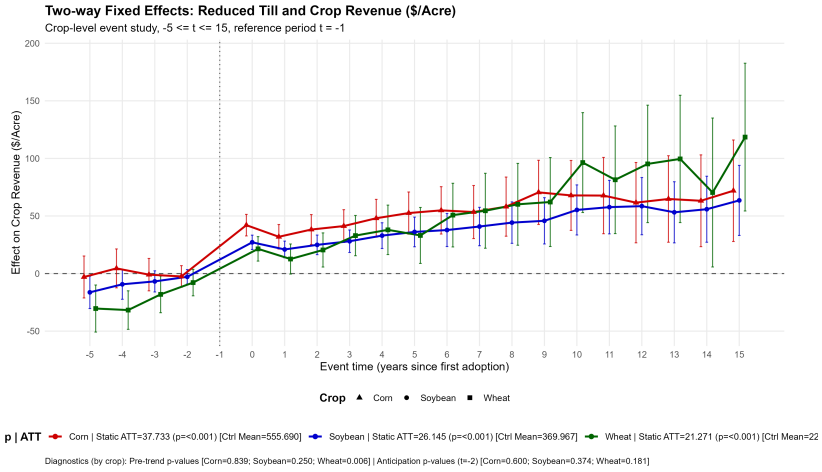
(a) Cover Crop



(b) Conservation Tillage

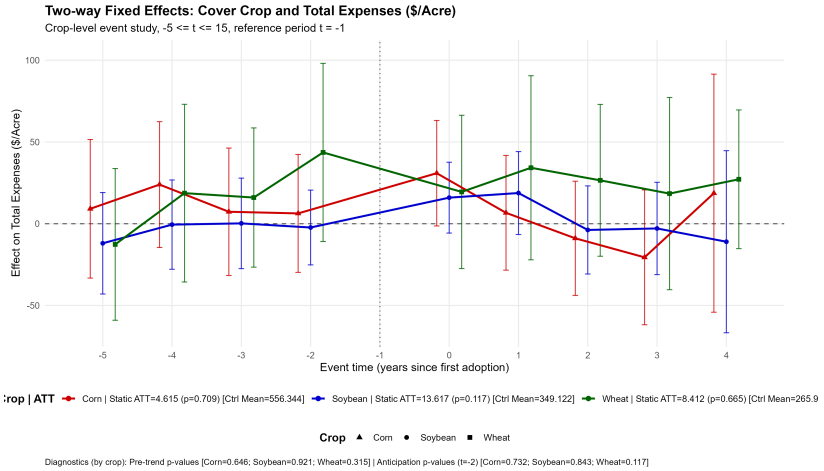


(c) No Till

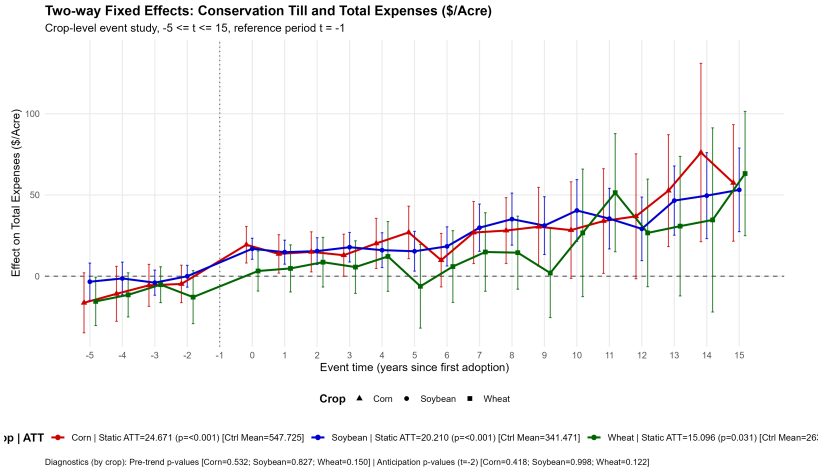


(d) Reduced Tillage

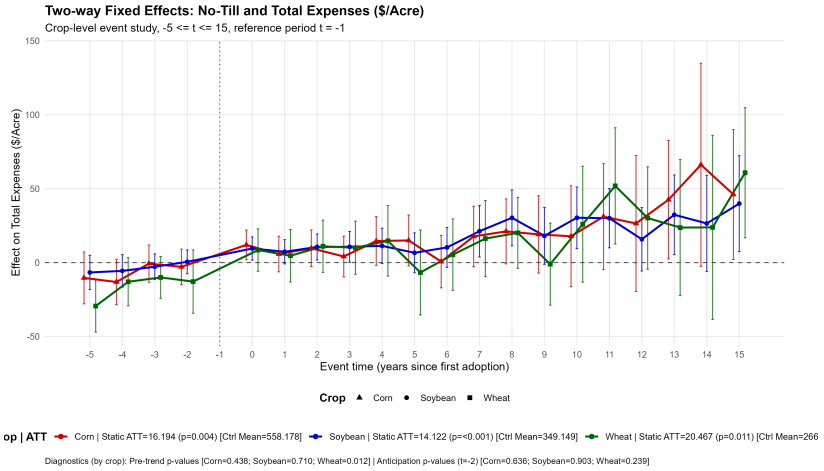
Figure A.18: Crop revenue event studies by regenerative practice.



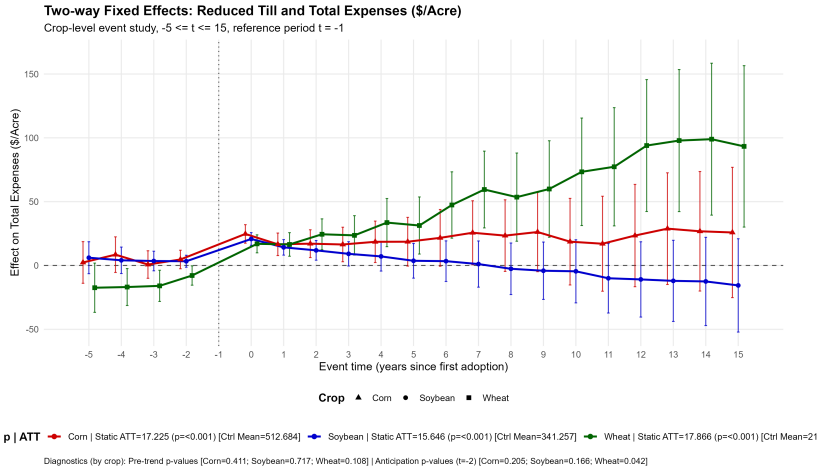
(a) Cover Crop



(b) Conservation Tillage

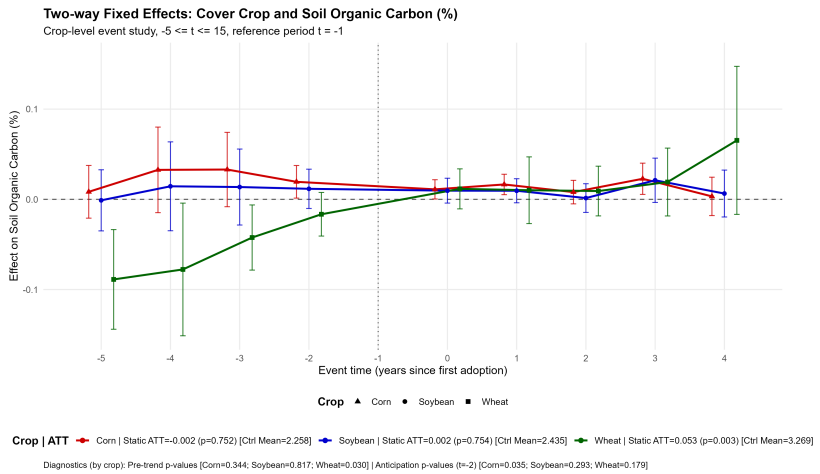


(c) No Till

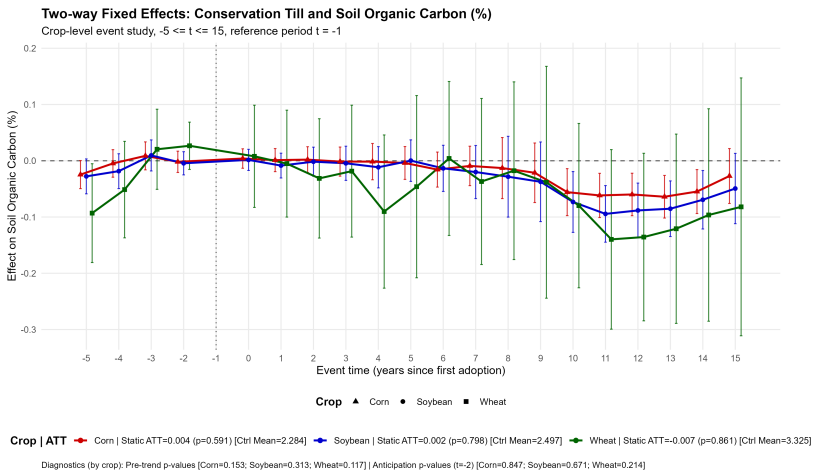


(d) Reduced Tillage

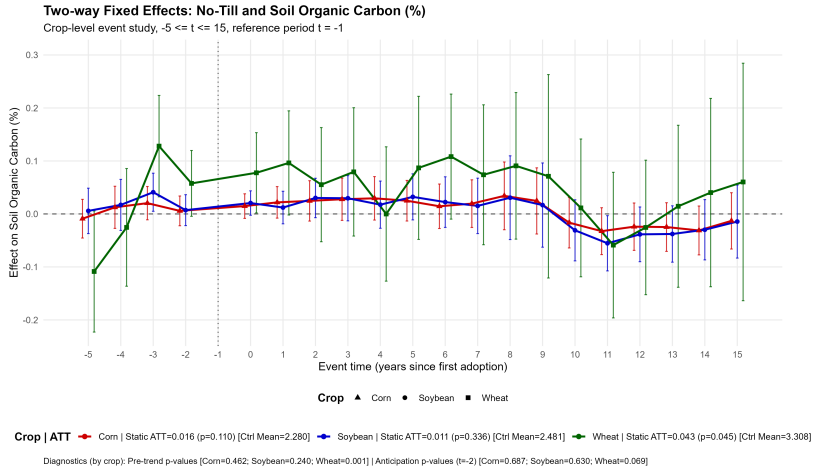
Figure A.19: Total expenses event studies by regenerative practice.



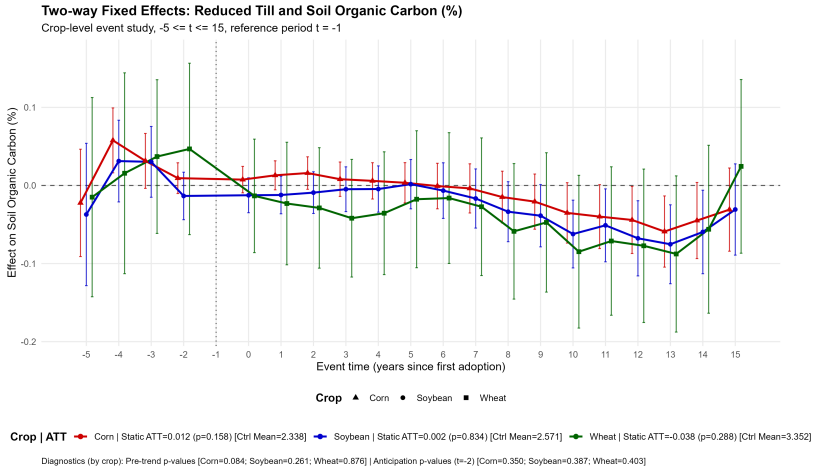
(a) Cover Crop



(b) Conservation Tillage



(c) No Till



(d) Reduced Tillage

Figure A.20: SOC event studies by regenerative practice.

F.2 Callaway & Sant'Anna

Table A.19: Callaway and Sant'Anna doubly robust DID summary for Net Return ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	79.396	-5.243	6.869	1.513
	(21.060)	(5.636)	(3.206)	(5.242)
	[¡0.001]	[0.352]	[0.032]	[0.773]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	88.576	88.867	89.087	88.661
Pretrend p-value	0.526	0.140	0.005	0.579
Anticipation p-value	0.788	0.094	0.260	0.570
Soybean				
ATT	23.594	-0.235	22.503	2.536
	(15.727)	(3.718)	(2.317)	(3.525)
	[0.134]	[0.950]	[¡0.001]	[0.472]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	83.280	83.639	82.001	83.522
Pretrend p-value	0.015	0.224	0.573	0.933
Anticipation p-value	0.995	0.325	0.948	0.584
Wheat				
ATT	31.458	0.780	-5.831	-1.838
	(32.188)	(5.861)	(5.530)	(5.579)
	[0.328]	[0.894]	[0.292]	[0.742]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	31.654	31.813	32.925	31.630
Pretrend p-value	0.960	0.024	0.682	0.506
Anticipation p-value	0.758	0.130	0.279	0.517

Results: Tables

Table A.20: Callaway and Sant'Anna doubly robust DID summary for Yield (Bu/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	9.924	3.554	-8.136	0.266
	(9.314)	(3.559)	(3.692)	(3.351)
	[0.287]	[0.318]	[0.028]	[0.937]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	227.464	228.523	228.125	228.747
Pretrend p-value	0.447	0.569	0.035	0.886
Anticipation p-value	0.815	0.412	0.152	0.525
Soybean				
ATT	0.560	1.126	1.364	1.553
	(1.254)	(0.457)	(0.358)	(0.406)
	[0.655]	[0.014]	[¡0.001]	[¡0.001]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	45.878	45.866	45.471	45.837
Pretrend p-value	0.065	0.683	0.055	0.711
Anticipation p-value	0.152	0.775	0.470	0.944
Wheat				
ATT	2.327	0.862	3.110	0.379
	(5.165)	(1.235)	(1.087)	(1.103)
	[0.652]	[0.485]	[0.004]	[0.731]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	51.950	52.025	51.528	51.987
Pretrend p-value	0.607	0.012	0.330	0.081
Anticipation p-value	0.701	0.496	0.094	0.659

Table A.21: Callaway and Sant'Anna doubly robust DID summary for Crop Revenue ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	105.622	13.974	73.715	29.339
	(27.755)	(7.805)	(5.678)	(7.476)
	[¡0.001]	[0.073]	[¡0.001]	[¡0.001]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	587.058	587.425	577.698	586.795
Pretrend p-value	0.699	0.052	0.429	0.041
Anticipation p-value	0.933	0.149	0.346	0.044
Soybean				
ATT	41.627	17.750	53.477	26.185
	(21.733)	(5.275)	(4.401)	(4.936)
	[0.055]	[¡0.001]	[¡0.001]	[¡0.001]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	395.343	395.691	387.569	395.290
Pretrend p-value	0.147	0.034	0.923	0.578
Anticipation p-value	0.518	0.149	0.527	0.233
Wheat				
ATT	-0.585	8.829	47.766	11.285
	(29.178)	(8.801)	(8.152)	(8.024)
	[0.984]	[0.316]	[¡0.001]	[0.160]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	276.893	278.028	272.795	277.825
Pretrend p-value	0.692	0.110	0.009	0.353
Anticipation p-value	0.344	0.205	0.138	0.502

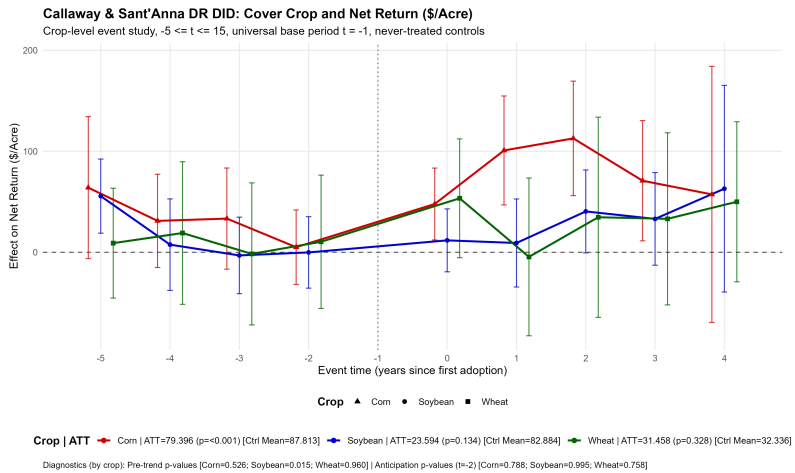
Table A.22: Callaway and Sant'Anna doubly robust DID summary for Total Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	21.832	19.516	67.372	29.523
	(19.794)	(6.662)	(5.142)	(6.173)
	[0.270]	[0.003]	[¡0.001]	[¡0.001]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	528.140	528.345	517.828	527.947
Pretrend p-value	0.092	0.555	0.433	0.350
Anticipation p-value	0.608	0.563	0.831	0.129
Soybean				
ATT	22.725	19.204	33.183	25.765
	(15.438)	(4.739)	(3.921)	(4.266)
	[0.141]	[¡0.001]	[¡0.001]	[¡0.001]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	334.285	334.358	327.168	334.105
Pretrend p-value	0.552	0.085	0.393	0.263
Anticipation p-value	0.328	0.423	0.765	0.236
Wheat				
ATT	-11.934	17.011	54.873	20.566
	(38.506)	(7.796)	(6.673)	(6.909)
	[0.757]	[0.029]	[¡0.001]	[0.003]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	267.995	268.845	261.385	268.886
Pretrend p-value	0.709	0.710	0.004	0.900
Anticipation p-value	0.492	0.408	0.327	0.361

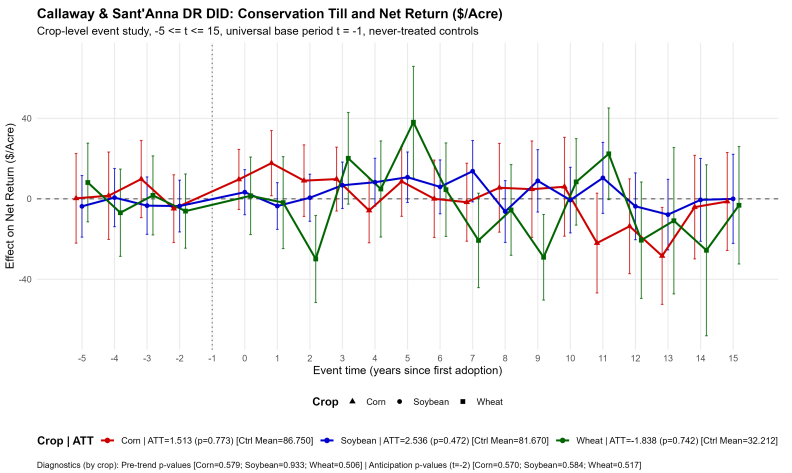
Table A.23: Callaway and Sant'Anna doubly robust DID summary for Soil Organic Carbon (%)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	-0.011	0.047	0.177	0.029
	(0.046)	(0.061)	(0.039)	(0.044)
	[0.817]	[0.441]	[¡0.001]	[0.507]
N obs.	28784	27021	15621	26213
N farmers	5357	5120	3642	5065
Mean DV	2.307	2.321	2.339	2.326
Pretrend p-value	0.056	0.719	0.692	0.833
Anticipation p-value	0.005	0.957	0.274	0.381
Soybean				
ATT	0.040	0.134	0.180	0.105
	(0.051)	(0.068)	(0.048)	(0.049)
	[0.433]	[0.048]	[¡0.001]	[0.031]
N obs.	25333	23585	12834	22819
N farmers	4742	4511	3139	4455
Mean DV	2.440	2.462	2.483	2.471
Pretrend p-value	0.008	0.629	0.095	0.352
Anticipation p-value	¡0.001	0.838	0.554	0.116
Wheat				
ATT	0.060	0.039	-0.246	0.134
	(0.142)	(0.113)	(0.139)	(0.118)
	[0.673]	[0.731]	[0.076]	[0.256]
N obs.	4978	4761	2441	4674
N farmers	1206	1149	730	1137
Mean DV	3.192	3.219	3.152	3.230
Pretrend p-value	0.519	¡0.001	¡0.001	0.027
Anticipation p-value	0.708	0.112	0.616	0.154

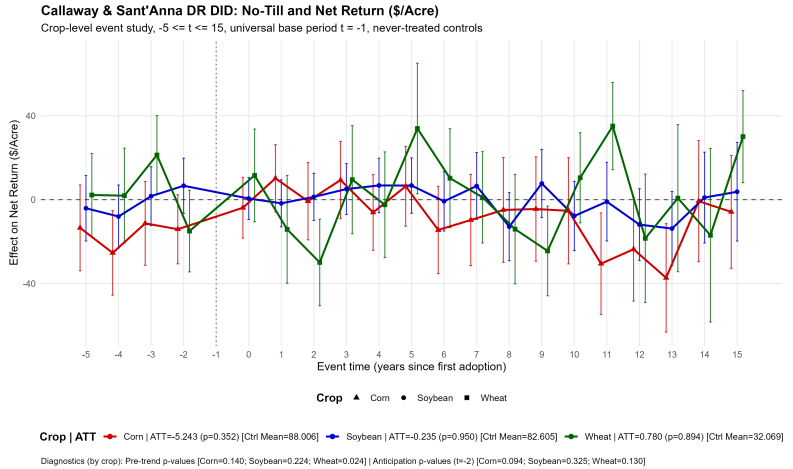
Results: Event Study Plots



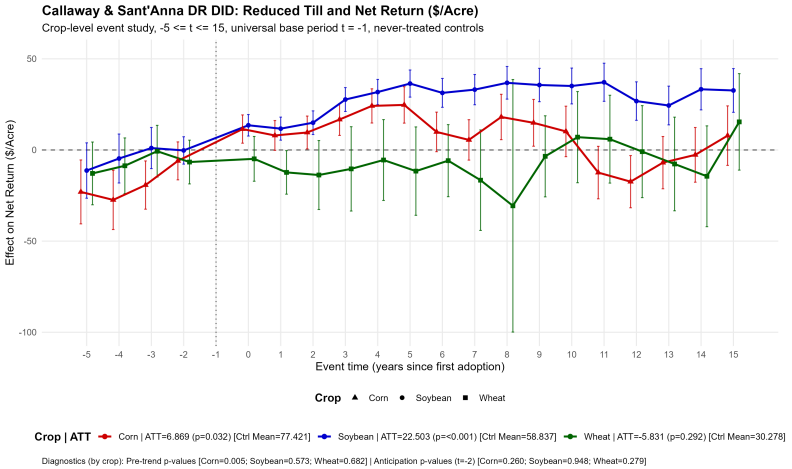
(a) Cover Crop



(b) Conservation Tillage

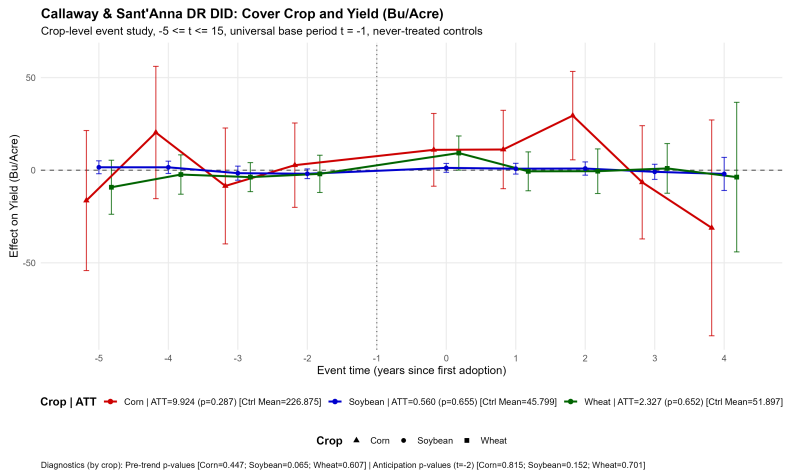


(c) No Till

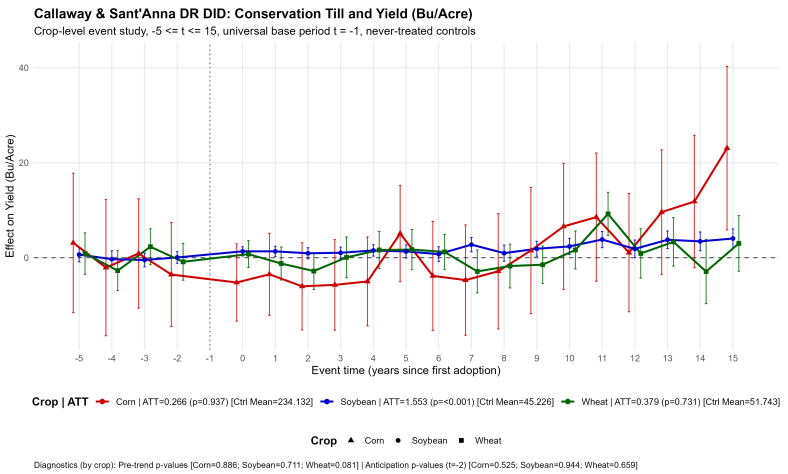


(d) Reduced Tillage

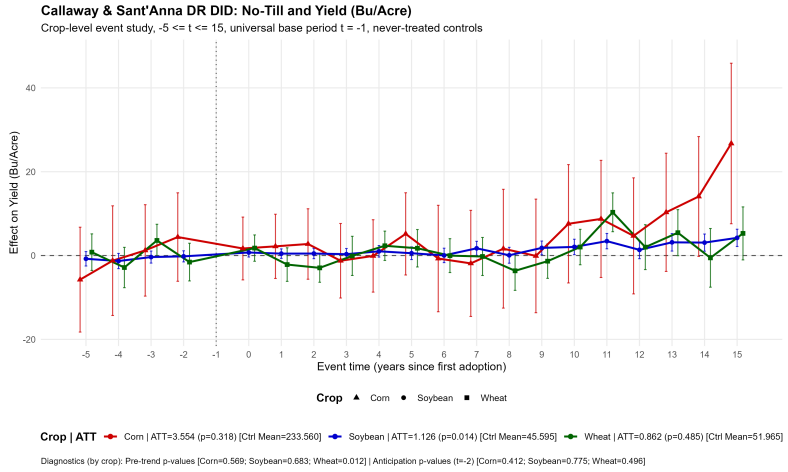
Figure A.21: Net-return event studies by regenerative practice.



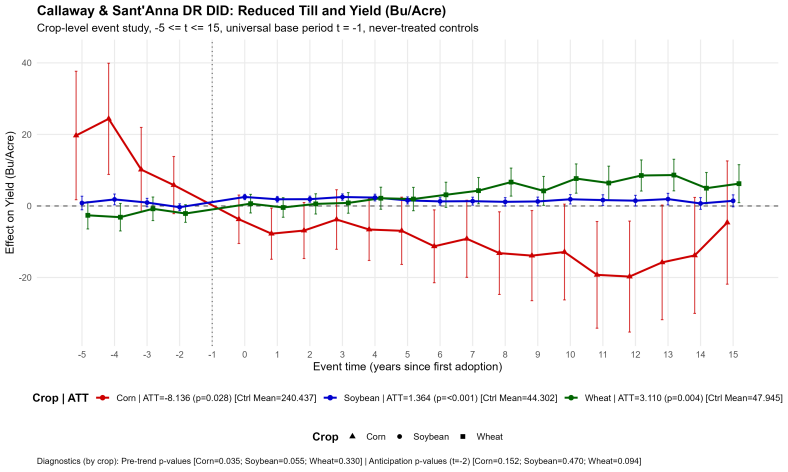
(a) Cover Crop



(b) Conservation Tillage

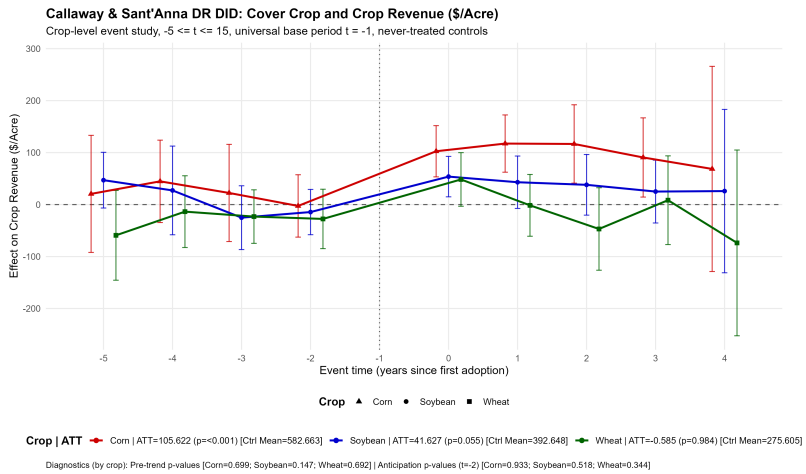


(c) No Till

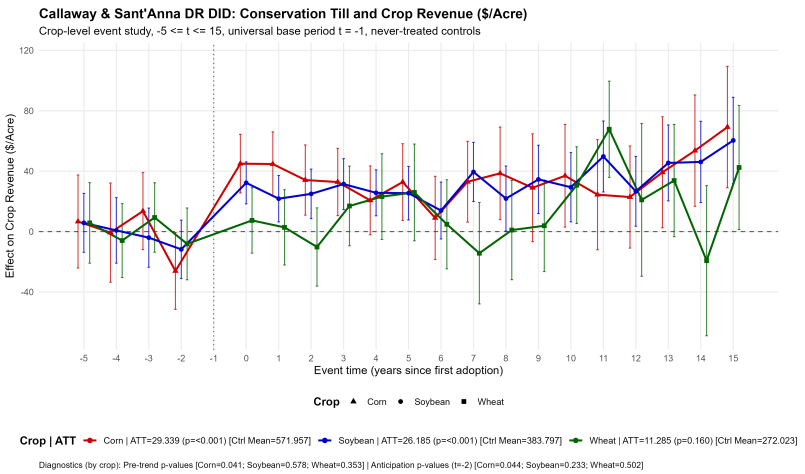


(d) Reduced Tillage

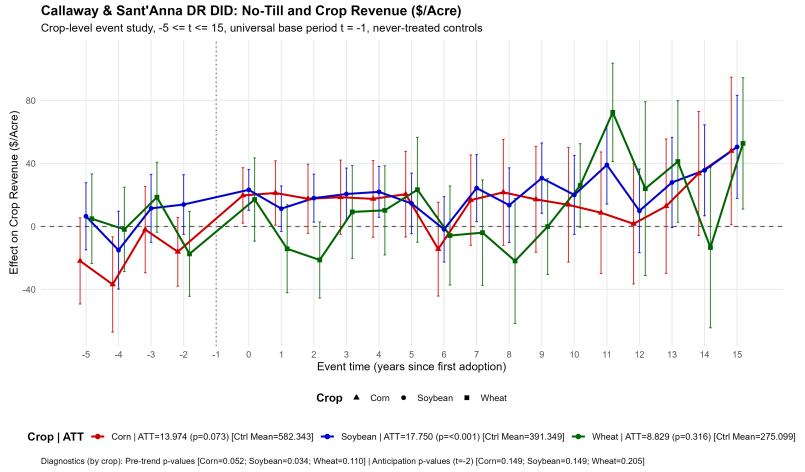
Figure A.22: Yield event studies by regenerative practice.



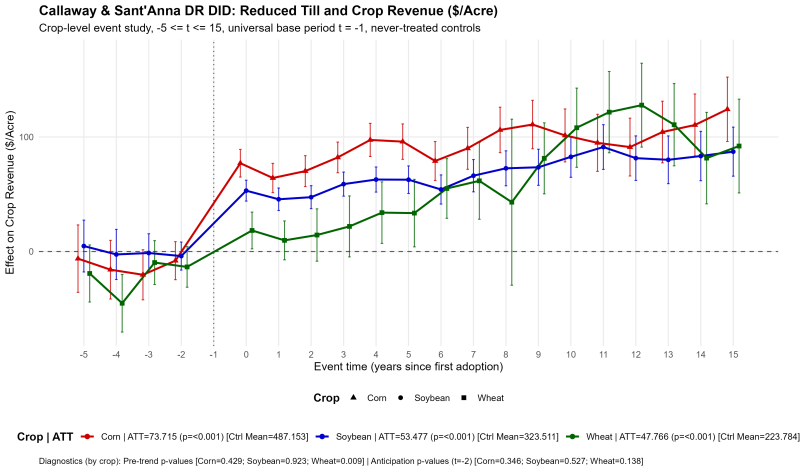
(a) Cover Crop



(b) Conservation Tillage

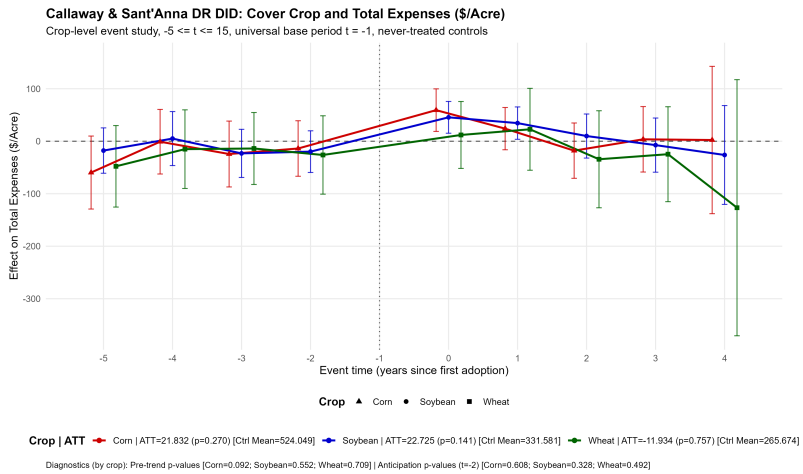


(c) No Till

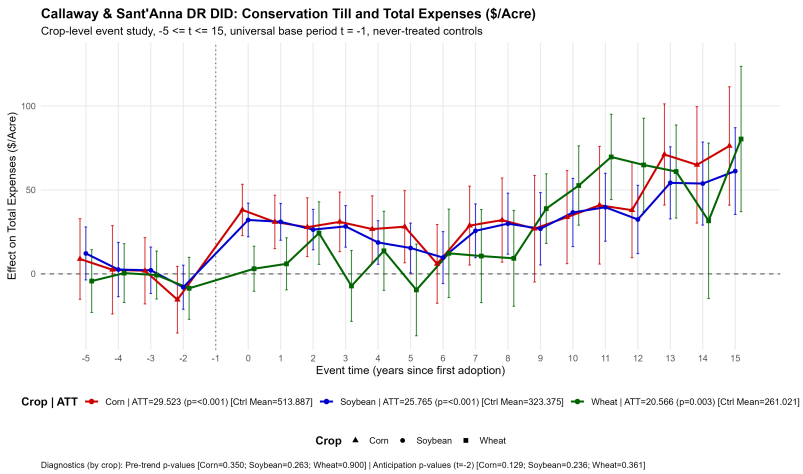


(d) Reduced Tillage

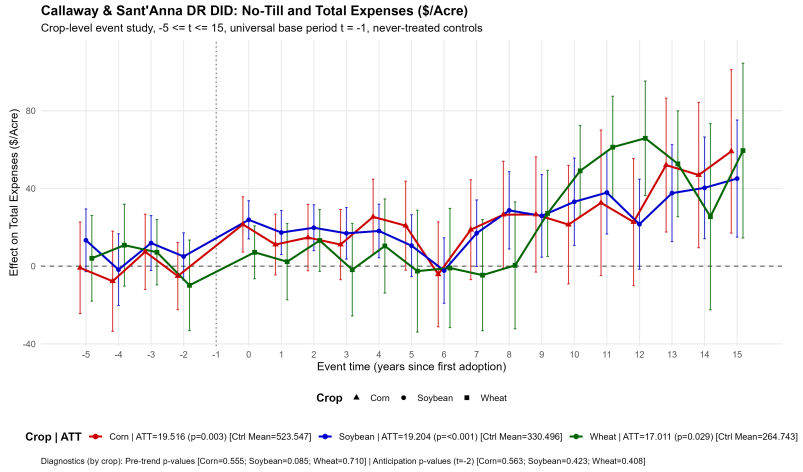
Figure A.23: Crop revenue event studies by regenerative practice.



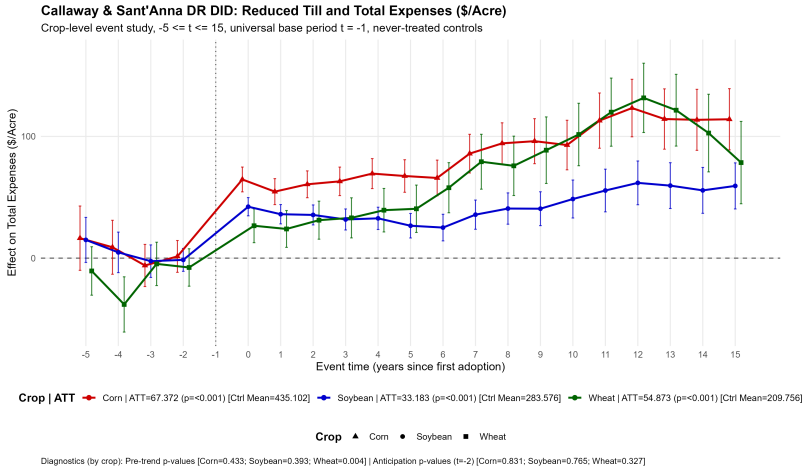
(a) Cover Crop



(b) Conservation Tillage

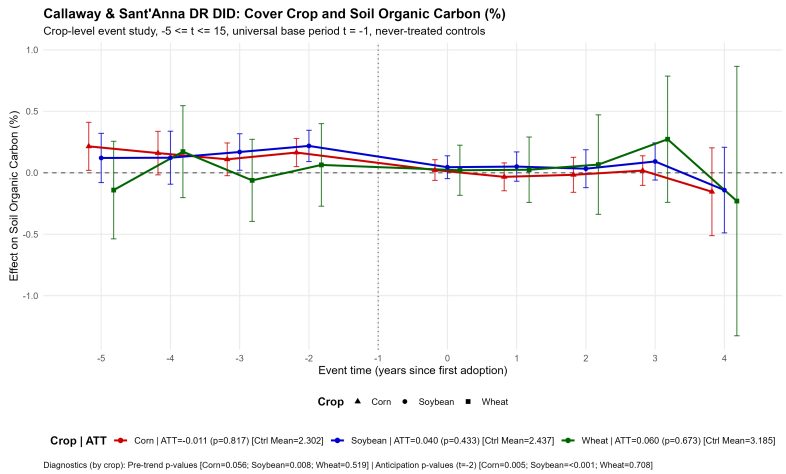


(c) No Till

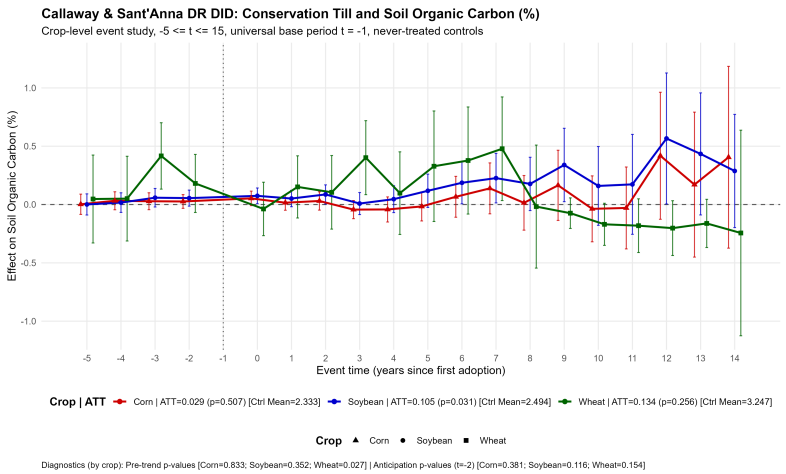


(d) Reduced Tillage

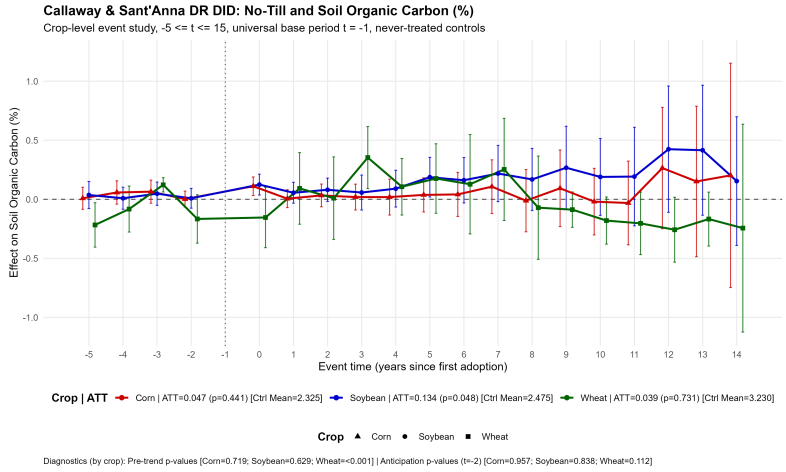
Figure A.24: Total expenses event studies by regenerative practice.



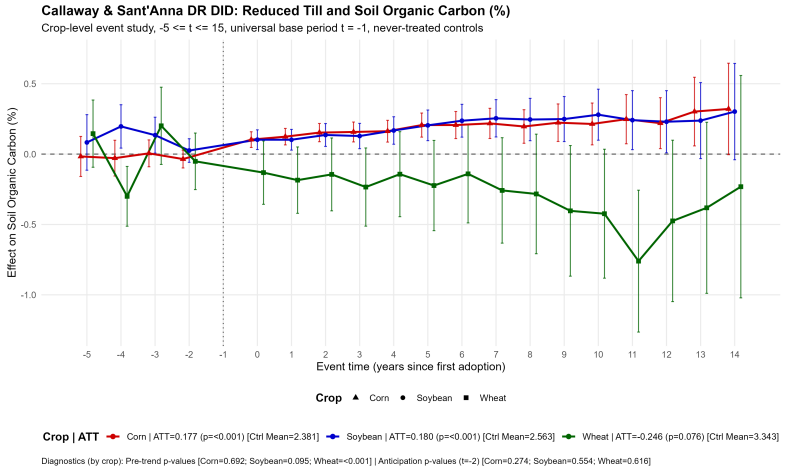
(a) Cover Crop



(b) Conservation Tillage



(c) No Till



(d) Reduced Tillage

Figure A.25: SOC event studies by regenerative practice.

F.3 Sun & Abraham

Specification Let G_i denote the first treatment period for unit i, and define event time $k = t - G_i$.

The interaction-weighted event-study specification can be written as

$$Y_{it} = \alpha_i + \lambda_t + \sum_g \sum_{\substack{k=-5 \\ k\neq -1}}^{15} \beta_{g,k} \mathbf{1}\{G_i = g\}\mathbf{1}\{t - G_i = k\} + \varepsilon_{it}.$$

Here, $\beta_{g,k}$ is the treatment effect for cohort g at event time k, relative to $k = -1$.

Sun and Abraham's key contribution is to avoid the problematic comparisons between different treatment cohorts that can arise in the conventional TWFE event study. The cohort-specific coefficients are then aggregated across cohorts.

The event-time effect is

$$\boxed{ATT^{SA}(k) = \sum_g w_{g,k}\beta_{g,k}, \qquad \sum_g w_{g,k} = 1.}$$

Thus, for my event window,

$$ATT^{SA}(k) = \sum_{g:G_g+k\leq T} w_{g,k}\beta_{g,k}, \quad k = 0, \ldots, 15.$$

The overall ATT over event times $0, \ldots, 15$, is equivilent to

$$\boxed{ATT^{SA}_{0:15} = \sum_{k=0}^{15} q_k ATT^{SA}(k) = \sum_{k=0}^{15} q_k \sum_g w_{g,k}\beta_{g,k},}$$

where

$$\sum_{k=0}^{15} q_k = 1.$$

With equal weighting across event times, $q_k = 1/16$.

Results: Tables

Table A.24: Sun & Abraham DID summary for Net Return ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	82.547	-3.420	19.119	3.056
	(20.310)	(5.696)	(5.209)	(5.547)
	[¡0.001]	[0.548]	[¡0.001]	[0.582]
N obs.	140744	138890	131424	136401
N farmers	8966	8966	8963	8965
Mean DV	90.289	90.531	89.593	90.216
R^2	0.389	0.391	0.385	0.391
Pretrend p-value	0.358	0.484	0.595	0.333
Anticipation p-value	0.826	0.001	0.073	0.004
Soybean				
ATT	30.638	-10.362	24.833	-8.722
	(12.484)	(4.438)	(4.340)	(4.429)
	[0.014]	[0.020]	[¡0.001]	[0.049]
N obs.	107987	106233	100460	104115
N farmers	7958	7959	7950	7956
Mean DV	82.672	83.124	80.633	82.931
R^2	0.450	0.459	0.457	0.461
Pretrend p-value	¡0.001	0.078	0.419	0.293
Anticipation p-value	0.874	0.077	0.292	0.698
Wheat				
ATT	-17.880	-11.149	2.611	-11.604
	(28.980)	(16297.763)	(2217.363)	(22717.713)
	[0.537]	[0.999]	[0.999]	[1.000]
N obs.	17922	17866	16560	17334
N farmers	2195	2188	2182	2181
Mean DV	36.698	36.848	37.138	35.785
R^2	0.831	0.837	0.854	0.840
Pretrend p-value	0.277	¡0.001	0.221	¡0.001
Anticipation p-value	0.109	¡0.001	0.004	0.001

Table A.25: Sun & Abraham DID summary for Yield (Bu/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	20.151	3.677	5.489	5.703
	(7.082)	(3.474)	(3.311)	(3.528)
	[0.004]	[0.290]	[0.097]	[0.106]
N obs.	140685	138831	131370	136350
N farmers	8966	8966	8963	8965
Mean DV	243.279	243.998	242.722	244.082
R^2	0.354	0.353	0.357	0.356
Pretrend p-value	0.403	0.746	0.731	0.274
Anticipation p-value	0.158	0.435	0.935	0.852
Soybean				
ATT	0.666	-0.242	1.140	0.173
	(0.785)	(0.417)	(0.334)	(0.363)
	[0.397]	[0.563]	[¡0.001]	[0.633]
N obs.	107920	106166	100395	104058
N farmers	7958	7959	7950	7956
Mean DV	46.758	46.748	46.346	46.718
R^2	0.579	0.588	0.587	0.587
Pretrend p-value	¡0.001	0.324	0.924	0.632
Anticipation p-value	0.622	0.272	0.431	0.118
Wheat				
ATT	-1.094	0.461	2.479	-0.421
	(4.891)	(2862.515)	(351.801)	(4040.458)
	[0.823]	[1.000]	[0.994]	[1.000]
N obs.	17922	17866	16560	17334
N farmers	2195	2188	2182	2181
Mean DV	53.361	53.436	52.795	53.336
R^2	0.604	0.614	0.628	0.618
Pretrend p-value	0.087	¡0.001	0.034	¡0.001
Anticipation p-value	0.012	¡0.001	0.126	0.010

Table A.26: Sun & Abraham DID summary for Crop Revenue ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	84.168	13.132	49.357	24.444
	(20.773)	(7.520)	(7.985)	(7.028)
	[¡0.001]	[0.081]	[¡0.001]	[¡0.001]
N obs.	140744	138890	131424	136401
N farmers	8966	8966	8963	8965
Mean DV	619.929	619.649	605.915	618.314
R^2	0.630	0.630	0.621	0.630
Pretrend p-value	0.721	0.052	0.006	0.033
Anticipation p-value	0.634	0.103	0.293	0.118
Soybean				
ATT	29.693	3.850	35.931	11.056
	(12.640)	(5.424)	(5.601)	(5.029)
	[0.019]	[0.478]	[¡0.001]	[0.028]
N obs.	107987	106233	100460	104115
N farmers	7958	7959	7950	7956
Mean DV	412.007	412.154	401.657	411.368
R^2	0.711	0.716	0.709	0.717
Pretrend p-value	¡0.001	0.135	0.264	0.154
Anticipation p-value	0.359	0.114	0.373	0.523
Wheat				
ATT	-24.217	10.010	48.226	3.613
	(25.546)	(20730.017)	(2210.502)	(28818.762)
	[0.343]	[1.000]	[0.983]	[1.000]
N obs.	17922	17866	16560	17334
N farmers	2195	2188	2182	2181
Mean DV	285.286	285.870	279.621	285.410
R^2	0.855	0.859	0.871	0.860
Pretrend p-value	0.170	¡0.001	0.118	¡0.001
Anticipation p-value	0.339	¡0.001	0.957	0.470

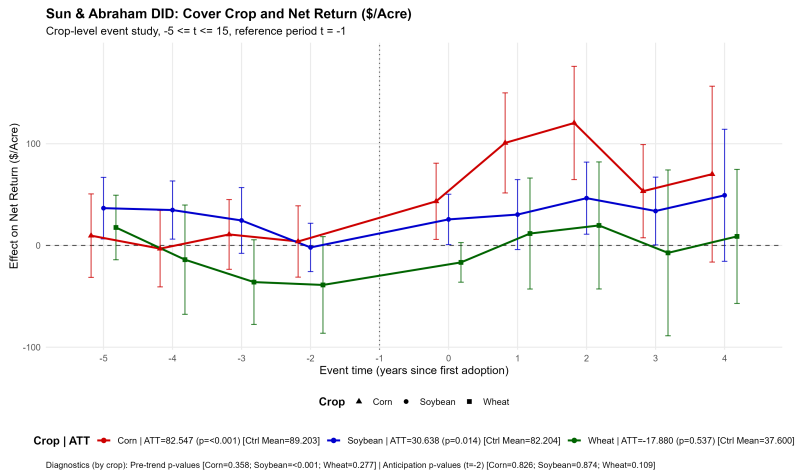
Table A.27: Sun & Abraham DID summary for Total Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	-0.740	17.488	25.830	23.373
	(13.105)	(6.255)	(7.804)	(5.724)
	[0.955]	[0.005]	[¡0.001]	[¡0.001]
N obs.	140744	138890	131424	136401
N farmers	8966	8966	8963	8965
Mean DV	562.255	561.669	548.106	560.580
R^2	0.775	0.776	0.777	0.778
Pretrend p-value	0.070	0.022	0.190	0.008
Anticipation p-value	0.804	0.487	0.213	0.859
Soybean				
ATT	9.245	17.451	9.774	22.300
	(9.916)	(4.717)	(6.038)	(4.236)
	[0.351]	[¡0.001]	[0.106]	[¡0.001]
N obs.	107987	106233	100460	104115
N farmers	7958	7959	7950	7956
Mean DV	353.320	352.954	343.966	352.334
R^2	0.740	0.743	0.743	0.745
Pretrend p-value	0.276	0.189	0.161	0.069
Anticipation p-value	0.674	0.231	0.370	0.851
Wheat				
ATT	28.902	20.718	46.487	13.517
	(28.273)	(19425.555)	(1705.045)	(20865.212)
	[0.307]	[0.999]	[0.978]	[0.999]
N obs.	17922	17866	16560	17334
N farmers	2195	2188	2182	2181
Mean DV	268.793	269.115	261.873	269.976
R^2	0.807	0.812	0.811	0.812
Pretrend p-value	0.963	¡0.001	0.018	¡0.001
Anticipation p-value	0.067	¡0.001	0.593	0.124

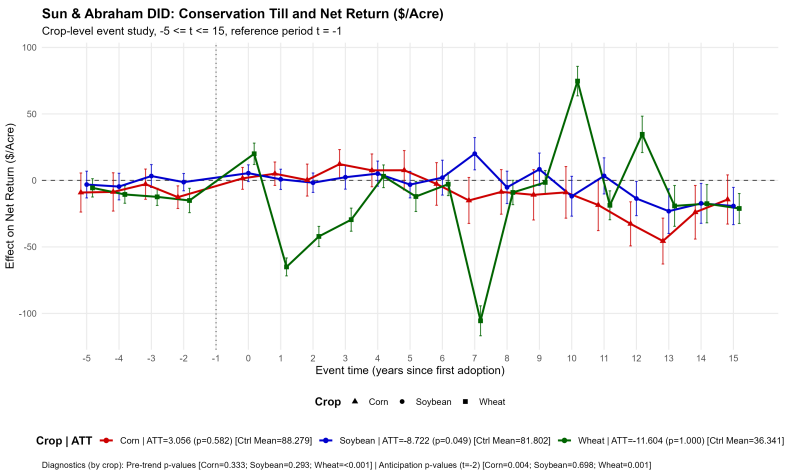
Table A.28: Sun & Abraham DID summary for Soil Organic Carbon (%)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	0.011	0.030	0.011	0.001
	(0.005)	(0.015)	(0.012)	(0.009)
	[0.019]	[0.056]	[0.340]	[0.918]
N obs.	75457	75020	67323	73608
N farmers	5357	5353	5346	5352
Mean DV	2.269	2.273	2.265	2.273
R^2	0.975	0.975	0.975	0.975
Pretrend p-value	0.017	¡0.001	0.009	0.064
Anticipation p-value	0.147	0.405	0.224	¡0.001
Soybean				
ATT	0.007	0.031	-0.014	-0.001
	(0.006)	(0.015)	(0.014)	(0.011)
	[0.261]	[0.038]	[0.324]	[0.896]
N obs.	56319	55897	49617	54678
N farmers	4742	4740	4731	4737
Mean DV	2.444	2.451	2.443	2.452
R^2	0.976	0.976	0.975	0.976
Pretrend p-value	0.021	¡0.001	¡0.001	0.015
Anticipation p-value	0.499	0.594	0.661	0.248
Wheat				
ATT	0.019	0.102	-0.073	-0.002
	(0.013)	(281.518)	(0.038)	(98.227)
	[0.149]	[1.000]	[0.054]	[1.000]
N obs.	8476	8531	7512	8341
N farmers	1206	1204	1201	1200
Mean DV	3.278	3.288	3.225	3.295
R^2	0.978	0.979	0.980	0.980
Pretrend p-value	¡0.001	¡0.001	¡0.001	¡0.001
Anticipation p-value	¡0.001	¡0.001	0.301	¡0.001

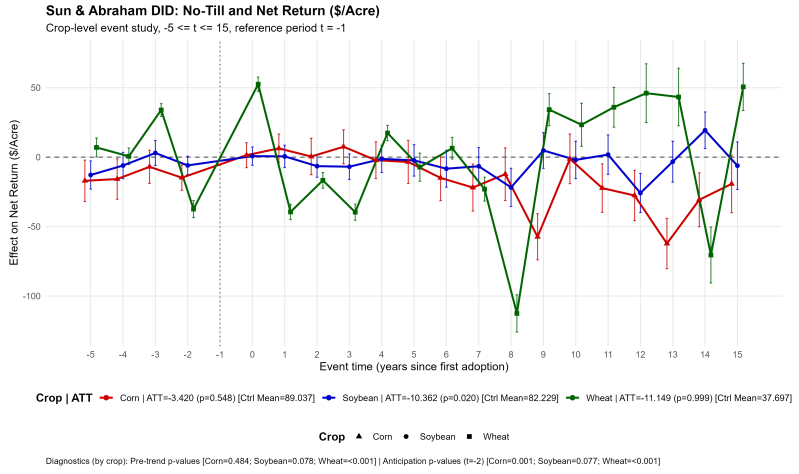
Results: Event Study Plots



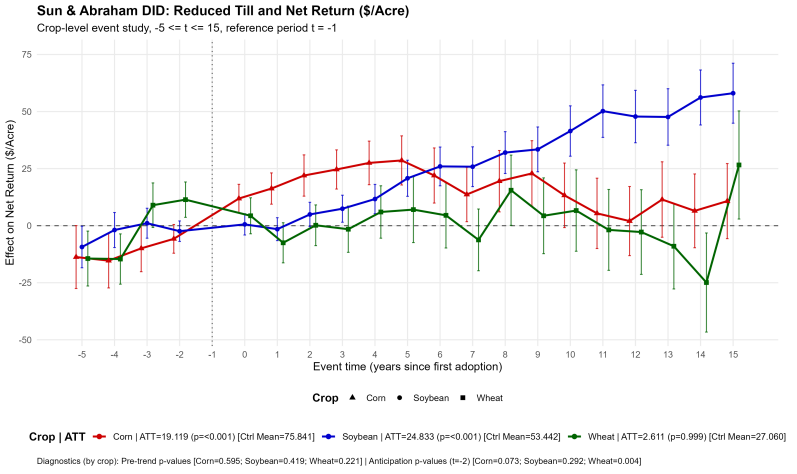
(a) Cover Crop



(b) Conservation Tillage

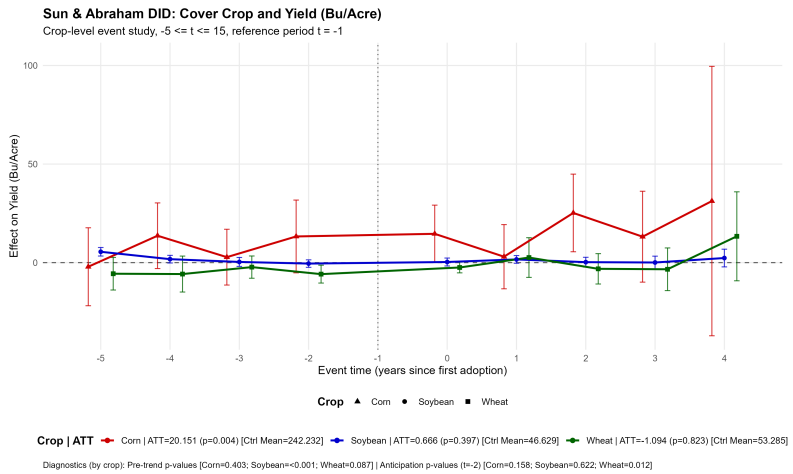


(c) No Till

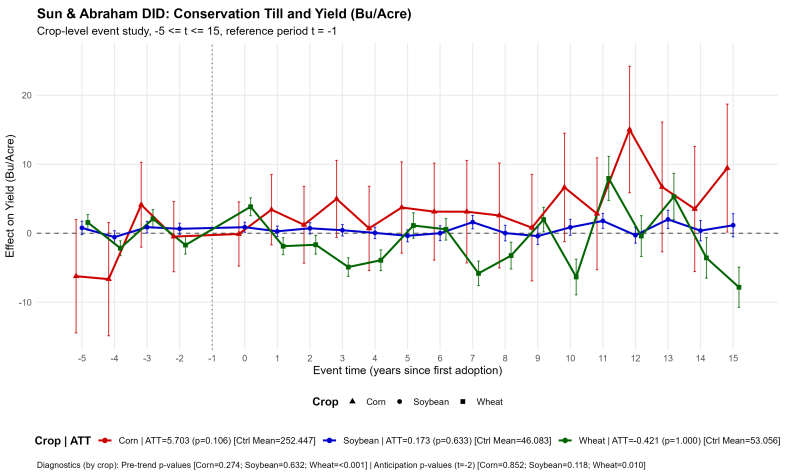


(d) Reduced Tillage

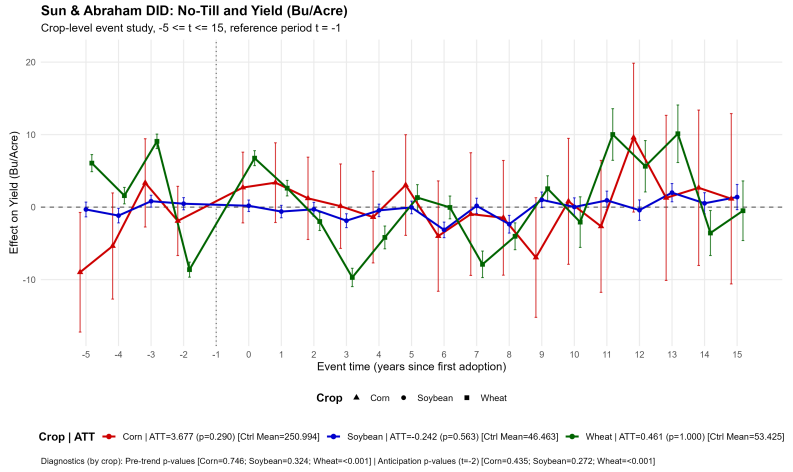
Figure A.26: Net-return event studies by regenerative practice.



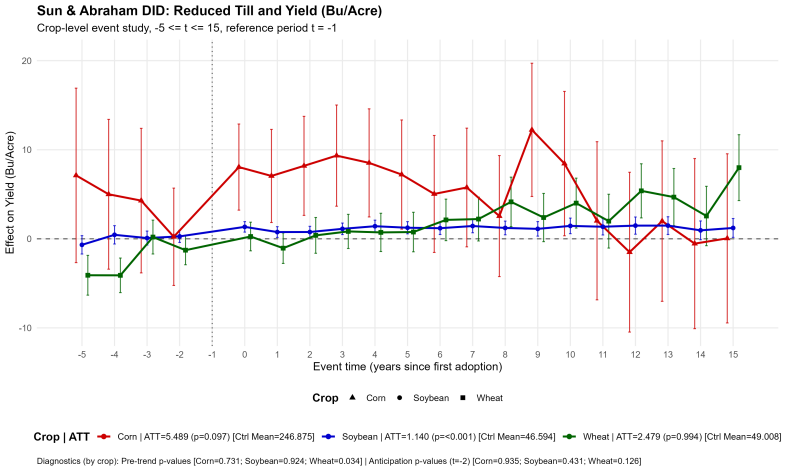
(a) Cover Crop



(b) Conservation Tillage

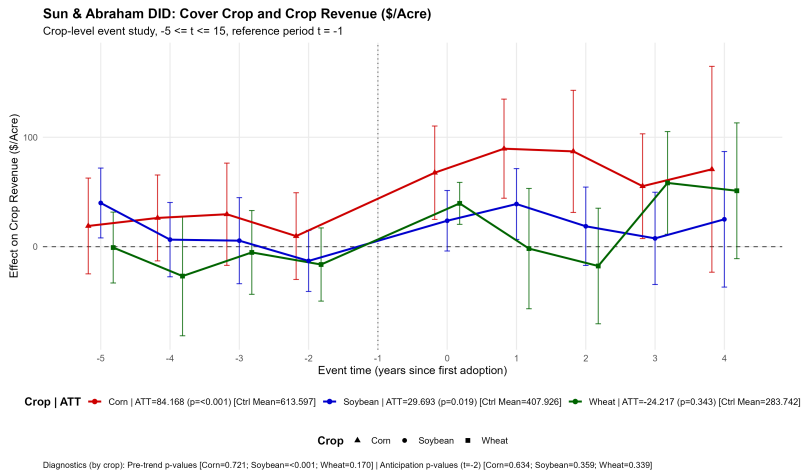


(c) No Till

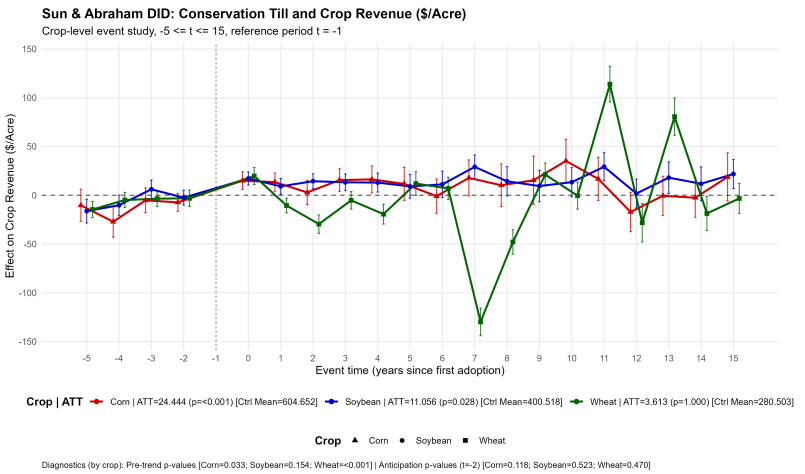


(d) Reduced Tillage

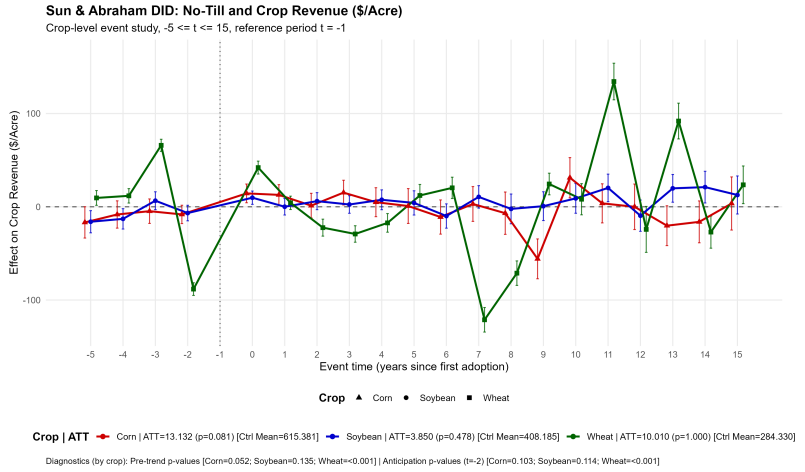
Figure A.27: Yield event studies by regenerative practice.



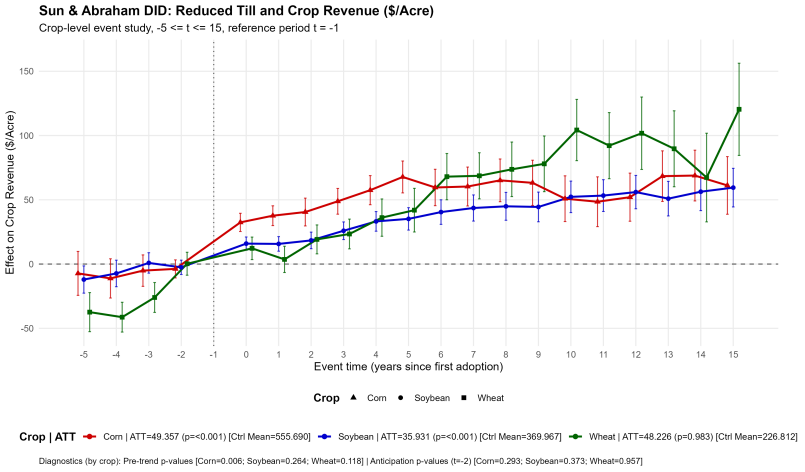
(a) Cover Crop



(b) Conservation Tillage

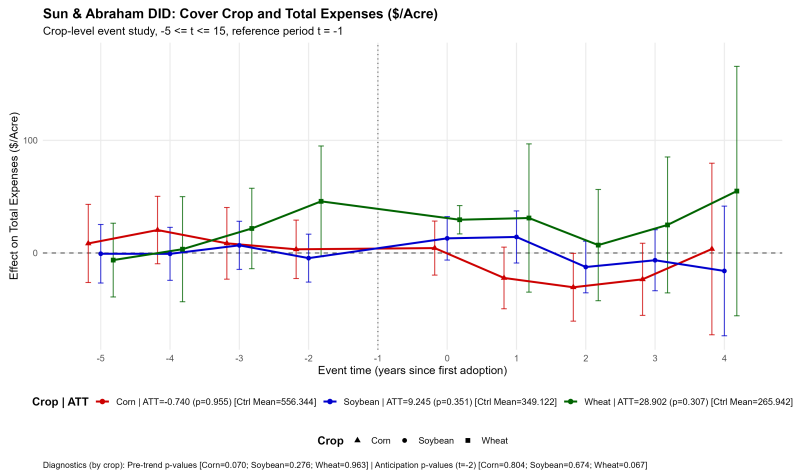


(c) No Till

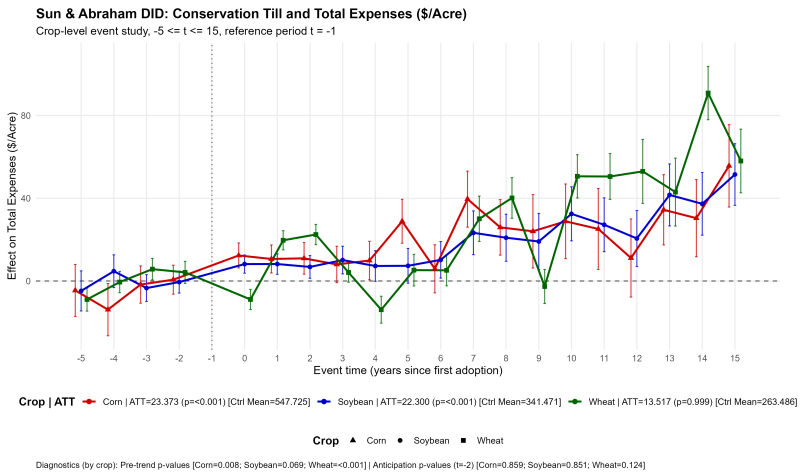


(d) Reduced Tillage

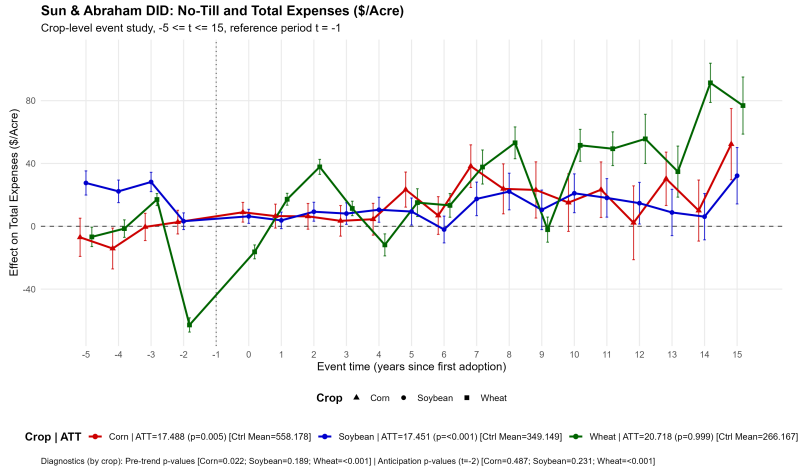
Figure A.28: Crop revenue event studies by regenerative practice.



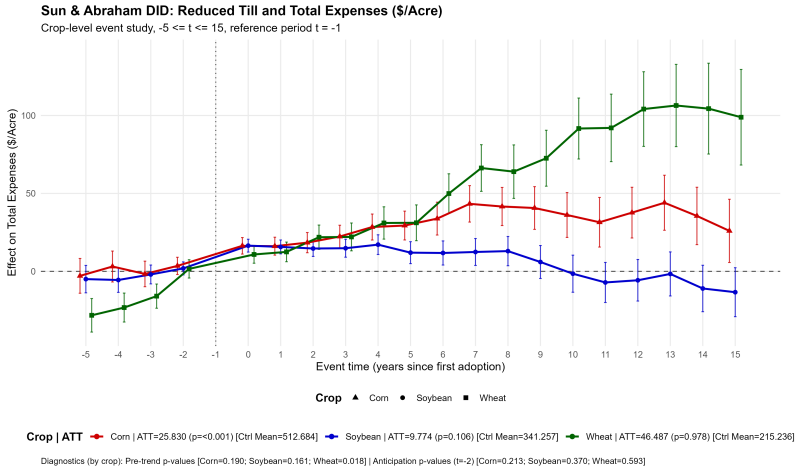
(a) Cover Crop



(b) Conservation Tillage

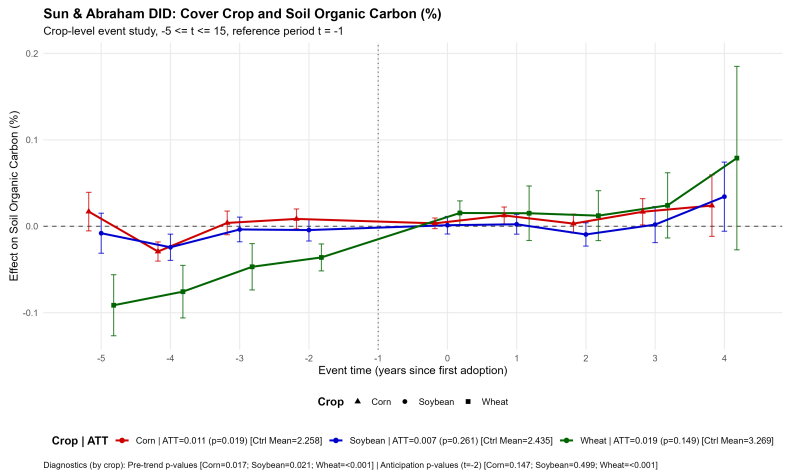


(c) No Till

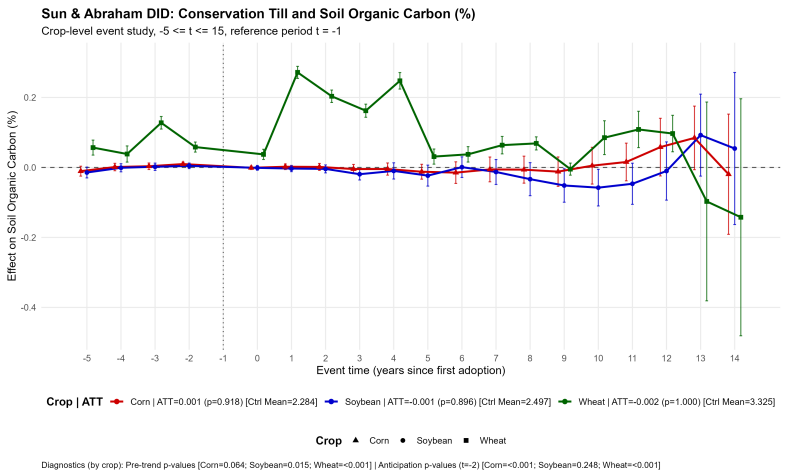


(d) Reduced Tillage

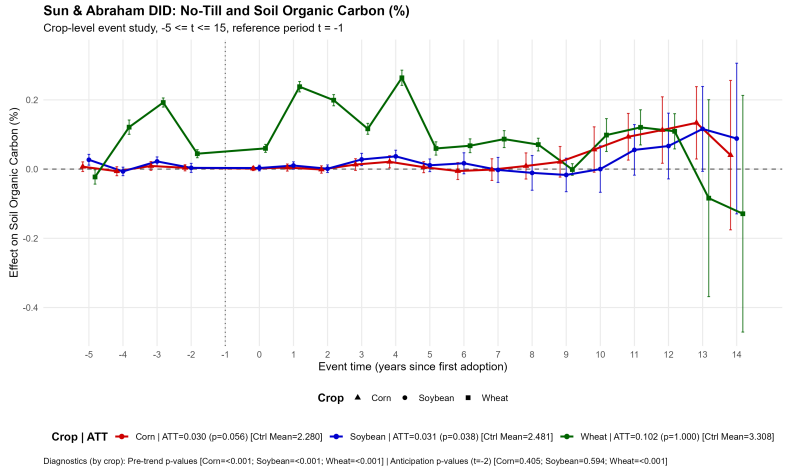
Figure A.29: Total expenses event studies by regenerative practice.



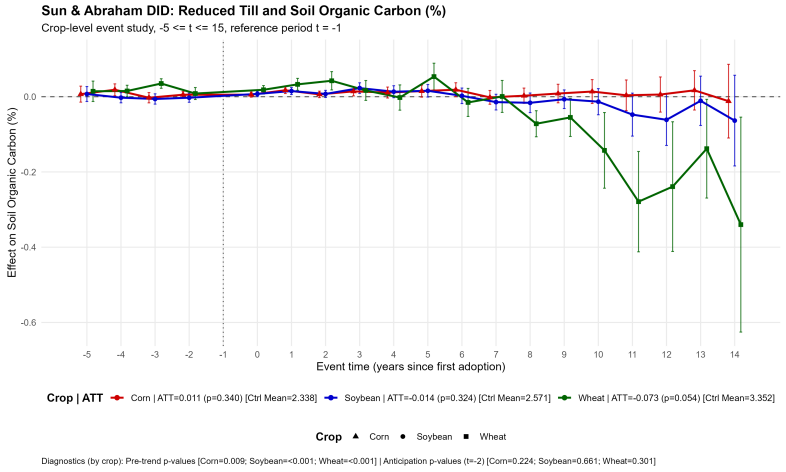
(a) Cover Crop



(b) Conservation Tillage



(c) No Till



(d) Reduced Tillage

Figure A.30: SOC event studies by regenerative practice.

G Secondary Outcomes

In this section, I report the results for secondary outcomes in my analysis. Specifically, I report on crop insurance coverage (θ), insurance payouts, direct expenses, and overhead expenses.

G.1 Two-way Fixed Effects

Results: Tables

Table A.29: Two-way fixed effects DID summary for Insurance Coverage (θ)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	0.035	0.021	0.045	0.021
	(0.010)	(0.007)	(0.006)	(0.007)
	[¡0.001]	[0.005]	[¡0.001]	[0.002]
N obs.	128727	126951	119814	124589
N farmers	7632	7632	7629	7631
Mean DV	0.645	0.645	0.647	0.644
R^2	0.461	0.463	0.470	0.465
Pretrend p-value	0.975	0.058	0.593	0.061
Anticipation p-value	0.967	0.028	0.496	0.006
Soybean				
ATT	0.028	0.017	0.038	0.019
	(0.013)	(0.008)	(0.006)	(0.006)
	[0.029]	[0.024]	[¡0.001]	[0.002]
N obs.	99930	98270	92646	96232
N farmers	6655	6656	6650	6654
Mean DV	0.763	0.763	0.769	0.763
R^2	0.543	0.546	0.555	0.548
Pretrend p-value	0.658	0.515	0.041	0.536
Anticipation p-value	0.737	0.209	0.222	0.145
Wheat				
ATT	-0.002	0.014	0.032	-0.002
	(0.035)	(0.015)	(0.011)	(0.012)
	[0.943]	[0.359]	[0.004]	[0.891]
N obs.	15694	15661	14405	15159
N farmers	1565	1562	1561	1557
Mean DV	0.816	0.814	0.822	0.812
R^2	0.541	0.541	0.549	0.543
Pretrend p-value	0.225	0.009	0.017	0.003
Anticipation p-value	0.365	0.010	0.027	0.014

Table A.30: Two-way fixed effects DID summary for Crop Insurance Income ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	2.317	0.653	-0.643	1.627
	(5.667)	(2.009)	(1.364)	(1.782)
	[0.683]	[0.745]	[0.637]	[0.361]
N obs.	140744	138891	131425	136402
N farmers	8966	8966	8963	8965
Mean DV	21.974	21.959	21.611	21.924
R^2	0.302	0.304	0.314	0.306
Pretrend p-value	0.662	0.203	0.010	0.381
Anticipation p-value	0.636	0.185	0.055	0.873
Soybean				
ATT	3.358	0.624	-0.852	0.126
	(4.558)	(1.147)	(0.802)	(1.054)
	[0.461]	[0.586]	[0.288]	[0.905]
N obs.	107987	106234	100461	104116
N farmers	7958	7959	7950	7956
Mean DV	13.130	13.033	12.796	13.038
R^2	0.169	0.171	0.169	0.171
Pretrend p-value	0.277	0.642	0.030	0.685
Anticipation p-value	0.876	0.459	0.026	0.876
Wheat				
ATT	0.477	1.769	-0.588	0.090
	(7.727)	(2.205)	(1.023)	(2.114)
	[0.951]	[0.423]	[0.566]	[0.966]
N obs.	17922	17869	16561	17336
N farmers	2195	2190	2183	2182
Mean DV	6.914	6.930	6.473	7.040
R^2	0.333	0.336	0.362	0.339
Pretrend p-value	0.660	0.740	0.009	0.939
Anticipation p-value	0.656	0.628	0.019	0.621

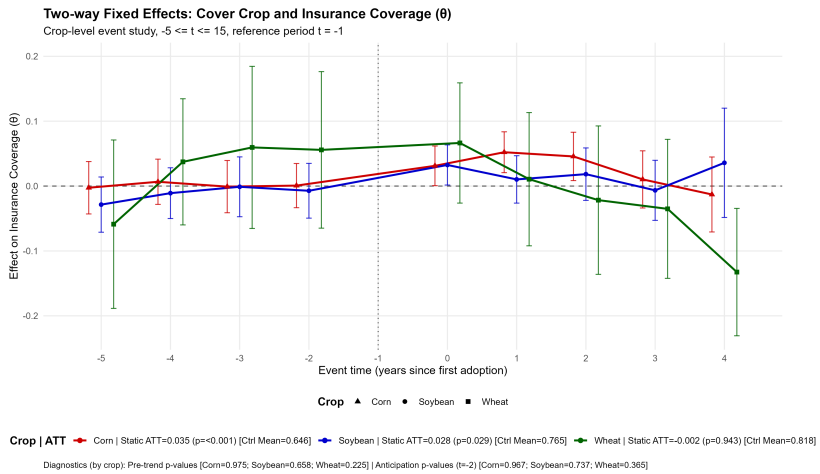
Table A.31: Two-way fixed effects DID summary for Direct Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	2.913	9.044	14.824	15.100
	(9.265)	(4.647)	(3.500)	(4.104)
	[0.753]	[0.052]	[¡0.001]	[¡0.001]
N obs.	140744	138891	131425	136402
N farmers	8966	8966	8963	8965
Mean DV	437.609	437.225	426.944	436.356
R^2	0.727	0.727	0.727	0.729
Pretrend p-value	0.860	0.568	0.515	0.498
Anticipation p-value	0.447	0.930	0.229	0.270
Soybean				
ATT	13.651	8.608	12.999	13.276
	(6.443)	(3.167)	(2.346)	(2.823)
	[0.034]	[0.007]	[¡0.001]	[¡0.001]
N obs.	107987	106234	100461	104116
N farmers	7958	7959	7950	7956
Mean DV	264.835	264.669	257.903	264.272
R^2	0.648	0.649	0.652	0.651
Pretrend p-value	0.489	0.639	0.338	0.826
Anticipation p-value	0.863	0.650	0.077	0.534
Wheat				
ATT	-3.409	18.837	14.544	12.252
	(13.723)	(7.447)	(3.425)	(6.583)
	[0.804]	[0.011]	[¡0.001]	[0.063]
N obs.	17922	17869	16561	17336
N farmers	2195	2190	2183	2182
Mean DV	208.639	208.877	203.729	209.585
R^2	0.749	0.747	0.740	0.748
Pretrend p-value	0.138	0.047	0.324	0.473
Anticipation p-value	0.070	0.210	0.279	0.155

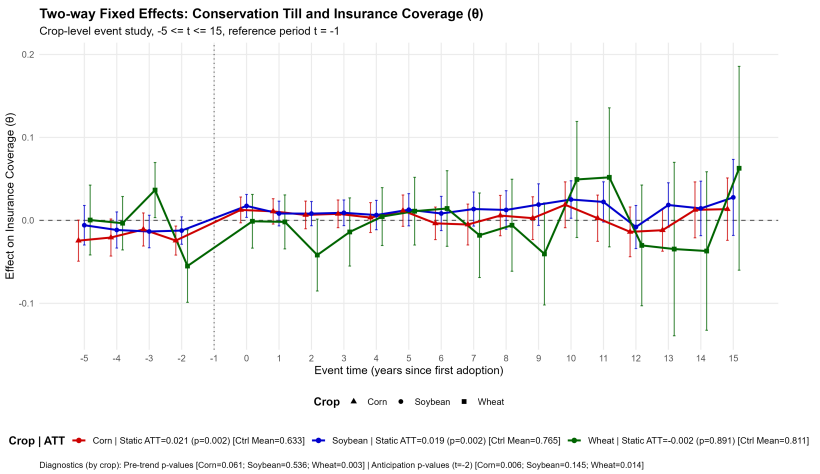
Table A.32: Two-way fixed effects DID summary for Overhead Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	1.701	7.150	2.401	9.571
	(6.356)	(2.722)	(1.643)	(2.387)
	[0.789]	[0.009]	[0.144]	[¡0.001]
N obs.	140744	138891	131425	136402
N farmers	8966	8966	8963	8965
Mean DV	124.645	124.446	121.164	124.226
R^2	0.516	0.514	0.521	0.517
Pretrend p-value	0.325	0.296	0.616	0.088
Anticipation p-value	0.305	0.370	0.539	0.754
Soybean				
ATT	-0.035	5.514	2.648	6.935
	(6.046)	(1.905)	(1.373)	(1.658)
	[0.995]	[0.004]	[0.054]	[¡0.001]
N obs.	107987	106234	100461	104116
N farmers	7958	7959	7950	7956
Mean DV	88.485	88.288	86.065	88.064
R^2	0.455	0.455	0.462	0.456
Pretrend p-value	0.862	0.397	0.181	0.835
Anticipation p-value	0.928	0.591	0.916	0.382
Wheat				
ATT	11.820	1.630	3.322	2.844
	(9.536)	(3.726)	(1.405)	(2.798)
	[0.215]	[0.662]	[0.018]	[0.309]
N obs.	17922	17869	16561	17336
N farmers	2195	2190	2183	2182
Mean DV	60.154	60.270	58.138	60.399
R^2	0.540	0.536	0.538	0.537
Pretrend p-value	0.550	0.026	0.008	0.023
Anticipation p-value	0.985	0.716	0.005	0.368

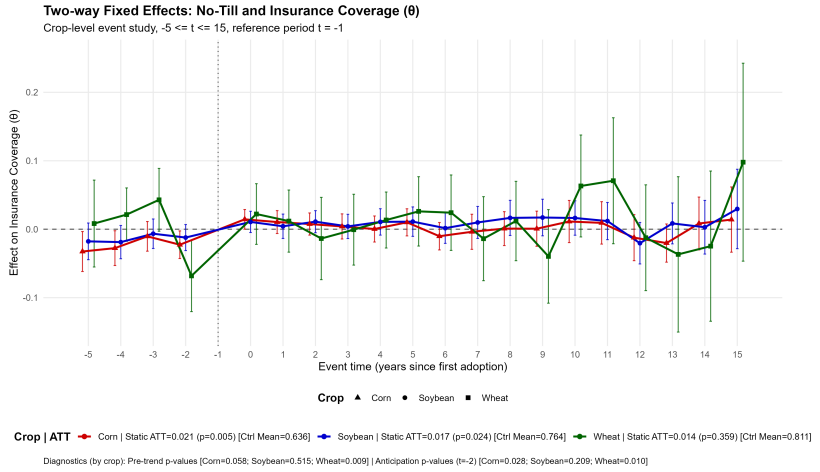
Results: Event Study Plots



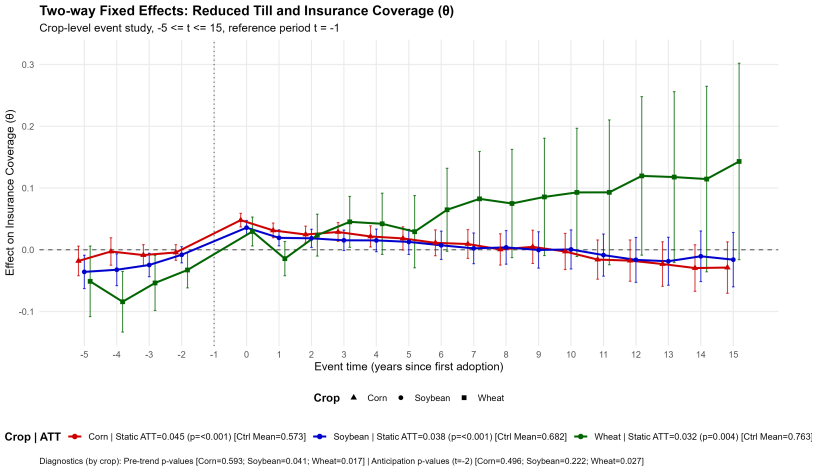
(a) Cover Crop



(b) Conservation Tillage

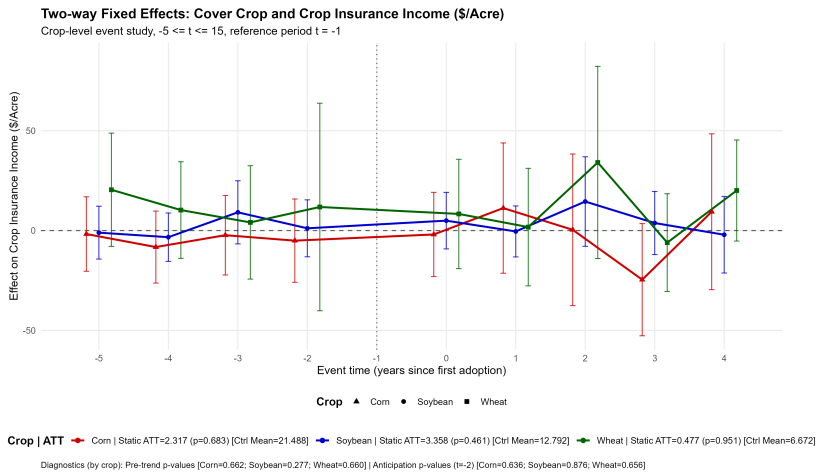


(c) No Till

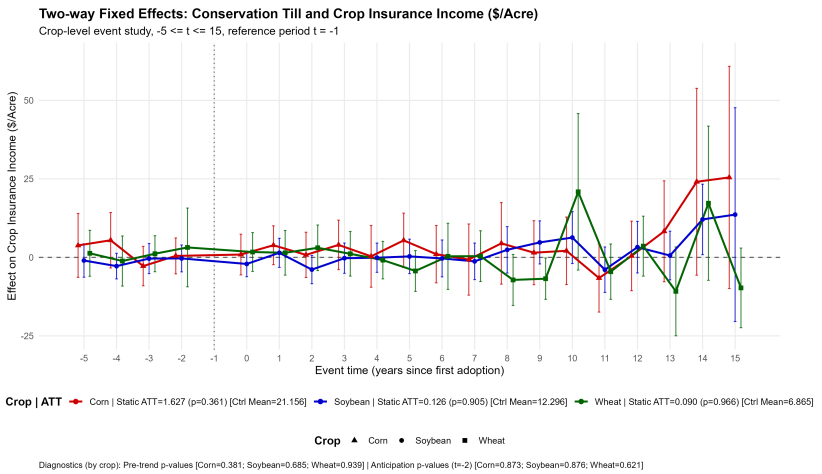


(d) Reduced Tillage

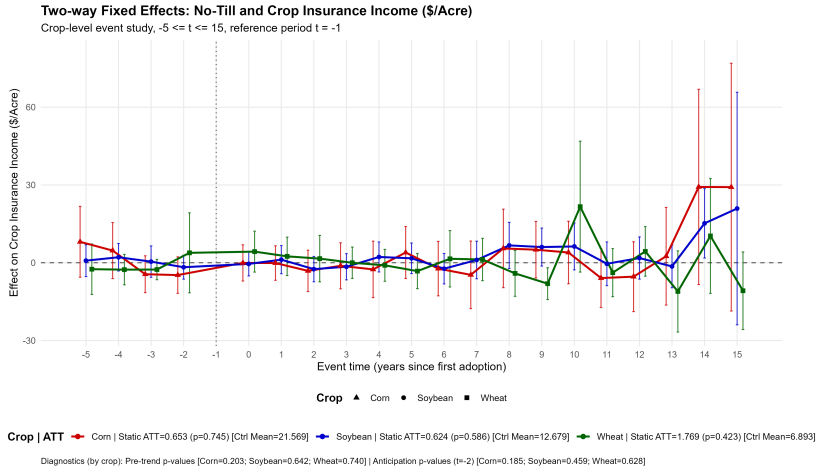
Figure A.31: Crop insurance coverage event studies by regenerative practice.



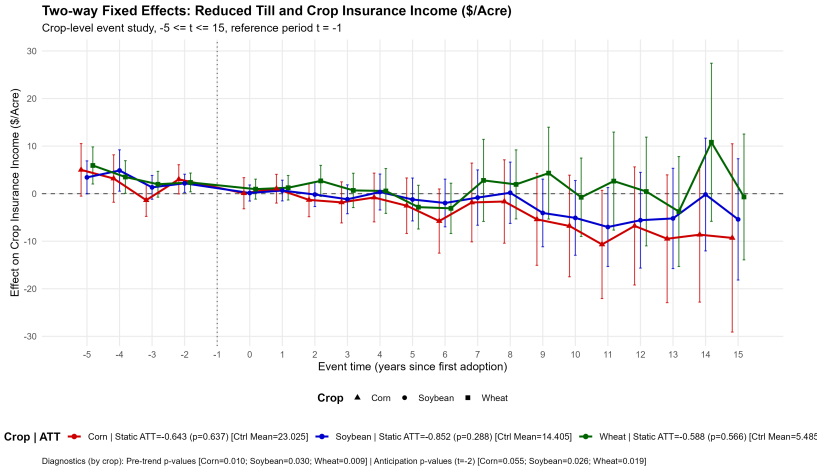
(a) Cover Crop



(b) Conservation Tillage

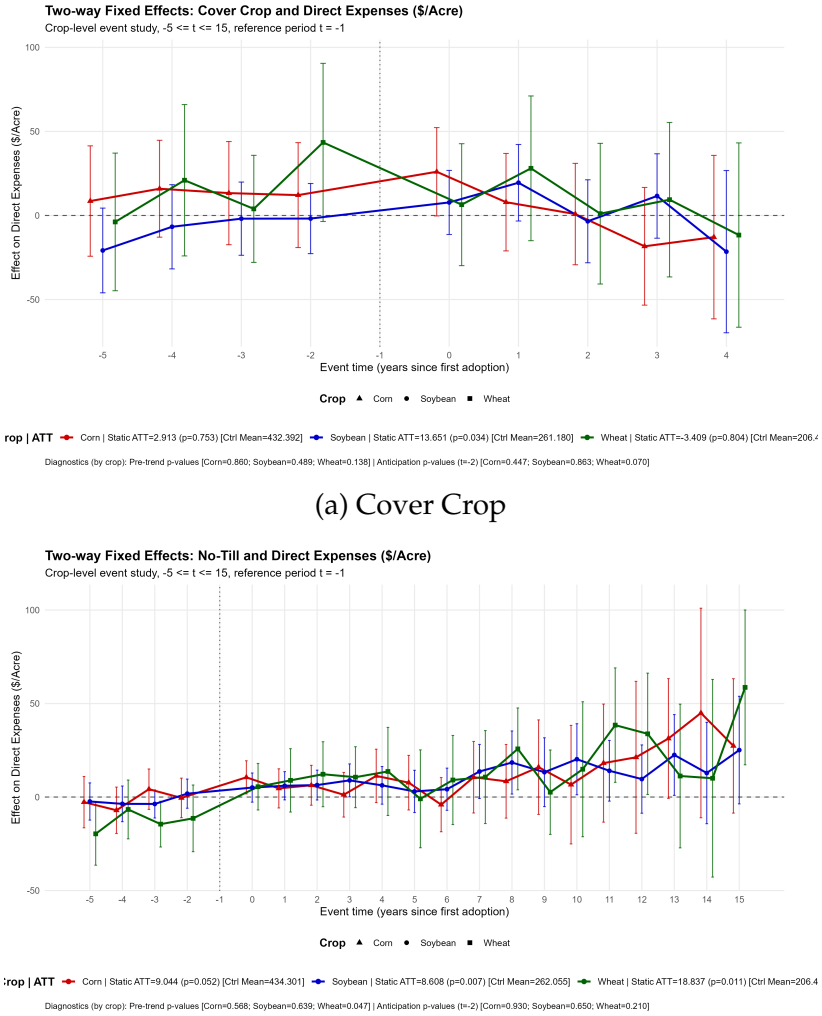


(c) No Till

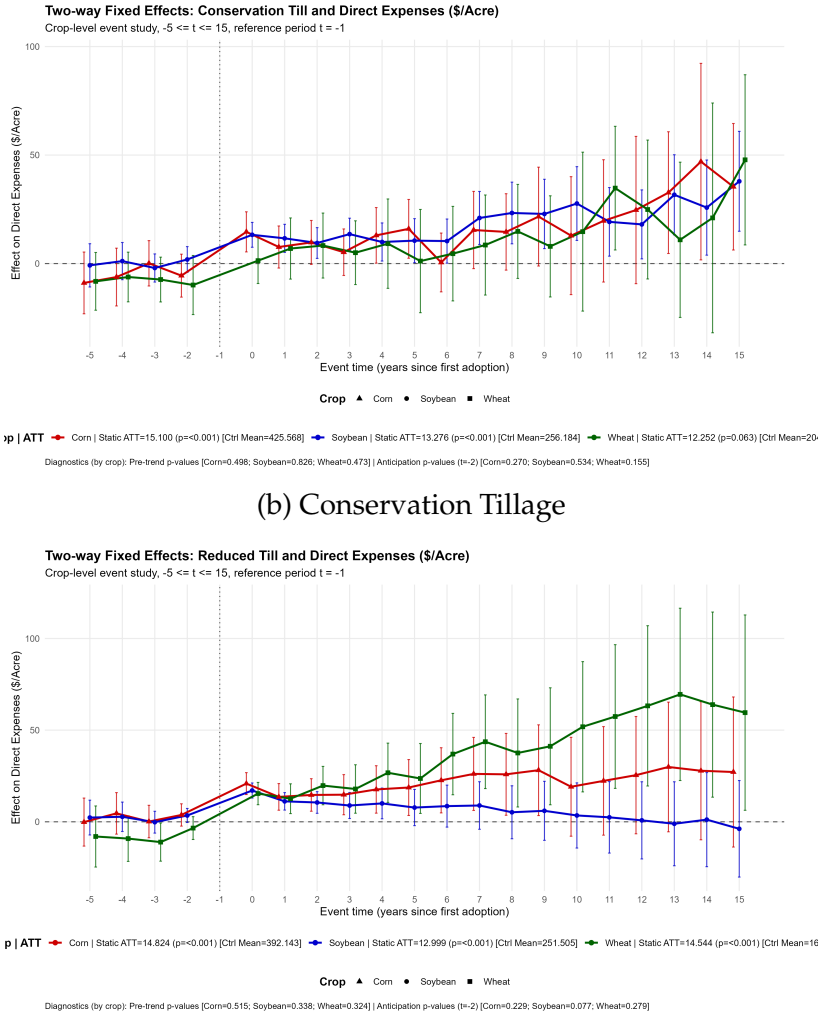


(d) Reduced Tillage

Figure A.32: Crop insurance payouts event studies by regenerative practice.



(a) Cover Crop

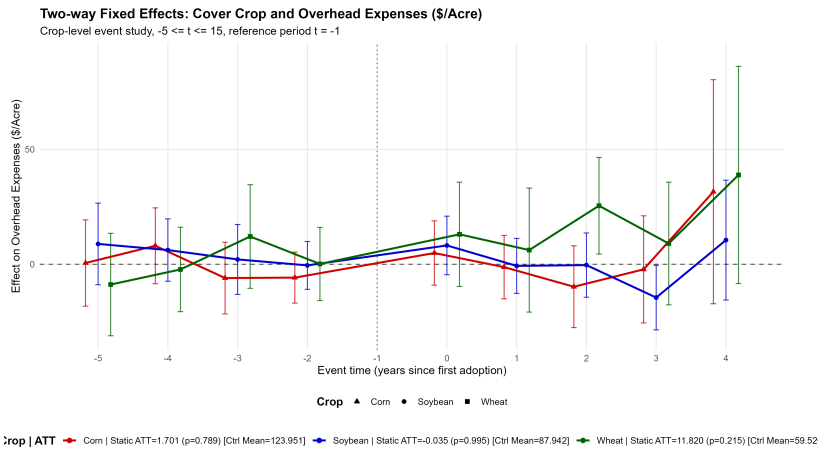


(b) Conservation Tillage

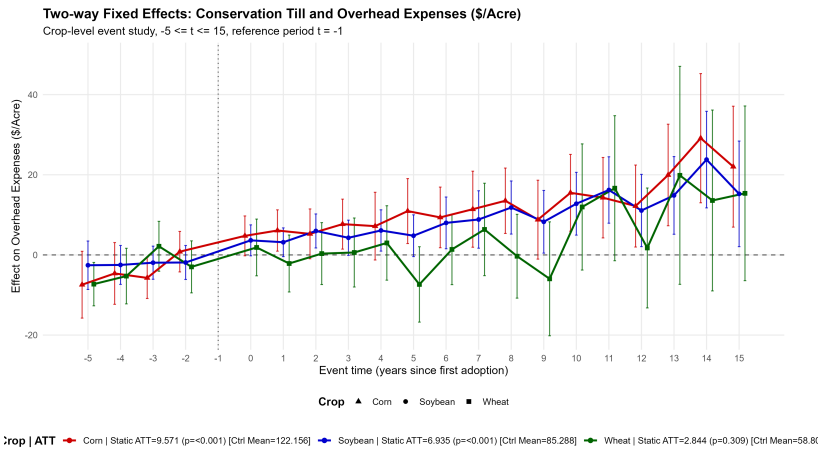
(c) No Till

(d) Reduced Tillage

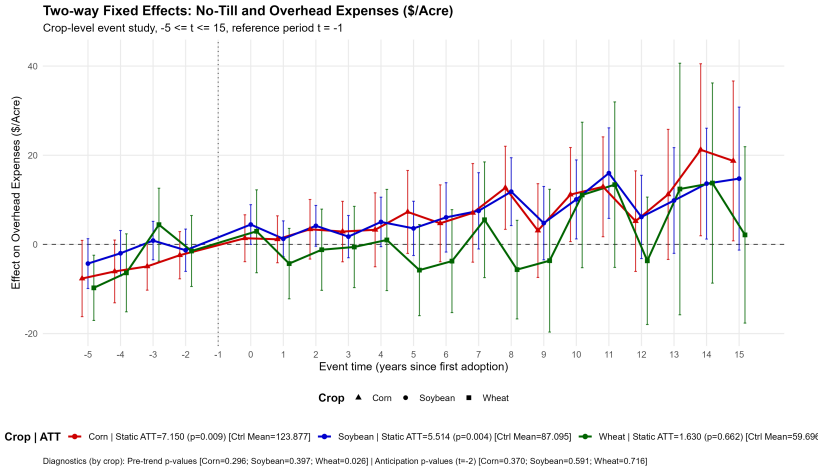
Figure A.33: Direct expenses event studies by regenerative practice.



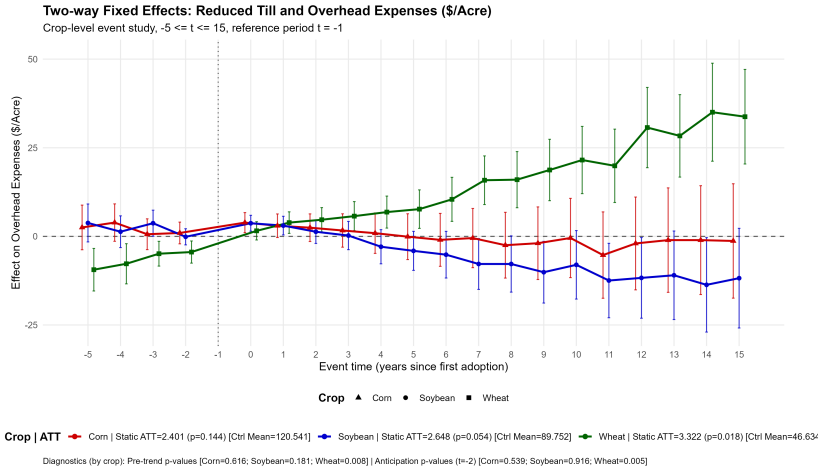
(a) Cover Crop



(b) Conservation Tillage



(c) No Till



(d) Reduced Tillage

Figure A.34: Overhead expenses event studies by regenerative practice.

G.2 Callaway & Sant'Anna

Table A.33: Callaway and Sant'Anna doubly robust DID summary for Insurance Coverage (θ)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	0.045	-0.009	0.033	-0.003
	(0.021)	(0.009)	(0.008)	(0.008)
	[0.036]	[0.313]	[¡0.001]	[0.731]
N obs.	46723	46032	42510	45140
N farmers	7632	7609	7459	7585
Mean DV	0.644	0.642	0.641	0.641
Pretrend p-value	0.480	0.165	0.114	0.080
Anticipation p-value	0.856	0.026	0.059	0.004
Soybean				
ATT	0.011	0.003	0.030	0.007
	(0.025)	(0.009)	(0.009)	(0.008)
	[0.641]	[0.764]	[¡0.001]	[0.351]
N obs.	41370	40604	37353	39738
N farmers	6655	6630	6489	6607
Mean DV	0.754	0.754	0.756	0.753
Pretrend p-value	0.574	0.676	0.791	0.255
Anticipation p-value	0.892	0.324	0.315	0.041
Wheat				
ATT	0.030	0.011	0.094	-0.004
	(0.069)	(0.020)	(0.019)	(0.013)
	[0.666]	[0.575]	[¡0.001]	[0.780]
N obs.	8271	8166	7621	8012
N farmers	1565	1553	1546	1546
Mean DV	0.795	0.793	0.800	0.792
Pretrend p-value	0.226	0.096	0.549	0.025
Anticipation p-value	0.424	0.019	0.109	0.002

Results: Tables

Table A.34: Callaway and Sant'Anna doubly robust DID summary for Crop Insurance Income ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	-6.960	-0.044	2.282	0.878
	(9.896)	(1.523)	(0.869)	(1.336)
	[0.482]	[0.977]	[0.009]	[0.511]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	19.502	19.634	19.305	19.650
Pretrend p-value	0.832	0.285	0.120	0.336
Anticipation p-value	0.597	0.896	0.798	0.158
Soybean				
ATT	-1.517	0.264	2.009	0.463
	(5.279)	(1.043)	(0.583)	(0.990)
	[0.774]	[0.800]	[¡0.001]	[0.640]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	11.937	11.976	11.747	11.993
Pretrend p-value	0.213	0.869	0.520	0.607
Anticipation p-value	0.361	0.813	0.620	0.752
Wheat				
ATT	9.658	-0.592	2.722	-1.237
	(7.605)	(1.330)	(0.853)	(1.749)
	[0.204]	[0.656]	[0.001]	[0.479]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	7.157	7.234	6.788	7.324
Pretrend p-value	0.550	0.334	¡0.001	0.677
Anticipation p-value	0.913	0.082	0.124	0.271

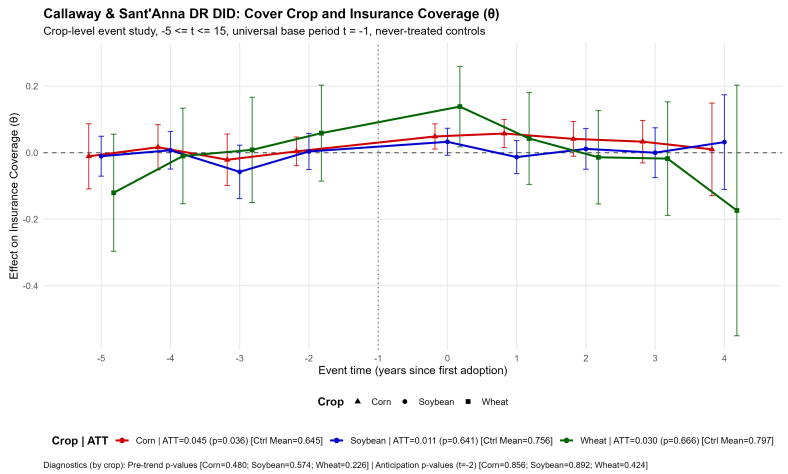
Table A.35: Callaway and Sant'Anna doubly robust DID summary for Direct Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	16.345	9.962	55.283	17.333
	(16.496)	(5.522)	(4.197)	(5.078)
	[0.322]	[0.071]	[¡0.001]	[¡0.001]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	417.970	418.125	410.390	417.832
Pretrend p-value	0.101	0.384	0.649	0.266
Anticipation p-value	0.857	0.877	0.922	0.093
Soybean				
ATT	15.535	10.795	26.859	15.959
	(12.330)	(4.024)	(3.140)	(3.565)
	[0.208]	[0.007]	[¡0.001]	[¡0.001]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	257.566	257.672	252.536	257.614
Pretrend p-value	0.615	0.020	0.252	0.298
Anticipation p-value	0.438	0.608	0.753	0.261
Wheat				
ATT	-4.012	11.876	39.023	12.367
	(31.260)	(6.476)	(5.656)	(5.896)
	[0.898]	[0.067]	[¡0.001]	[0.036]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	211.339	211.881	206.479	211.859
Pretrend p-value	0.787	0.027	0.008	0.659
Anticipation p-value	0.915	0.318	0.354	0.598

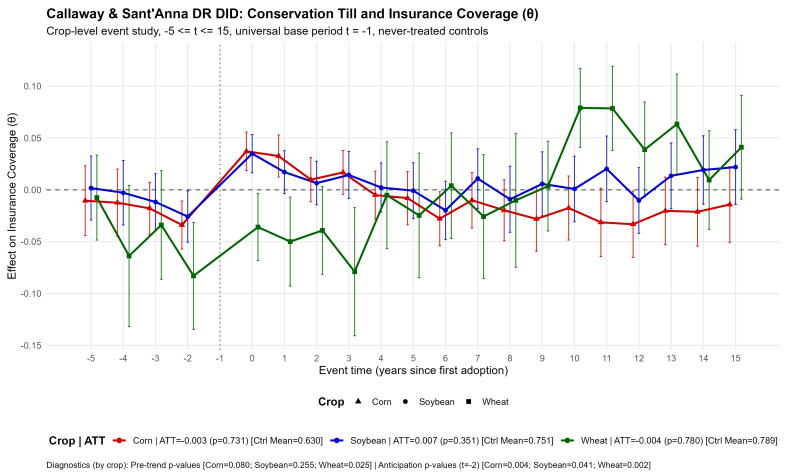
Table A.36: Callaway and Sant'Anna doubly robust DID summary for Overhead Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	5.487	9.554	12.089	12.190
	(7.267)	(2.697)	(1.737)	(2.470)
	[0.450]	[¡0.001]	[¡0.001]	[¡0.001]
N obs.	51496	50774	47086	49831
N farmers	8967	8943	8787	8919
Mean DV	110.171	110.221	107.437	110.115
Pretrend p-value	0.129	0.804	0.049	0.141
Anticipation p-value	0.222	0.247	0.412	0.896
Soybean				
ATT	7.189	8.409	6.323	9.806
	(6.733)	(2.013)	(1.464)	(1.863)
	[0.286]	[¡0.001]	[¡0.001]	[¡0.001]
N obs.	45725	44936	41511	44019
N farmers	7958	7933	7783	7907
Mean DV	76.719	76.686	74.632	76.491
Pretrend p-value	0.621	0.288	0.134	0.351
Anticipation p-value	0.335	0.447	0.145	0.681
Wheat				
ATT	-7.922	5.135	15.850	8.198
	(14.425)	(3.560)	(1.931)	(3.189)
	[0.583]	[0.149]	[¡0.001]	[0.010]
N obs.	9840	9713	9124	9537
N farmers	2195	2181	2162	2169
Mean DV	56.657	56.964	54.906	57.028
Pretrend p-value	0.159	¡0.001	0.029	0.296
Anticipation p-value	0.017	0.941	0.549	0.379

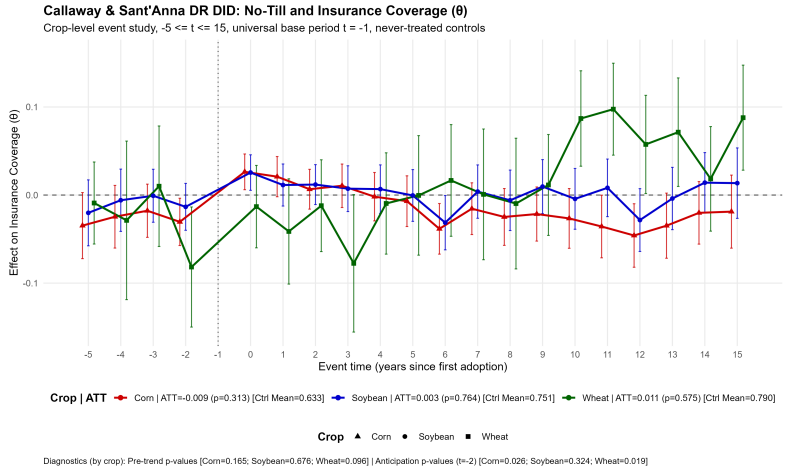
Results: Event Study Plots



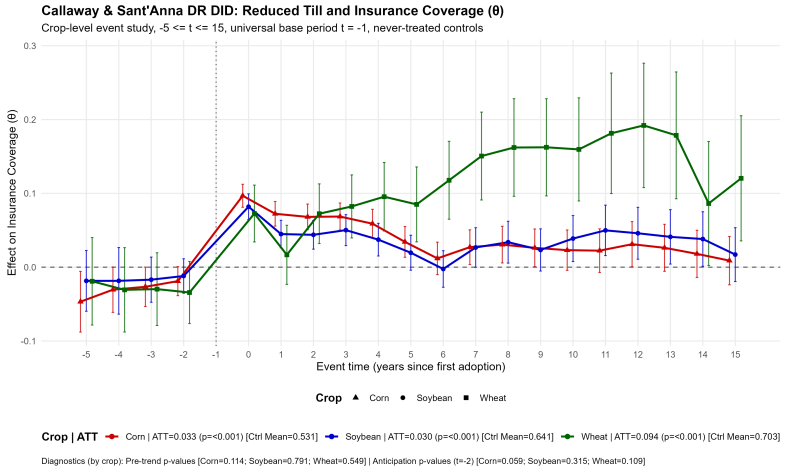
(a) Cover Crop



(b) Conservation Tillage

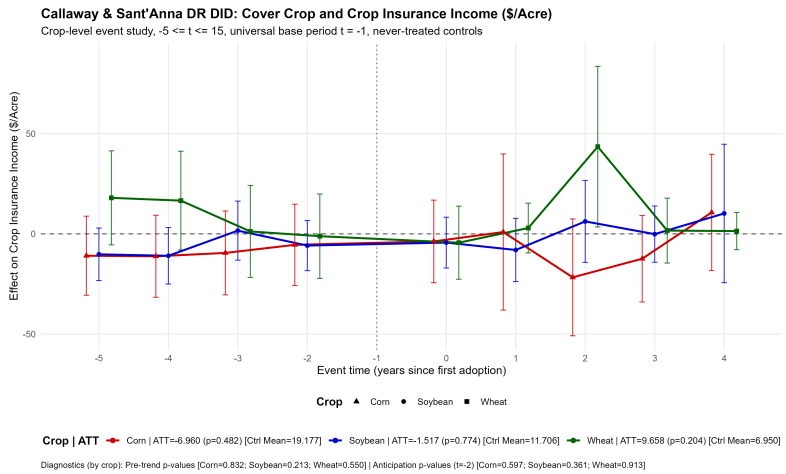


(c) No Till

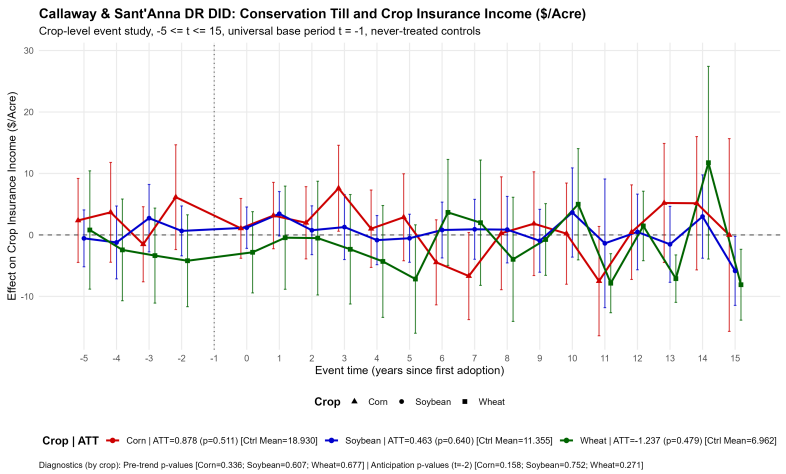


(d) Reduced Tillage

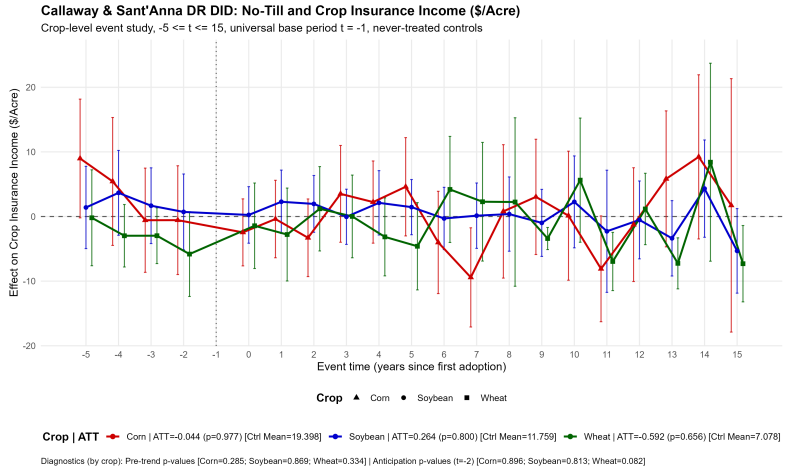
Figure A.35: Crop insurance coverage event studies by regenerative practice.



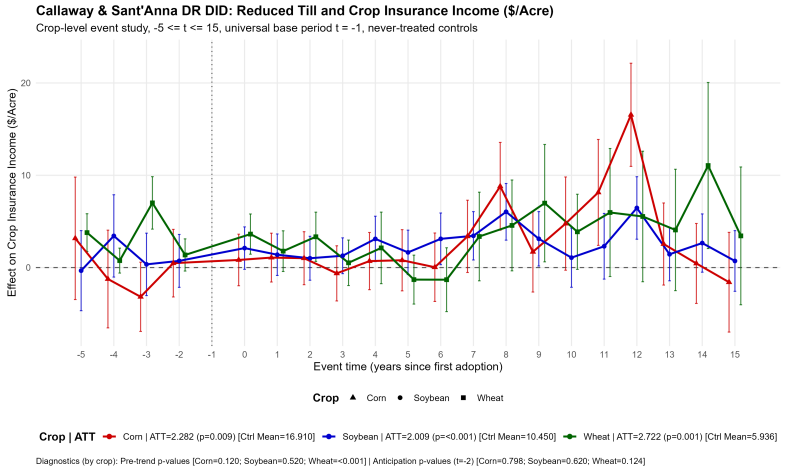
(a) Cover Crop



(b) Conservation Tillage

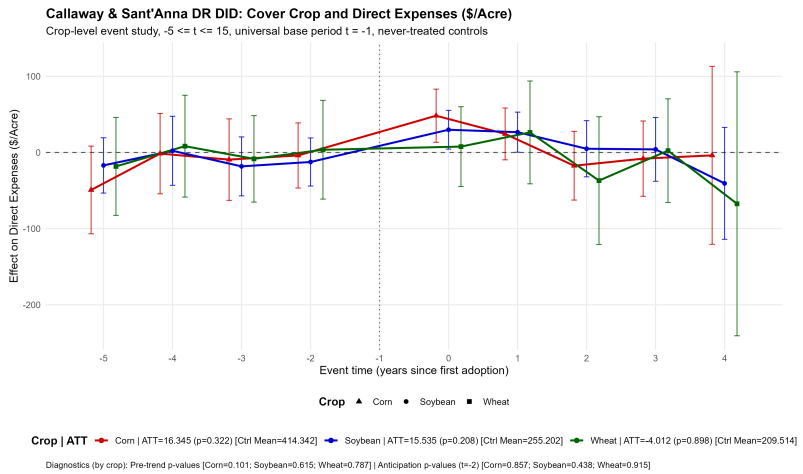


(c) No Till

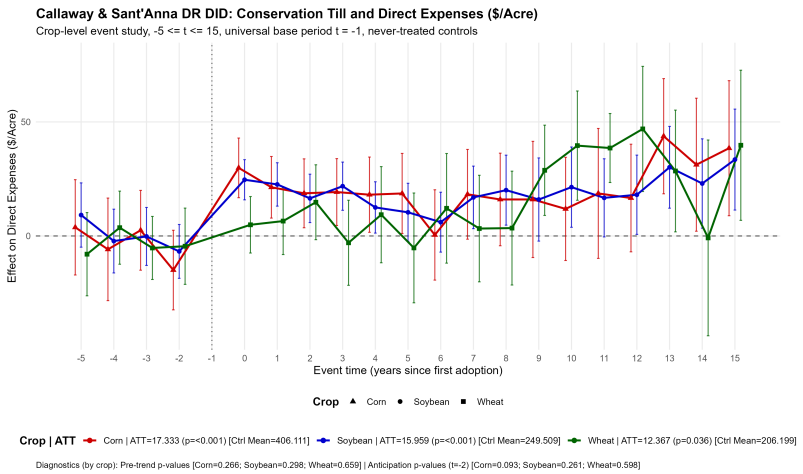


(d) Reduced Tillage

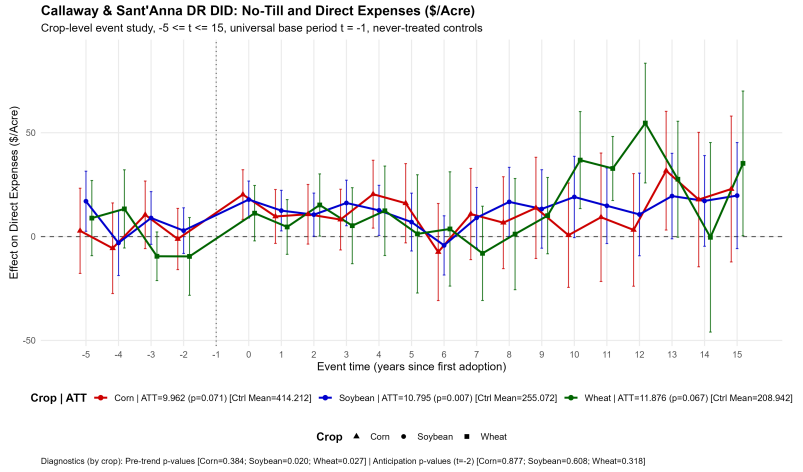
Figure A.36: Crop insurance payouts event studies by regenerative practice.



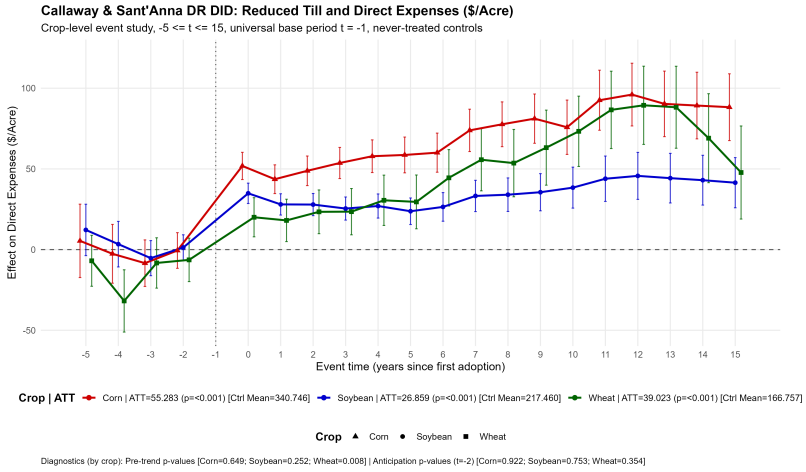
(a) Cover Crop



(b) Conservation Tillage

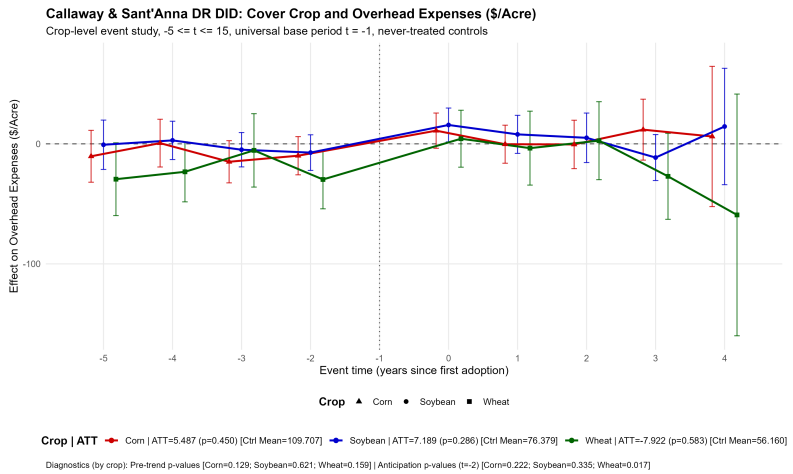


(c) No Till

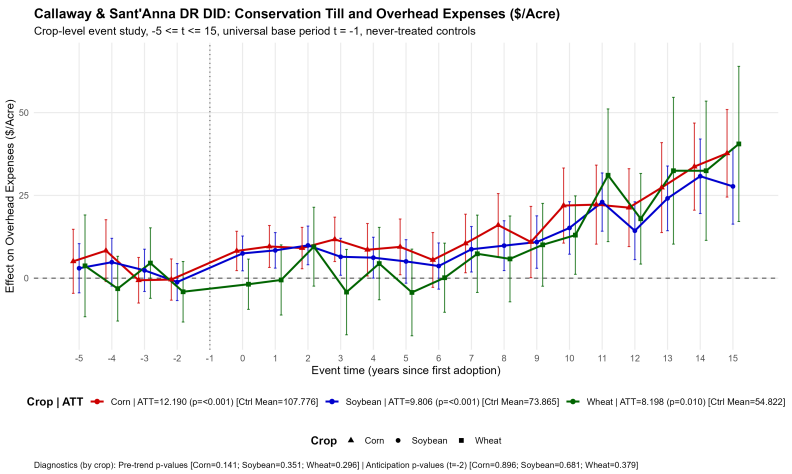


(d) Reduced Tillage

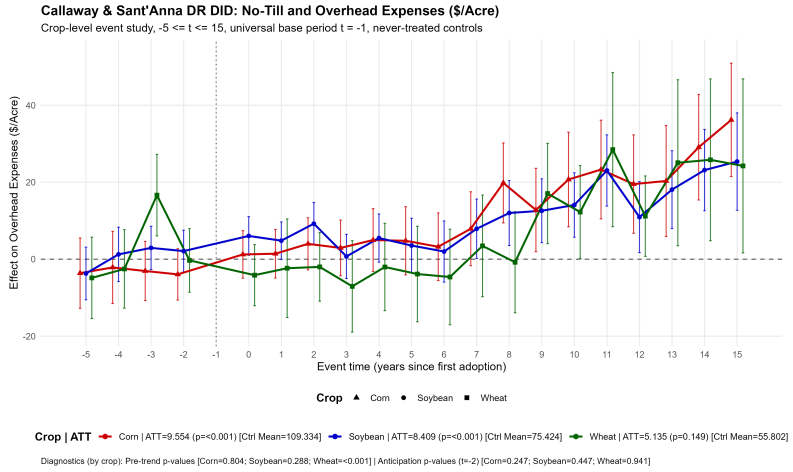
Figure A.37: Direct expenses event studies by regenerative practice.



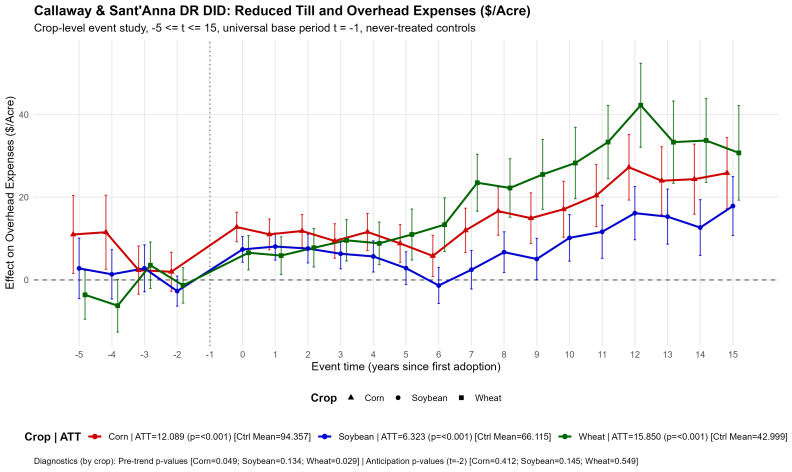
(a) Cover Crop



(b) Conservation Tillage



(c) No Till



(d) Reduced Tillage

Figure A.38: Overhead expenses event studies by regenerative practice.

G.3 Sun & Abraham

Table A.37: Sun & Abraham DID summary for Insurance Coverage (θ)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	0.038	0.002	0.015	0.002
	(0.015)	(0.008)	(0.009)	(0.007)
	[0.010]	[0.758]	[0.114]	[0.812]
N obs.	128727	126950	119813	124588
N farmers	7632	7632	7629	7631
Mean DV	0.645	0.645	0.647	0.644
R^2	0.461	0.465	0.475	0.468
Pretrend p-value	0.404	0.006	0.043	0.008
Anticipation p-value	0.844	¡0.001	0.386	0.007
Soybean				
ATT	0.012	0.007	0.019	0.010
	(0.016)	(0.008)	(0.010)	(0.008)
	[0.464]	[0.377]	[0.052]	[0.174]
N obs.	99930	98269	92645	96231
N farmers	6655	6656	6650	6654
Mean DV	0.763	0.763	0.769	0.763
R^2	0.543	0.551	0.561	0.553
Pretrend p-value	0.588	0.405	¡0.001	0.294
Anticipation p-value	0.200	¡0.001	0.736	¡0.001
Wheat				
ATT	0.027	0.023	0.077	0.006
	(0.058)	(0.020)	(0.032)	(0.012)
	[0.638]	[0.246]	[0.017]	[0.604]
N obs.	15694	15660	14404	15157
N farmers	1565	1562	1561	1557
Mean DV	0.816	0.814	0.822	0.812
R^2	0.544	0.554	0.580	0.557
Pretrend p-value	0.408	0.870	0.245	0.821
Anticipation p-value	0.680	¡0.001	¡0.001	¡0.001

Results: Tables

Table A.38: Sun & Abraham DID summary for Crop Insurance Income ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	-5.900	1.763	-1.875	3.136
	(9.464)	(2.430)	(2.072)	(2.137)
	[0.533]	[0.468]	[0.365]	[0.142]
N obs.	140744	138890	131424	136401
N farmers	8966	8966	8963	8965
Mean DV	21.974	21.959	21.611	21.924
R^2	0.305	0.320	0.332	0.322
Pretrend p-value	0.652	0.347	¡0.001	0.273
Anticipation p-value	0.921	0.842	¡0.001	0.960
Soybean				
ATT	2.631	1.373	-1.090	0.403
	(5.098)	(1.567)	(1.476)	(1.368)
	[0.606]	[0.381]	[0.460]	[0.768]
N obs.	107987	106233	100460	104115
N farmers	7958	7959	7950	7956
Mean DV	13.130	13.033	12.796	13.039
R^2	0.170	0.182	0.178	0.183
Pretrend p-value	0.080	0.052	¡0.001	0.375
Anticipation p-value	0.817	0.420	0.004	0.613
Wheat				
ATT	19.043	-0.170	2.964	0.203
	(10.270)	(5157.848)	(511.707)	(7286.449)
	[0.064]	[1.000]	[0.995]	[1.000]
N obs.	17922	17866	16560	17334
N farmers	2195	2188	2182	2181
Mean DV	6.914	6.931	6.473	7.041
R^2	0.339	0.361	0.429	0.363
Pretrend p-value	0.075	0.355	0.136	0.418
Anticipation p-value	0.199	0.524	¡0.001	0.575

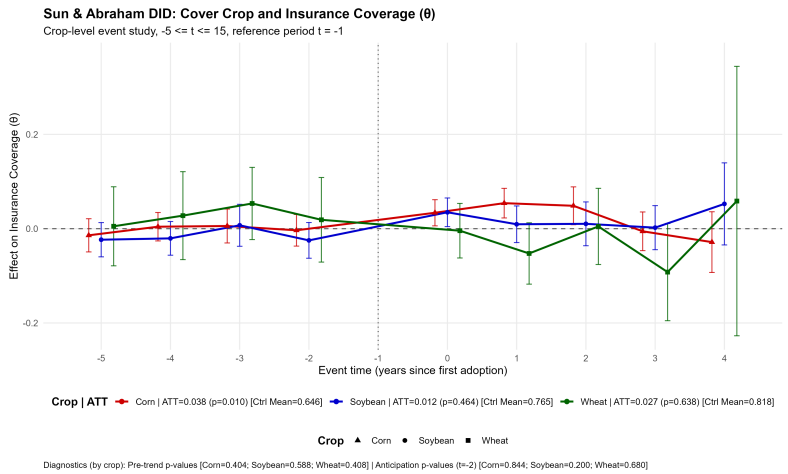
Table A.39: Sun & Abraham DID summary for Direct Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	0.800	10.280	24.096	13.068
	(10.715)	(5.478)	(6.196)	(4.962)
	[0.940]	[0.061]	[¡0.001]	[0.008]
N obs.	140744	138890	131424	136401
N farmers	8966	8966	8963	8965
Mean DV	437.609	437.223	426.943	436.354
R^2	0.727	0.729	0.731	0.731
Pretrend p-value	0.005	0.109	0.250	0.101
Anticipation p-value	0.743	0.827	0.044	0.651
Soybean				
ATT	5.990	10.749	11.523	14.300
	(8.012)	(4.075)	(4.358)	(3.568)
	[0.455]	[0.008]	[0.008]	[¡0.001]
N obs.	107987	106233	100460	104115
N farmers	7958	7959	7950	7956
Mean DV	264.835	264.668	257.902	264.271
R^2	0.648	0.651	0.655	0.654
Pretrend p-value	0.011	0.036	0.839	0.048
Anticipation p-value	0.455	0.492	0.137	0.796
Wheat				
ATT	12.978	17.190	33.986	9.256
	(22.801)	(16225.538)	(1392.284)	(16828.547)
	[0.569]	[0.999]	[0.981]	[1.000]
N obs.	17922	17866	16560	17334
N farmers	2195	2188	2182	2181
Mean DV	208.639	208.847	203.733	209.575
R^2	0.750	0.755	0.754	0.756
Pretrend p-value	0.807	¡0.001	0.092	¡0.001
Anticipation p-value	0.022	¡0.001	0.372	0.150

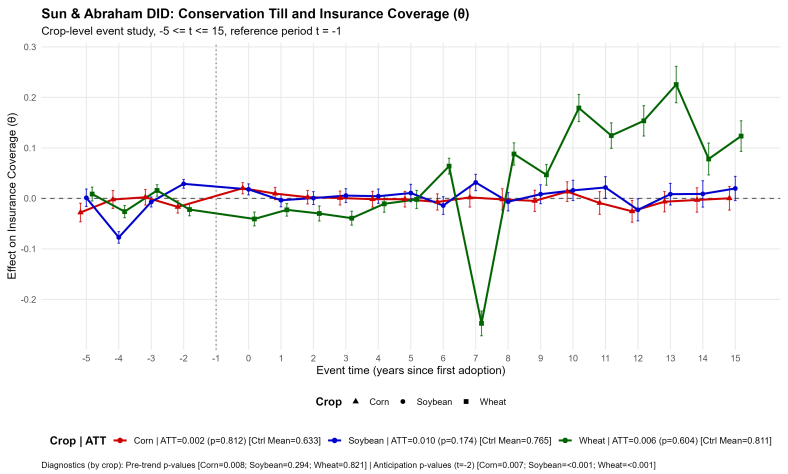
Table A.40: Sun & Abraham DID summary for Overhead Expenses ($/Acre)

Statistic	Cover Crop	No-Till	Reduced Till	Conservation Till
Corn				
ATT	-1.540	7.208	1.735	10.305
	(6.461)	(2.495)	(2.757)	(2.362)
	[0.812]	[0.004]	[0.529]	[¡0.001]
N obs.	140744	138890	131424	136401
N farmers	8966	8966	8963	8965
Mean DV	124.645	124.446	121.164	124.226
R^2	0.517	0.519	0.525	0.521
Pretrend p-value	¡0.001	0.271	0.781	0.158
Anticipation p-value	0.318	0.256	0.542	0.828
Soybean				
ATT	3.254	6.703	-1.749	8.000
	(5.875)	(2.049)	(2.450)	(1.905)
	[0.580]	[0.001]	[0.475]	[¡0.001]
N obs.	107987	106233	100460	104115
N farmers	7958	7959	7950	7956
Mean DV	88.485	88.286	86.064	88.063
R^2	0.456	0.459	0.467	0.460
Pretrend p-value	0.076	0.911	0.008	0.768
Anticipation p-value	0.815	0.340	0.489	0.084
Wheat				
ATT	15.924	3.527	12.502	4.261
	(10.859)	(7083.096)	(671.793)	(8822.715)
	[0.143]	[1.000]	[0.985]	[1.000]
N obs.	17922	17866	16560	17334
N farmers	2195	2188	2182	2181
Mean DV	60.154	60.268	58.140	60.401
R^2	0.542	0.549	0.561	0.550
Pretrend p-value	0.812	¡0.001	0.005	¡0.001
Anticipation p-value	0.631	¡0.001	0.016	0.273

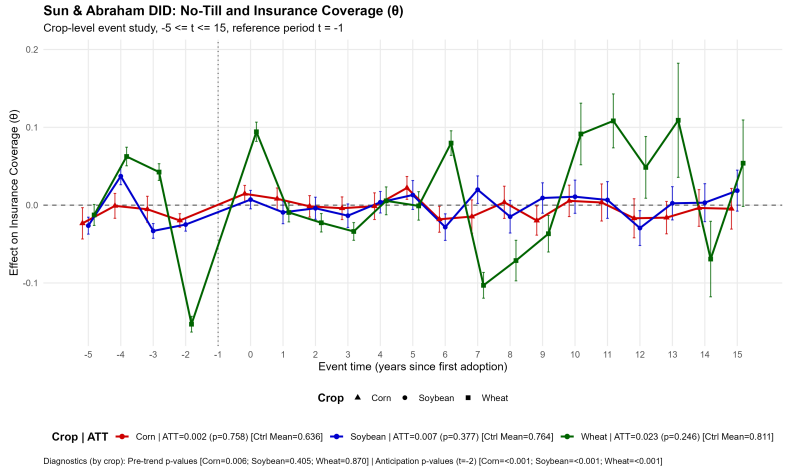
Results: Event Study Plots



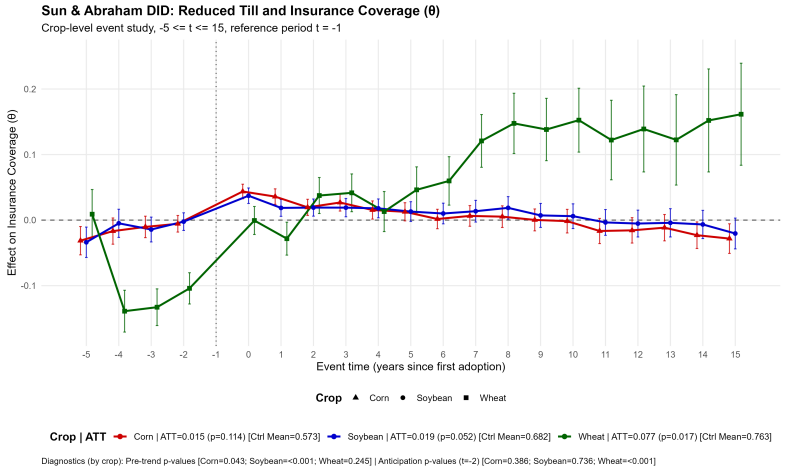
(a) Cover Crop



(b) Conservation Tillage

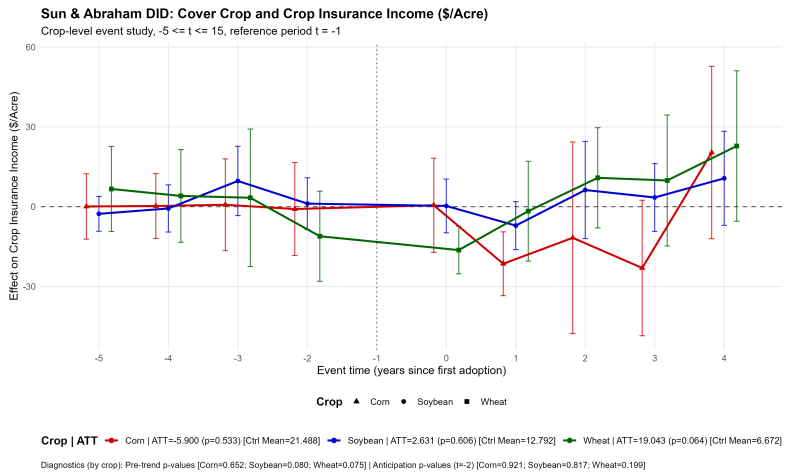


(c) No Till

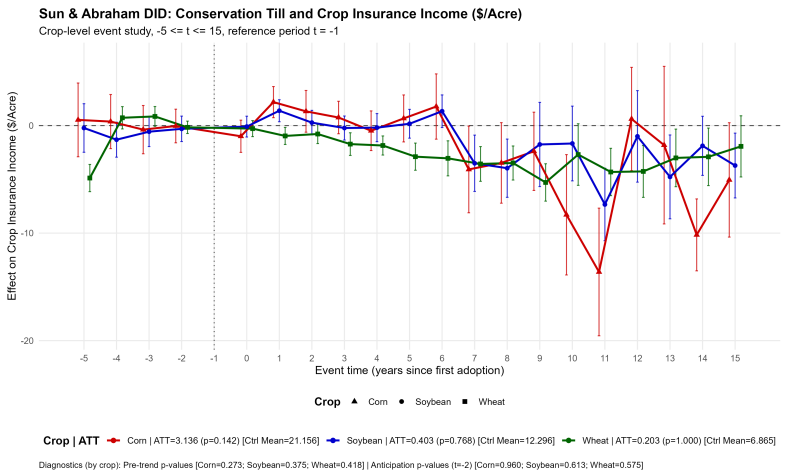


(d) Reduced Tillage

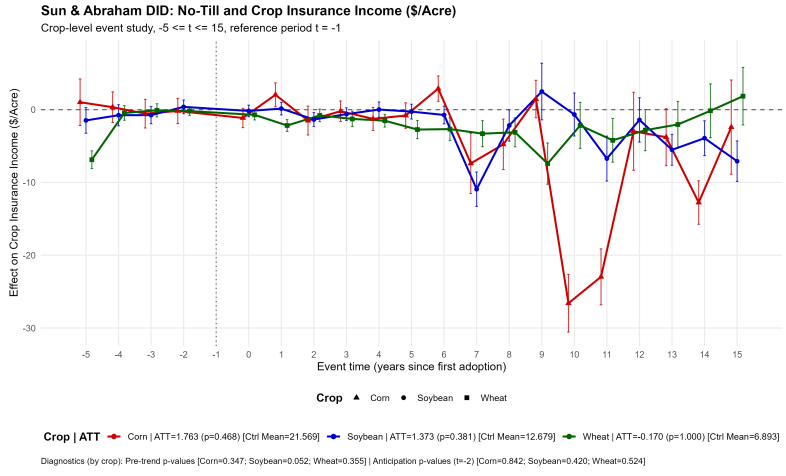
Figure A.39: Crop insurance coverage event studies by regenerative practice.



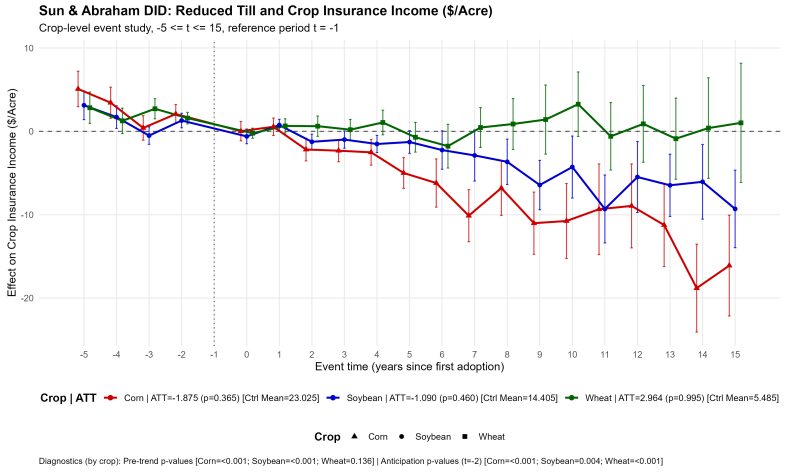
(a) Cover Crop



(b) Conservation Tillage

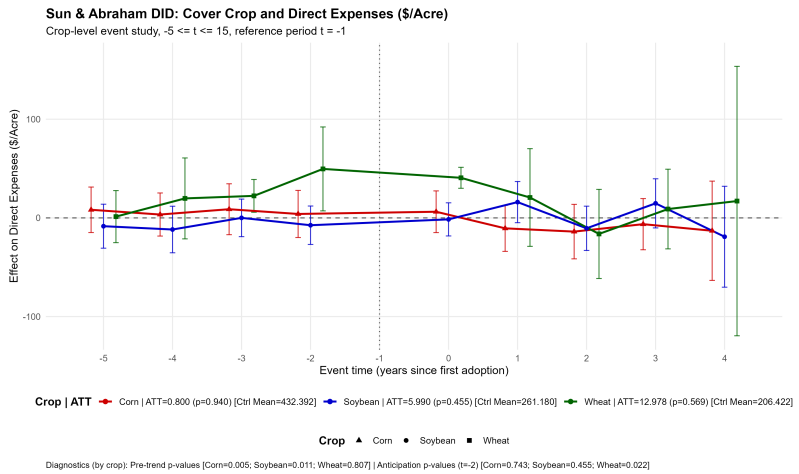


(c) No Till

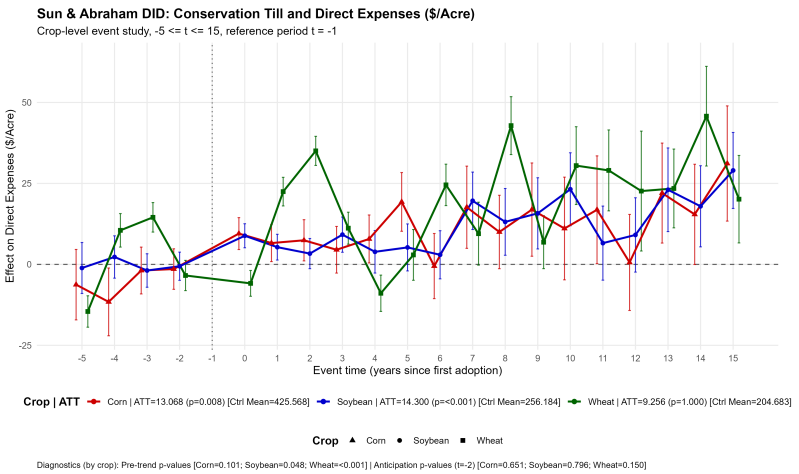


(d) Reduced Tillage

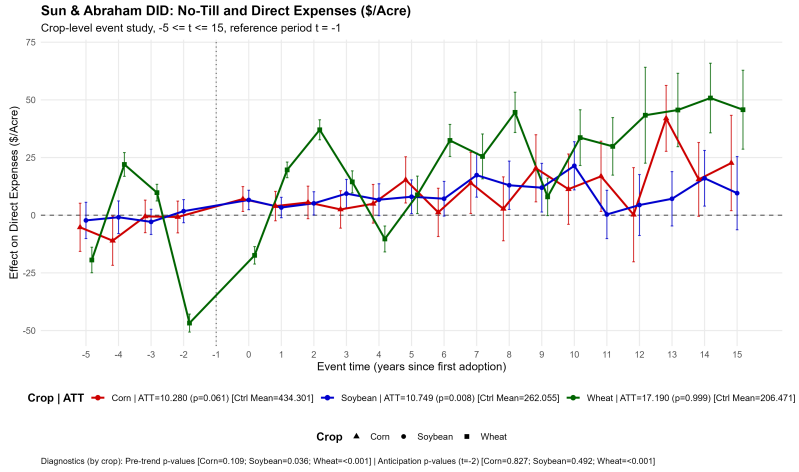
Figure A.40: Crop insurance payouts event studies by regenerative practice.



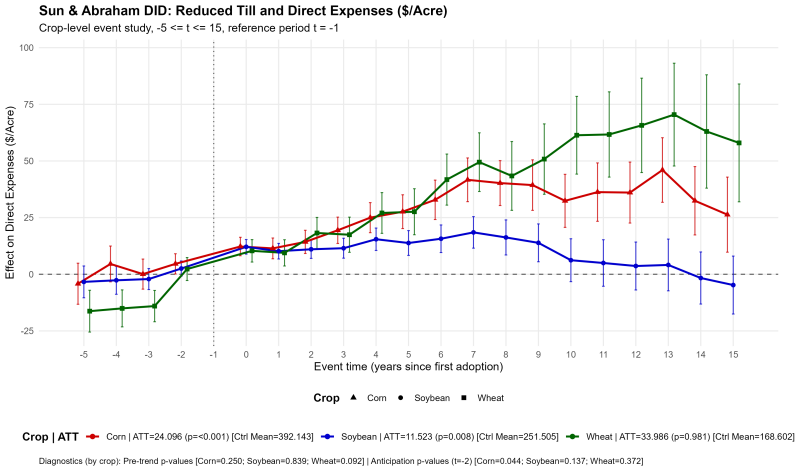
(a) Cover Crop



(b) Conservation Tillage

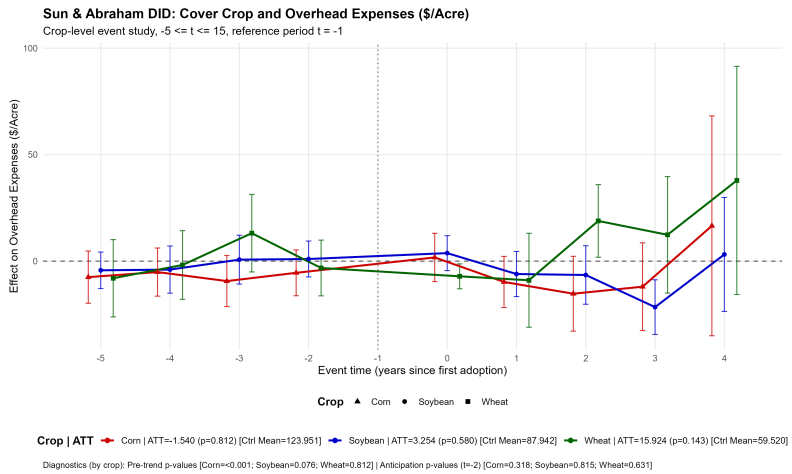


(c) No Till

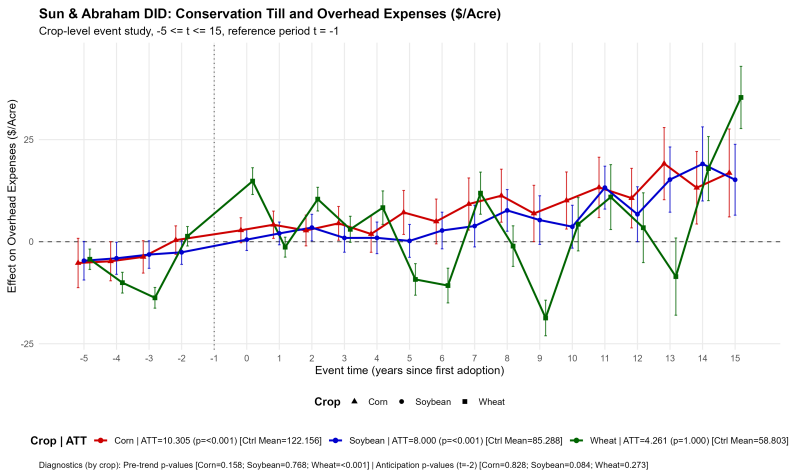


(d) Reduced Tillage

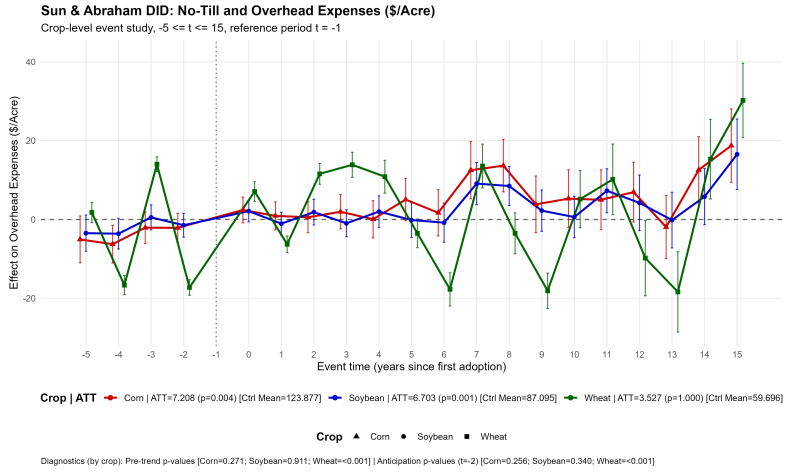
Figure A.41: Direct expenses event studies by regenerative practice.



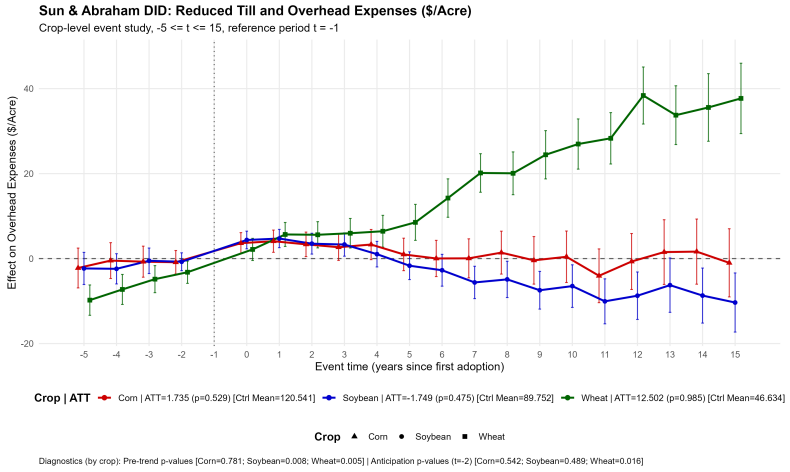
(a) Cover Crop



(b) Conservation Tillage



(c) No Till



(d) Reduced Tillage

Figure A.42: Overhead expenses event studies by regenerative practice.